

Attendance Note – Zahmoul Final Hearing

Client: Zahmoul

Matter: ZAH01.1

Date: 20.02.2024

Time: 09:30

Initials:

J - MacDonald J

ACKC -Alexis Campbell KC – Counsel for Respondent

Sassa-Ann Amaouche – Counsel for Respondent

BMKC - Brent Molyneux KC – Counsel for Applicant

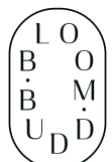
ZB – Zoe Bloom

MP - Marlon Pinto

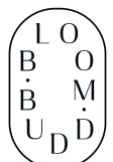
	10:34
BMKC	Introducing everyone. Can I apologise for the gross lateness of my position statement, Ms Zahmoul tried to confirm it. Difficulties of IT in her approving it. No real excuse but explanation of the lateness in the day yesterday. Whilst you have seen Mr Zahmoul's statement, you won't have seen my clients, they haven't had an opportunity to read it. My client's s25 has fundamentally been prepared by my client herself. Going to ask for an hour, to have the opportunity to skim it, so counsel can determine whether to tell you not to read it because it is inadmissible
J	I haven't read it – given its lateness you will need permission, I will not read it until I've given permission.
ACKC	I anticipate in the next 15 minutes I will have reviewed it and be in a position to say whether you will be able to review it.
J	There is an updated SJE report. I will take a hard copy.
	Hearing paused at 10:38
	11:38 back in court
BM	Thank you for the time you have given us, I know I will require to take instructions and reflect more broadly on where this will go.
AC	Didn't want to keep you waiting, having read the [s25] statement quickly, I don't think it will prejudice our examination of the statement. I object to the statement being admitted in its current form, want all conduct redacted. Paragraphs 9-26 are all under the heading conduct, you made directions on conduct pleadings, W has had opportunity to plead conduct, it is not permitted to use a s25 to further expand on something dealt with elsewhere. My client has difficult reading long documents, and reading English, he hasn't yet had an opportunity to read this. He is content for the statement to be brought in with the redactions. Those paragraphs are very easily under conduct. The second part is behind the statement there is 110 pages of exhibits, some of these are tables which we have seen before but look slightly different, need to review this. and there is effectively another statement. 35-40 are repeats of what is in the bundle they should come out. Statement in exhibits should come out. Reserve the rights to



	consider 41-53, 54-56 is a statement from a US lawyer, it presents a legal document from a lawyer, it's an attempt to adduce expert evidence, there is a risk that this is waiving privilege. 60 onwards is a statement from an accountant, Jeff Wilkinson, one 13 th February and one 16 th February. You gave clear directions about expert evidence. None of this evidence was served near the time limits. They should come out. Then there are more tables, I reserve my position on them, at 83 there is another affidavit from the wife. It needs to come out. There are a number of detailed tables and evidence which needs to come out. Either whole document is not admitted or the body of the statement except conduct can go in. I can understand the need for the parts about income needs. Exhibits, Ms Amaouche and I will consider the more detailed documents overnight and discuss with Mr Molyneux.
J	Yes
BM	I didn't get a complete note of what needed to be redacted, so will need to speak about that. My client feels passionately about this, the nexus between feeling her voice has been heard and her capacity to take part. She was extremely distressed at finding out the 11 th hour that her s25 would be redacted. I understand everything Ms Campbell says about repetition. Can't apply to one and not the other. It would be wrong to redact her statement and to leave the husband's statement untouched. If you look at Mr Zahmoul's statement, already in the court documents, on page 3 at paragraph 16, background, initiated relations with professor Stebbins..despite my awareness of her indefinitely' [BM reading statement paragraph 16]. Paragraph 67, conduct, [BM reading statement] page 71, he attempts to attach a transcript of a conversation with his daughters, he has done what he is accusing Ms Zahmoul of.
J	On time – timing brings wife's statement well outside the rules,
BM	Principle objection is not the lateness, it is what is permissible. What is good for Mr Zahmoul is good for Ms Zahmoul. They should feel their voices have been heard. She would have to take notice of the court, but it would feel her with unhappiness and regret if she were not able to set out the background. She says this is much a part
J	I have heard evidence regarding conduct, it is set out in documents which were filed in sufficient time to other side
BM	She focused on financial conduct in her conduct statement, my client wants to set the record straight in terms of marital conduct. The advantages to the parties and the court being able to get on with things, you attached whatever weight you want to or disregard what you want to may outweigh the technicality of sticking to the rules
AC	There may be some substance in what BM says, there comes a point where there is a direction, if this had proceeded as ordered, we could have met and agreed as to what should have come out. It is not fair for BM to say you should deal equally for these statements, you made directions as far ago as November. Wife didn't file conduct statement until 16 Jan. Then today, I have sight of another 4 or 5 pages, it is not appropriate for BM to stretch out what should be permitted.
J	Do you invite me to read the statement or make pronouncement, I have not read it.
AC	You don't need to read it, I say conduct should be ignored, BM says allow it because the husband has breached a little bit too.
J	As a preliminary matter I am required to determine whether the wife's s25 statement, which was filed late this morning, should be admitted in part or in full. Basis of decision in part 22 of FPR 2010, allows to produce a document when



	they have failed to comply. Here it's a failure to comply with the courts directions and to the contents of that statement. AC on behalf of the husband says there are a number of features which should not be permitted. [x] has been dealt with elsewhere. AC informs the court that the exhibits to that statement also deal with a number of matters which seek to bring in matters by the back door, in particular AC says there are two statements within the statements, which are in the exhibits but are not an exhibits. AC says the statement from the lawyer and the accountant constitute expert evidence and circumvent the need for a part 25. Though she doesn't go against the statement...Paragraph 21 dealing with conduct, exhibit statement of wife and affidavit, statement of accountant and lawyer should be removed. AC reserved her permission of the tables. Mr Molyneux in response points out the importance to the wife given the case and the history for this coming to a proper outcome utilise the time. BM says the conduct in those statement are not dissimilar in terms to conduct allegations made by H in her statement. I am satisfied that the exhibits to the statements should not be permitted at the final hearing, those exhibits would have had to be disclosed to H in a timely fashion, not appropriate to circumvent part 25. You cannot exert documents which are in the form of a report. Likewise a party cannot file additional statements to a statement as an exhibit. Those matters must be removed. In respect of the tables, allow further time for counsel discussions. Matters concerning conduct, they can remain in the statement, I am not convinced, the matters set out therein if they match the husbands statement, are going to particularly assist the court with the determination of the case. Having regard to not disrupting the timetable. I admit paragraphs 9-26 in the statement.
AC	Paragraph 21 effectively lifts one of the affidavits, that can be redacted
J	Yes thank you
BM	We can start
J	Had an opportunity to read those parts, latest report in full.
	12:03 Mr Pinto joins
MP	Taking the oath
BM	Tell the judge full name and address
MP	Confirms name and address
BM	Latest iteration of 16 February we will focus on. You will understand that maybe the others don't have familiarity. Distinction between account and wallet?
MP	Wallet is like a digital wallet, like a leather wallet in the real world. Account is like a bank account. Leather wallet would be a custodial wallet, account would be a bank account. Wallet address is different from wallet. A wallet could have 100s of addresses.
BM	Explain to his lordship, if he was opening an account wanted to buy a bitcoin and transfer it how would he?
MP	Use a service provider like Coinbase, similar to a bank account, they are like e.g. NatWest,, they would set up a wallet for you, you would put in address and execute that to sent the amount to someone. They create an account for you.
BM	Then you purchase your bitcoin.
MP	Yes. Self-storage wallet, where you have a custodial wallets, you could have a USB stick, you could create a seed to generate a wallet. One in one thousand years to come up with the C phrase to break it.
J	Seed phrase will lead to creation of the wallet?
MP	Once you have access to the wallet, you can keep regenerating it



B	What does that mean?
MP	If you had the wallet and no longer had access you could use the seed phrase to generate access to the wallet
J	You then have two wallets which have been generated by the same seed phrase, both go towards the bitcoin
MP	To bring it further, I have dealt with certain fraud and the fraudster would use the seed phrase to generate the wallet.
BM	Coinbase and self-storage are entirely different, Coinbase they keep the wallet for you, self-storage you take more risk
MP	Correct. If you own Coinbase, you can be hacked you don't have ultimate control. You can take self-storage offline and you have control, offline, hot and cold
BM	You forget your cold storage log in, you're in trouble, you have crypto that no one can access
MP	Yes. Multibit is self storage wallet
BM	Is there any way when you look at a wallet address, if you can tell it is cold wallet, coinbase?
MP	Though analytics you can, you can look at perhaps the change address for every transaction and if its to a known address. You can't always look at cold and hot storage
BM	Crypto is totally separate to government, offers complete secrecy if you want it to
MP	If you want it to yes
BM	If you saw a wallet address in isolation, would you be able to tell who it belongs to?
MP	Ultimate answer no. If you just had wallet address abc123, you would not tell, someone may be a victim of fraud from a wallet address and post it online and then we would do the research and try and find out who it belongs to
Bm	Old fashioned detective work. If J wanted to provide bitcoin, you wouldn't know who sent it but you could go to the service provider and try to find out the owner of the account
MP	Yes
BM	You also have KYC info
MP	Some service providers take KYC some don't, some offshore are not as stringent as the likes of Coinbase.
BM	Page 9 of most recent report. You say in relation to all of these transaction in coinbase, there are lots of smallish transactions, they reveal the same amount of assets..except T6..remain unspent in the wallet..trying to educate how crypto works to individuals. You show the little wallet on page 10 'no onwards transactions of these addresses.. no other wallets that have not been disclosed' would be like paying £50 into multiple bank accounts and being able to evidence that there were no withdrawals from the account where they were deposited to. Page 11 '..that Mr zahmoul had been sent assets to'. I think explanation, Mr zahmoul was educating third parties?
MP	Yes
BM	You say at page 5, fifth bullet point from the bottom 'no reason to contest these', that is your opinion, not your expert opinion, its just you saying seems plausible to me, not expert, is that fair?
MP	That's fair
BM	He has transferred 60000 dollars into wallets and they remain there, but what you can't do is tell the judge who they belong to because you just don't know
MP	Yes



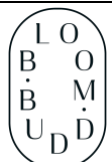
BM	There would be no way to know the recipients of these bitcoins
MP	Only other way if every person was spoken to and they showed them accessing the wallets to show they were in control.
Bm	If we look at page 12, one transaction was queried, transaction 6 – all balances par transaction 6...sent to BC1QG..unless it was to amalgamate' what does it mean?
MP	If you look at all the addresses, Mr zahmoul said for educational purposes, wallet transaction 6 if that was for educational purposes the person owning that wallet would leave it there or extract onto a platform. To leave it there would not make any sense
J	What's the forensic basis of that decision/conclusion
MP	I don't think there is a forensic opinion that sits behind that, its just my experience of crypto, they would not want to move them on unless to cash out of amalgamate
BM	Its lay opinion rather than expert. Initially Mr Zahmouls explanation was that it went to his daughter, but it wasn't true as he told you. His explanation has changed. You through instruct wanted to press him on this – on 8 February, he says there was an error ' I initially mistook this transaction due to closeness to the birthday, it was to Olivia' you say ' based on the above, he did not make a transaction to his own account, and they are not associated to his own account. We know they have not been to his account. We don't know who they have gone to, the only way to know would be that if the wallet it was received to was a coinbase account and we did a subpoena to get the KYC.
MP	It is not a service provider – I can use [x] platform
BM	Bottom of page 14 'beneficial to... pre-2019' I want to understand the limits of what you have done – nothing you have seen could answer the question, does Mr Zahmoul have crypto assets pre dating 2019 which he has either transferred to other parties or kept himself?
MP	Can you repeat the questions
BM	The nature of crypto, if he had transferred pre 2019 which touches on that wallet, it could still be there from 2019. If he had crypto in 2016 or 2015 or 2017 and he hadn't transacted with it, then it could still be there on that scenario
MP	Possibly, on that scenario yes
J	The impression I get from the evidence so far is that the surrounding info is important as there is so little you can tell from the blockchain information
MP	Yes, when we talk about the limitations on the blockchain, with the anonymity it provides the limitation, a lot of it is geared against self-disclosure.
BM	If you had gone back to 2015, you would have a clearer idea of transaction then
MP	Yes
BM	Page 15, transactions into Mr Zahmouls 'ascending wallet could be controlled by someone else other than Olivia' 1AWKG, Ms Molina has said is attributed to her. Attributing that to her comes from her saying yes it's my wallet, that's how you know - is that fair?
MP	That's fair
Bm	Page 16,...0.08 bitcoin on July 2018, it has now been provided to another day. 1GQYK..768000' could recognise your analysis of 1GQ..whats link between that and 1AWKG?
MP	1GQY is the sending transaction for 8, that forms part of same cluster for 1AWKG
Bm	1AW is the one Olivia says is hers
M	Yes



BM	Whoever controls 1AW has made 57 transactions, 768000 dollars of bitcoin transactions during the period that you have analysed. Ms Molina has transacted 768,000 yes?
MP	Yes
J	Would the reading of the bitcoin wallets be used nefariously if this is published?
MP	Generally use the first 5 letters
BM	Next few pages, you look more closely at Olivia's account, at page 21 you conduct some similar analysis. 'total of 142 bitcoin have been traced through this cluster'. The nexus between these clusters and Olivia's wallet? As I read this 1072 bitcoin going through that cluster of addresses
MP	Cluster addresses we look at the green circle of the cluster. When we look at the green circled address, we can see that that address is only 1 step away from the cluster controlled by Olivia. There are transactions from the green address to Olivia's address. When we look at the address which appears as the white dot, that also has a direct link to that address. Could give the reason why there are a large sum of bitcoin being transferred.
BM	Ms Zahmoul does not think Ms Molina owns this wallet, in today's money it is a lot. What evidential value does this have to linking Olivia's wallet to this volume of transactions.
MP	I would say there is a direct link which we can see from the green circled link to Olivia's, but I can't give the reasons for these transaction. I can't give the reason as to why the large sums went through the cluster. There is a link somewhat between the two.
BM	Is it possible to link it to a banking analogy?
MP	Would be if judge has 2 million GBP going through your account, you have a link to me, you sent me 2000, shows you have a link to my account.
BM	Transaction 8 at page 22. Within 1AWKG cluster. 'This wallet also has a value of zero...two addresses have sent money...it is possible they are controlled by him or another entity...specific transaction' only way to be sure would be to go back to coinbase and get the KYC, they would tell you who is the account holder? Only way to know?
MP	Yes
J	The question of the exchange, the white dot, in terms of assuming the exchange may have a large volume of movement, can those movements follow any route on the spiderweb or does there have to be intention?
MP	Exactly that yes. We can't see with an exchange any internal ledgers and any transactions internally. It would have to be executed by someone with a coinbase account who says I want to send x bitcoin to an account
BM	At page 23, this 15k cluster, 148 bitcoins traced through it. The letter on 14 February, 15h5k not associated with Mr Zahmoul, 'it is suggested it may assist in showing who is in control of 15h5k' you were suggesting coinbase might be able to say who it did belong to?
MP	Almost reverse of earlier, asking who did make the transaction and getting the KYC
Bm	Possible it is Mr Zahmoul custodial wallet
MP	Yes, we don't know
Bm	Although 'an application should be made should this be required' what can we deduce from that?
MP	With those transactions going to the yellow dots, if Olivia is the controller, each of those transactions if they have KYC information will show who were the recipients.



BM	Page 25, transaction of 90 euros. 'The above transactions shows that the wallet address was spent' transaction out of Mr Zahmoul's wallet to ...Ms Molina confirms this is her address. Olivia is saying this wallet is my wallet. She seems to have a number of different wallets. You say 'cluster of route addresses 3n69e' What does this mean, was it a typo?
MP	I believe it is a typo.
BM	So we are looking for a further reference to 13gat somewhere else because I can't find that. It would be helpful for judge to understand if this other account has been the recipient 786,000 US dollars. We see in the first paragraph that that wallet address appears to be her wallet address. I need to understand whether you meant to say it went though D...
MP	That would be something I would have to check
BM	Leads onto another question – can we adjourn now
J	How long do you have left?
BM	30 minutes left
AC	I have atleast an hour possibly an hour and a half
J	Back at 2pm
	12:51
	Hearing resumed 14:01
BM	You were kindly going to look at 25, to see what it should have said
MP	Second para 1GQYJ should be 3DAGT
BM	Shows that 3DAGT dated 20 October, Ms Molina confirms this is her address
MP	I can't recollect
BM	Was the answer to one of your additional report October 2022. This address seems to have made 20 transferred, we saw the previous account which was apparently Ms Molinas account, we now see this wallet with 36901 passing through it
MP	That's correct
AC	Passing through?
BM	Transferred received, sent 703901. I am going to stick with my calculation and your agreeing with me
MO	Yes
BM	This transactional bitcoin, Ms Molinas email at 28 of your report, at the bottom of the page, I want to confirm the following wallets. 189UKP..october 20 th 2022. This is where is gets confusing, in the letter page 28, the payment made to Miss Molina, 13 th February, absence of any formal record, they spend time in new York day prior to her sending 10 bitcoin to him. Actually it was directed to Forte securities. 25 th October 2019 Mr Zahmoul transferred a further.. including a letter from forte securities showing the ownership of the wallet, they claim the wallet WDGAT is theirs. Page 29 you see the letter from Forte securities, 3DGAT. We then see some emails from 2019..' The emails 'once you want to sell let me know' [BM reading email chain on page 29]. We've got 2 people claiming that is their wallet, Mr [Kassis] at 29 and at 28 we have something from Molina saying the wallets are mine and mine alone. Are you able to tell the judge who's wallet it is?
MP	No
J	The two communications are 3 years apart, is there any way the wallet can move from one person to another in that time?
MP	Can they transfer the seeds and giving them access, it would be a question of who owns the wallet
BM	Any pointers that you can tell us who owns it?



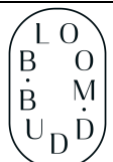
MP	From looking at the blockchain no, only way I can do is see if there is any direct links through exchange either inbound or outbound to that wallet.
BM	A lot of self certification of the assets, you only know if someone says yes its mine.
MP	From an investigative point, yes.
BM	Is there any independent source info that could cast some light
MP	Other way would be to have Miss Molina in the court room or Mr Casis and ask them to access the wallet
BM	Only one have the key
MP	Well they could technically both have the key
BM	As a matter of theoretics but not reality
MP	Yes
BM	Focus of this has been Mr Zahmouls coinbase transactions
MP	Exactly
BM	Did it include coinbase pro
MP	Yes coinbase and pro
BM	Difference?
MP	Coinbase pro is more of a trading platform, ultimately you shouldn't be able to see transactions on coinbase pro without it being a coinbase account
BM	In your experience do financial institutions have these crypto wallets themselves, how would they hold their assets – the email from Mr Kassis. I want to understand whether it is normal or abnormal
MP	Cant comment on that
BM	Point 30 'olivia bpt exchange, letter from Ms Molina on 20 th October she confirms this is her address..she confirms this is her address' in my opinion this is likely to be correct..1AWK traditionally wouldn't seem reasonable he would send himself things..is this a matter of expertise? Why not reasonable from a crypto expert that he would send himself crypto from his own account
MP	From a personal opinion I would not have sent it, from a professional opinion he could or could not send them to himself.
BM	So he could do it, at the moment all you can say is this is the evidence
MP	Exactly
BM	Page 32, more transactions to Olivia Molina, three lines down. 'Transactions 14 and 15 can be justified as from Olivia, 15 has been provided for as from Mr Zahmoul as Olivia..' same point, all self-certification, no empirical said way of establishing who has sent these
MP	I agree
BM	Page 71. In the interests of time, only going through a few transactions. We have your observations in relation to the multibit address, analysis of this address, 24 bitcoins have been sent to this address..when it was first active was May 2015. In your November 2022 report..was there an explanation of who's bitcoin they were or where they were going?
MP	Not that I can recall
BM	We then see what the transactions were in relation to this address, the counter parties this has interacted with. Zappo.com 'it is possible Mr zahmoul has an address at a mining company' he may have an account at Zappo, court order may reveal the owner of this assets...Gemini exchange address' I want to be clear about the numbers, it is actually 10.964, page 71, sent figure the first one, and then at the bottom the transaction take it to 10.9 sent to Zappo.
MO	Yes



BM	As far as you were concerned these were bitcoins leaving Mr Zahmouls account but he wasn't able to identify save that it was a zappo account
MP	Correct
BM	Now transpires that this was his account they were being sent to
MP	Without reviewing the disclosures I can't definitely say
B,	So much of identifying the recipient is about the honesty or the recollection of the recipient.
MP	Correct
BM	You are not able to say who is the probably recipient of the Gemini
MP	Yes
BM	If we now know this went to Mr Zahmoul, you wouldn't have known. The thing about the crypto world, its so invisible as to who owns what, you are dependant on the honesty and integrity of who owns it
M	Partially correct, what you have said is factually correct, but when we are looking for the off ramp transaction
Bm	The linked transactions that give you a clue of the scale of someone's useage
M	No where the bitcoin is sent to an exchange, where they want to transfer it to currency
BM	So its only the end game, where you want to get the cash that gives you the info
MP	Yes
BM	If you want to sit tight, its hard to tell how much you have
MP	Yes I agree
BM	If you are an early adopter, then its even more difficult to tell what crypto assets you have
MP	I cant answer that, it is down to the individual
BM	That might be all I have to ask, [checks with NZ] all questions asked, thank you
AC	Couple of preliminary things if I may, you met with Mr Zahmoul this year, last meeting previous was June 2022
MP	Yes
AC	During your interactions with Mr Zahmoul, how would you say you have found him?
MP	Helpful, timely
AC	Do you fell he is trying to hide something from you?
MP	No
AC	Have you felt that Mrs zahmoul has been helpful in the same way?
MP	Not had direct contact but yes
AC	How often has she tried to contact you since the instruction?
MO	I would say 10-15 times
AC	This year how often has she been in touch with you?
MP	There have been influxes of emails on 3 different occasions
AC	Have you had to contact her instructing solicitors and ask her to desist
M	Yes
AC	Did she listen?
MP	No, contacted me in the last 2 weeks
AC	You are here based on experience, how long in crypto?
MP	4 years
AC	Experience of looking at personal accounts?
MP	I have assisted in civil and criminal courts, both individual and companies looked at



AC	The wallet is a bit like a physical wallet. Is it fair to say if we were looking at bank accounts, you can say I have seen your NatWest account but it doesn't show you don't have any other accounts
M	Yes
AC	It is hard to prove a negative isn't it
MP	Yes
AC	The only way to know would be to write to every single exchange
MP	It would take a lot of effort to do that
AC	We have 5 years' worth of data, if I was looking at bank accounts I would be looking for a link to an account that hasn't been disclosed, that's what you have been doing
MP	Exactly
AC	Looking at 5 years of Mr zahmoul's data, anything to suggest he had another account?
MO	Initially there were questions, but now Mr Zahmoul has come back to me
AC	He has given you all of the data, a complete account of all of the accounts he admits to?
MP	Yes
AC	So if he did have hidden accounts they would have to be kept completely separate from all the other accounts he had given you?
MP	That would be the assumption yes
AC	After your meeting last June he gave you a comprehensive account of every account he has
MO	Everything I have asked for he provided, from June 2022 to Jan 2024 there is additional data which shows additional account
AC	The additional zappo and gemini, you have now had the complete data for these?
MP	Yes
AC	BM has said that bitcoin is for someone who acts undercover, but the blockchain is publicly available showing every single transaction
MP	Yes
AC	So you can see the transaction timing and leaving and arriving, you can see it going to an account, check incoming and outgoing on the blockchain
MP	There are sometimes where there is a slight discrepancy with timing, but you would normally be able to see it going across
AC	The fees charged by the platforms and the exchange of bitcoins
MP	You would also see the change address, it has assisted me with the investigation. If I had a wallet and wanted to send you 5 bitcoin I would send 10 and then 5 would come back to me. When we look at the multibit wallet [x] UTXO is an unspent amount
AC	Page 20 of your report, this is an example of wallet addresses receiving payments, the address on the left and payments on the right. One of the questions but to you is that you don't know who the wallet address belongs to. You could enter the link and go on the public blockchain to find the connection, here Mr zahmoul went and provided that information. I will find the page reference for your lordship. 3942 in our bundle. Mr Zahmoul was able to give you the direct links – 8 transactions on page 20, he says he can identify 5, he has given the specific links. In the bundle, it takes you to the blockchain and it. I know they are correct, apart from 1 there is an extra dot. He was able to check and was able to identify who were in those transactions. Is it also right to say these days the crypto market is more carefully regulated than it used to be?
MP	The last 2 years yes



AC	Coinbase and Binance have quite formal regulations, standard things from a bank such as KYC, they are quite careful to make sure if you have an account it belongs to you
MP	Yes
AC	Coinbase and binance only allow you to have one account per person
MO	Yes
AC	You used to be able to have two accounts, one in UK and one in US but not anymore
MP	I can't say
AC	The best Mr zahmoul can do is show you a comprehensive picture of all his trades and movements, that's best he can do in proving his movements.
MP	Yes
AC	Bundle at 3969, you can see date January 15 2024, Mr zahoul writing to binance and giving his details, he is asking for an email clarifying the accounts he has, he acts for details of the accounts, jurisdictions and to see whether he has any accounts, any jurisdiction. 17 January, Mr Zahmoul, 'I would appreciate you confirm all the accounts', he chases it, if you can scroll through that, on page 3965, 'please find enclosed a copy of your personal data' Binance have given a complete view of all the accounts he has ever had. 3948, should find an email there in green, 11 January 2024 Mr zahmoul to Miss Marsh, general counsel at coinbase third paragraph 'documentary proof, please can you reiterate the details of any and all accounts' 'that account has since been closed, transferred to karim@.net' at 3647 you can see repeat of this requests, further requests at 3646 and we have the coinbase team saying showing the wallet address. They have responded and as I understand they have given a complete run of all the addresses Mr zahmoul has had. Same can be said of Gemini, you have seen 100% of the transaction of that account
MP	Yes
AC	Seen everything on the zappo account from the date of inception to now?
MP	Yes
AC	Mrs Zahmoul was able to find an expert who gave a list of accounts that Mr Zahmoul might be connected to, we can see it at page 2135..this is a detailed account that Mr Zahmoul gave to Cipherblade. Cipherblade put to Mr Zahmoul a list of accounts that had somehow touched his account.
Mp	Partially recollect, I do recall seeing this.
AC	They reported some possibly connected accounts, binance, gateIO, OKX, bitfinex and 33 bitwire, blockwire..uphold and zappo. These were the accounts that had been thrown up as connected. Mr Zahmoul was able to check and give a conclusive report of every one of these accounts made. With binance, he used to have accounts and provided statements for them were you aware of that
MO	Yes
AC	Nothing from the statements that he was hiding any accounts?
MP	That is correct
AC	The bitfinex, you could see that account had never been used. He was able to use Bittrex accounts, and was able to show it hadn't been used since 2015, do you recall that?
MP	Yes
AC	650 paycoins there worth about \$2 because of fraud [of the ceo of Bittrex]
M	Correct
AC	He was able to show he never had an account with X
M	Correct
AC	Cumberland is for corporate institutional platform



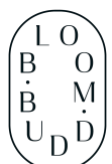
MP	Correct
AC	They didn't reply, not surprising.
BM	Are these questions for the expert, we can all read his statement but are these questions for the expert?
AC	It is difficult to prove a negative, you have been drawn by BM to certain transactions, you must also be shown transactions that throw nothing up. He answered everything, left just zappo and Gemini. With Zappo, Mr zahmoul was unaware, can we look at 2280 please. You can see at 2283, letter to the corporation.2281 you can see the Gmail address, 'sorry our services no longer available, we would love you to reactivate your account.' We can see at 2284, 'I did not know I had balances..please can you explain the entries' 2285, 'balances were internal when business migration occurred'. Can we look at the comprehensive zappo account at 2287, we can see the whole transaction history, the third column first two entries are the migration and then BO, look to the far right there is a tiny transaction I am told its likely to be a fee. Activity starts on the third line up, starts on 26 th October, we can see if we follow up the trading there. It ends 4 lines from the top, 7 th November 2017. Mr zahmoul didn't have any activity on this account from 2017
MP	Correct
AC	BM asked you about the multibit wallet, brought to your attention by cipherblade. Mr Zahmoul was able to give you a comprehensive account of everything that went through that account. I have made reasonable efforts 'my friend mike D..is Washington state in a mining farm' He gives evidence of 1GEQT at 2290. Full account from 3 rd January 2015 through to March...we can see every single transaction carried out'. 2297 we can see some money being sent out, that wallet was never used again, he has revealed that wallet, shown every transaction. 2299, this is the second wallet, this is called 1LVSG, we can see the period of time, we can see a 1.42 dollar balance, the money from the old wallet has gone to the new wallet
MP	Yes
AC	Then some payments in, fast forward to 2311, these are then actions, these are 17 transactions that we can see. Mr Zahmoul was able to explain every single transaction. He is able to identify every single transaction and where they go. It shows some went to his coinbase account
MP	Yes
AC	Some went to the Gemini
MP	Yes
AC	And some went to an orphan wallet, see at 2316. We then have coinbase receipts at 2314. The orphan wallet has been lost and he cant access that.How often does that happen?
MP	I can't give a definitive. It can happen to individuals who have numerous wallets
J	Is there a way of keeping a central register of what you have?
MP	You buy devices to manage all of it into essentially one wallet, but security issue is if you lose the key or the security breach you have lost all your assets. Large investors separate their assets for security reasons
AC	Quick google says 30% of bitcoins are lost
J	Can't trust google
AC	We can trace money going into the orphan wallet, and apart from that everything else was traced
MP	Yes
AC	I want to look at specific transactions we have been taken to, page 12 of your report. Looking at the report, Mr zahmoul thought it was a transaction to his



	daughter for her birthday due to the date but later, page 14 he was able to confirm this was payment out to Olivia Molina his former girlfriend, it was a payment to her to repay her for expenses in Dubai of \$2500. You are aware?
MP	Yes
AC	If its not able to prove the recipients' details, it will help to have contemporaneous details?
MP	Yes,
AC	So if I say at the time here is a WhatsApp from my girlfriend saying that you for the payment at the time, that suggests the recipient?
MP	Yes circumstantial evidence adds up
AC	Page 16 of the report, you refer to the wallet the 1AWK we are referring to this as Miss Molinas account. 39 bitcoins have been traced through the account, The exchange rate of bitcoins to dollars, is that the value at the time or the value from today
MP	Value at the time
AC	What period?
MP	During the life period of the route address
AC	Could be anything from 2008 to now, hard to tell if it's a lot of money
J	Contemporaneous evidence – is there a central thing used in terms of time zones. The WhatsApp is fairly contemporaneous in terms of time
MP	Eastern standard time
AC	We can see the WhatsApp 31 st July 2019. I am told the time zone is ZMT. If we have a look at page 23, this confirms the money transferring through this account is not a coinbase account, the query BM is raising is these nexus points of interest, these are somehow associated, they could be Mr zahmouls, but they could be anyone's couldn't they
MP	Yes
AC	The fact that an associated address has 40 million worth of a trade, it just has an associated with a wallet with lots of transactions going through it. If I sold a handbag for 1 bitcoin to a Saudi princess I would be associated with her account of lots of movement doesn't mean I have a penny of it
MP	Correct
Ac	We know from page 29, Mr Casis at Forte, although it is not definitive, the email on the left, the 3DAJ address, the consistent transfers, it is almost certain that that transaction was going to Mr Forte
MP	Yes
AC	Unless there was very careful fraud afoot to assist Mr zahmoul in lying, the address shown here and on the transaction are definitive
MP	I would agree
AC	Page 30, transaction 11 and 12, Mr zahmoul confirmed these were effectively payments in from Ms Molina in repayment of a debt. He made a payment of 85000 euros, and she paid him back in bitcoin. Assuming there is a payment from my client of 85000, he says this is her repaying him in bitcoin, we can see in the detail in red, we assume this is coming from the account we associate with her. You say it wouldn't seem reasonable that Mr zahmoul would send himself bitcoin. But from your experience, it is not likely that a user would send themselves from another wallet
MO	Yes unless you are amalgamating it
AC	First screenshot is 28 th October, she then gives the details, then on 31 st October Mr Zahmoul says 'I took the conversions you set' received 5 bitcoins, 31 st October 2019. Over the page we can see her sending in the small windows on



	the right, the payments second on 27 th October on page 30. In fact one is 26 th rather than 27 th – can you account for that?
MP	May have been a delay on the blockchain
AC	They look to be consistent, in relation to those we know on page 32 you were able to verify the cluster as 1AW.
MP	Yes
AC	On page 32 we have the transactions 14 and 15, 5.01 bitcoins being paid in, we know there was an argument between Mr Zahmoul, Mrs Zahmoul and Ms Molina at 3981 of the bundle. So you understand where this comes from, Mrs Zahmoul and Ms Molina got into a conversation and understood that Mr Zahmoul owed Ms Molina bitcoin and she encouraged Ms Molina to chase them. It looks as if Ms Zahmoul recognises that those bitcoin belong to Ms Molina. Scroll down, Ms Molina says bitcoin...price is reference and the date, 3983 you see 30 th January 60 euros. Mr zahmoul will say this is contemporaneous evidence of these transfers. From your position Mr pinto, that looks consistent, but you need something to tie it to miss Molina, we do have evidence of that?
J	There is no way of saying without the surrounding evidence of saying who owns them
MP	That is correct, yes
AC	3960 please. Evidence Mr zahmoul provided to verify the transactions he made to Ms Molina, February 2023, if we follow down we can see their conversations, he is referring to bitcoins he is about to send, bread wallet. 12 th July 2018, we see Ms Molina giving her address to receive the Valentine's bitcoin. Her contemporaneous letter, these WhatsApps show that they are contemporaneously that these are bitcoins being sent to Ms Molina
MP	That is correct yet.
AC	Page 34 you refer to the helium hotspots, he used bitcoin to purchase helium hotspots. Mr Zahmoul has explained that he and two friends were mining helium, you haven't had any investigation into that. That and chia are a bit more off piste
MP	Yes
AC	They are not recognised by coinbase?
MP	I'm not sure I can't answer that
AC	To summarise, all the documents you have seen from 2015 to date, all are comprehensive correct
MP	Yes
AC	You were not able to identify any missing assets
MP	Clarify, there were things that cropped up and then information was provided
AC	Are you content that looking at the information and the comprehensive statement there are no undisclosed assets?
MP	Correct
J	Thank you Mr pinto, that has been useful in what is a complex and new area.
	15:36 Mr Pinto left
J	I don't think it would be appropriate, move to the next stage tomorrow at 10:30
	Hearing ended 15:37pm





Attendance Note – Zahmoul Final Hearing

Client: Zahmoul

Matter: ZAH01.1

Date: 21.02.2024

Time: Hearing started at 11:00

Initials:

J - MacDonald J

ACKC -Alexis Campbell KC – Counsel for Respondent

Sassa-Ann Amaouche – Counsel for Respondent

BMKC - Brent Molyneux KC – Counsel for Applicant

ZB – Zoe Bloom

FS – Faye Simpson

	Hearing started at 11:00am
BM	We're back again, one or two housekeeping matters then NZ's evidence. Yesterday, you grappled with Miss Campbell's redaction of the witness statement, page 7 paragraph 21. I don't think you need 20 mins, paragraph with exhibit KZ7, a cut and paste and AC said given that it is a cut and paste of an exhibit there is no need for it to be in there, we don't need to have it in there. It transpires that it is expressed as a cut and paste, we cannot find it anywhere else in the bundle. My client deals within that in a light touch way, deals with an aspect you are familiar with in respect of money laundering and it feeds into her concerns that there may be forfeiture proceedings outside these proceedings, and she is worried about the US authorities by KZ's actions in the middle east, she sets out some extracts of exchanges with her and KZ. You could say it could be dealt with in her conduct statement, she feels passionately that you should read and add whatever weight you might add to that paragraph. The court should be limited by the questions that she should be asked. Very short examination in chief, questions then moved on.
AC	You have already ruled on this, the wife has made a statement, one of the exhibits is a separate affidavit and she takes a portion of this affidavit and puts in the main statement, the excerpt that is in the main body should be removed. You have made a decision and it should be taken out. We couldn't find this affidavit, we looked carefully and saw it the statement was made on 20 July 2021, when we checked the chronology and the private FDR was on that date, it was evidently produced for the private FDR, it shouldn't be produced in court proceedings. BM says there should be an opportunity for you to hear about forfeiture proceedings, all this does is records various dates about proceedings, its her recording of what her view is and what's been said. Impossible to verify where it has come from. Thirdly, this is already covered in the conduct statement. It is privileged, it's not reliable, you've already decided on it, appears to broadly have appeared in conduct.
BM	AC can't say that it was privileged, it wasn't for an FDR or tribunal, you should not make a decision on that. It was thought to be elsewhere within the exhibit to the statement, transpires that it wasn't elsewhere in the bundle.



J	I have already said yesterday it is inappropriate for statement to exhibit another statement, I understand that that paragraph comes from the statement. It follows that that paragraph should not be permitted. That is my ruling. Need 20 minutes to read redacted statement
	Court resumed at 11:40
BM	Before NZ starts, I would take her to each of the sworn statements. In terms of housekeeping, I would suggest this is agreed to your approval, Rosie to assist with the bundles.
	NZ takes the stand
BM	NZ you cannot take notes, you can take blank paper to write things down
NZ	If I want to refer to page numbers. NZ takes the religious oath.
BM	Tell the court your full name and address
NZ	NZ confirms her name and address at 3093 Teton Village.
BM	You have produced a number of statements and affidavits; those are already in evidence. The procedure now is that you will be asked questions with AC, there are a number of questions about Karim's s25 statement. There was a suggesting in KZ s25 there was an affair with Professor Stebbing, is that true
NZ	No
BM	Abortion as a result of the affair with Stebbing is that true?
NZ	Yes and no, we had 3 rounds of IVF in 2009, 2 were lost and 1 resulted in a foetus that had Edward's syndrome, the nurse gave me a...it was a result of IVF treatment with preserved specimen of the respondent.
BM	One of the disclosure yesterday was a multibit wallet, suggesting it came from you or ciphorable, was that correct?
NZ	The Gemini come from another part of the documents called Imerman on April 16 2021 sent to KZs solicitors, on 6 may 2021 he sent me a text message of the full documents that were sent to HFC, they are called Pinocchio, the other binders are UBS, the Pinnocchio are 200 pages it took me 400 pages to understand, because he sent them to me they lost their confidentiality statement.
BM	Rosie will be assisting you with the page numbers in the bundle, I am now handing over to AC
AC	Mrs Zahmoul, sure you understand that one of the first things the judge needs to do is to understand what assets there are.
J	You need to listen wherever you look, and listen carefully AC
NZ	I will look at her speaking, but line she is on is hard
AC	Judge has to work out what is available before he decides how to share it. Am I right that apart from what KZ says there is at least 141 million missing.
NZ	I am sorry
AC	Is it your case that the assets are at least 141 million?
NZ	The nature of crypto
J	You need to listen to the question and answer what is being asked.
AC	Is it your case that apart from what KZ says is in existence, there is another 141 million?
NZ	Yes
AC	Can we first look at what is in existence, do you know the copy of the ES2 – have you had a chance to have a look at it?
NZ	Yes
AC	Do you agree with it?



NZ	No
AC	Where is the column with your figures?
NZ	You are asking me assess access of the ES2
AC	Next to it there is another column to say what you are worth
NZ	I do not have assets of my own, that I can control over which I have visibility, there is no column on the wife's side simply because there is the disclosure process that the proceedings have turned because there is no details.
AC	Do you accept there is a property in Wyoming that you and Mr Zahmoul share ownership of?
NZ	Yes, don't know what they are worth
AC	Do you accept the property you live in is worth 4.72 million?
KZ	On 11 May 2022 we received appraisals, rocky mountain appraisers, they are close in value. Yes.
AC	I am not clear if you accept [the 4.72 million valuation]?
KZ	I accept the formal valuations in May 2022, they are 6 months in date and then they expire, we have asked for updated valuations. I accept those May 2022 valuations, but they need updating.
AC	Bundle at 640. This is an order made on the last occasion, ordered your solicitors to file a bundle with an ES2 in it. You were ordered to file your version of this document in the bundle, what is your explanation of not doing what you have been asked to by the judge?
NZ	Is the question why do I not comply?
AC	This one specifically, the bundle shall include the ES2, by that date we should have had your version of the ES2, why did we not have it?
NZ	I work 24 hours a day it is very hard for me to keep up with everything, I don't have another answer.
AC	567 of the bundle. Paragraph 21, the parties shall exchange updated open offers on 20 January, you didn't do an open offer – why not?
NZ	To provide an open offer, its very difficult to provide an offer when what I received was nowhere in the universe of what is true, we are not even overlapping so I would be wasting your time.
AC	Your counsel made essentially an open offer in their position statement, you want everything. It was ok for you to say that on 19 th February 2024, why couldn't you say that on 20 th January?
NZ	I was doing to work, making my way from Wyoming
AC	You were too busy.
NZ	Not too busy, I was busy with orders filling his order, I have to prioritise, I have to do conduct and section 25.
AC	Do you understand the purpose of these orders are so Mr Zahmoul can understand your case?
NZ	I do understand, I apologise, we are going to go through the orders outstanding and there is a list.
AC	On the schedule of assets, Mr Zahmoul has put forward there is a difference in the tax we think is going to have to be paid, BM says there is about half a million less in tax than Mr Zahmoul, on the schedule we are about 850000 apart, do you accept that?
NZ	Which taxes are you referring to?
AC	Answer the questions please
BM	She has got to be able to ask that, she needs clarification



AC	The figures in the ES2 and BMs statement are 850,000 apart – do you agree with Mr Zahmoul's figure? If you look in the left-hand column, looking at 240 Frost Street, if you look under there we can see there is a few lines, if you scroll along you can see the figures that Mr Zahmoul is saying needs to be paid 191,040. You can see in red the figures Mr Zahmoul says 191 in CGT, 394k in NY transfer tax and those figures come to 550000. Your counsel comes to 747,000. There is about 200,000 apart on those figures. 300 arrowhead, the bold address, Mr Zahmoul says 1.3 million in CGT to be paid, and your counsel puts it at just over a million.
NZ	Where is the computation behind these taxes?
J	Counsel asks the question and you answer – you say you are much more apart, why?
NZ	We are 4 years in, all taxes are done by CPAs, all principles on tax have to be agreed by us, they did not, some of the metrics are US statutes, I can see a number we have been seeing for some years. I need a spreadsheet with the numbers behind. Because I am a US citizen, when we made a capital gain of 4 million in 2016, as long as you buy the same property under the same legal orders you defer to the next one. The tax number is going to depend on who gives to whom, this means nothing, I cannot accept a tax numbers from a spreadsheet they need to come from a CPA.
AC	We need to give the judge the numbers, you understand it is important we do that?
NZ	The original memo from my CPA is august 2021, update of the CPA
AC	I need to ask you some question, I said you do understand that the judge needs some figures so he can understand what there is?
NZ	The only asset that has my name on it is...the order of April 2021
AC	Let's look at that order on page 26, made in April 2021. 3 years ago, the judge tried to sort it out and said KZ should serve on you his tax calculations and the parties should use their best endeavours to agree on tax calculations, and if you don't agree, you can provide your figures.
AC	You understand what the court was asking?
NZ	Yes, I did it, filed my tax on August 2022
AC	Page 4230 of the bundle. This is Mr Zahmoul's advice about tax in the UK,
NZ	I have the earlier version, 13 April 2021
AC	You have seen this document, his advice in June 2021?
NZ	Yes
AC	4229, you see some other figures there?
NZ	There is a big section where they say we are not Portuguese specialists
AC	You had your accountant on 6 august 2021, you had your accountant set out your position. The order said you should file your tax document before the private FDR. You were ordered to respond to KZ's documents 6 weeks before the private FDR. You produced it in August 2021 – why wasn't it produced before the private FDR. Do you understand?
NZ	Not at all. Can I see the order?
AC	Page 26, paragraph 26. 'Parties shall use their best endeavours to agree KZ's figures, if they can't agree, the applicant can serve competing calculations'. What the judge was trying to do was to get the important figures to the private FDR judge. Why didn't you have your tax figures in advance of the July hearing as you were ordered?



NZ	Provide the tax numbers on abcde, I can only do the real estate as I don't have my name on anything else, the same court order asked us to file updating disclosure before the private FDR, and the respondent filed the coinbase disclosure 48 hours prior. I cannot produce taxes on assets I don't control.
AC	Mr Zahmoul gave you his position in relation to taxes, you were asked to respond and you didn't.
NZ	Let's go to the memo, May 26 2021, it says if you transfer the appreciating property, you have no step up or gain recognition. There is no computation, nothing.
AC	No immediate tax to pay, it will rollover
NZ	No, there was tax
AC	If that was your case, the judge needed to know that.
NZ	There was nothing to answer, the FDR judge had no problem with the taxes as it relates to my residence and his non residence.
AC	No less than 9 orders were made to agree the taxes, as we stand here today you have not produced any response or your version of the figures in accordance with 9 orders
NZ	No I do not accept them, asking your client.
AC	Is it fair you instructed Nick Warr to liaise directly with KZ to try and find out the figure?
NZ	Yes
AC	There was a negotiation, was it without prejudice?
NZ	Always open. I can only provide taxes on assets that I own, I cannot instruct his broker to give me the tax because it particular to his taxes.
AC	On 21 st July 2022 KZ prepared a table with his figures in relation to tax – do you remember?
NZ	Can we please get the order of 10 July 2022
J	If you keep interrupting it will not help, if you answer the question that will help
AC	Page 311 in the bundle. Paragraph 8, made by judge Cope, recital that the parties will discuss and endeavour to agree the figures in relation to tax, they will do so with Nick Warr of Taylor Wessing, they will produce a schedule on what is agreed. Judge was trying to see what the issues were.
NZ	No, she said tried today create a table.
AC	I am asking if you understand what that table said.
NZ	The judge asked us to agree, then create a table, I thought that meant discuss all the issues and then narrow it down
AV	As a result of that order Nick Warr continued to have discussions with Nick Warr
NZ	No, the discussions were in August
AC	31 st July 2022, schedule of outstanding tax issues for agreement sent to your solicitors
NZ	At that stage we are in July, at that stage Karim has not spoken to Nick, they were not outstanding your client was managing the universe, outstanding was a manipulation.
AC	If it was a manipulation, was the sensible thing to get your solicitors to add this to the table of outstanding issues?
NZ	Not at all, I would fire him if he did that, we would be working off the wrong table, not at all with taxes.
AC	You have been trying to file amended taxes
NZ	Not at all, we do not file jointly



AC	You have filed joint taxes in 2020, 2021, and 2022
NZ	No not at all
AC	I have misunderstood, with LLCs in American there are corporate tax returns, those documents were filed jointly in the LLC?
NZ	It's a partnership called 3093 it owns 100% of the house at 3093 where we live and purchased in august 2020, it has two partners who are equal, I have the corporate documentation and everything. That partnership has one face that is the representative, the respondent, he files the tax returns and give the other partner the 401k, every year he talks to my CPA, then he files the numbers for the partnership, the other house we own 50/50 in joint names.
AC	The Wyoming properties, those taxes were filed by KZ in 2020, 2021 and 2022.
NZ	I don't agree, still mad about those
AC	He sent them to you and then filed them. You were involved.
NZ	Yes, absolutely
AC	You were unhappy with the content of those returns?
NZ	No, it's not a book
AC	You didn't agree?
NZ	No
J	What were you unhappy about?
NZ	The returns and the computations by the CPA are false, as a result of the misrepresentations there is something called a recourse loan which is also not correct, it puts me at risk, the respondent has represented that he is a US citizen he is not, and said I am UK citizen which I am not. Gives him right to open a mortgage, open an account close an account and everything, He is not a US resident, it is relevant. He doesn't pass the residency test.
AC	You were not happy with the returns.
NZ	No and I filed a D11. The court need to understand the issues, my CPA has been telling his CPA for 3 years, it is in my D11 of April 2023, the other piece is the partnership, the debt. One coin guarantees the debt vis a vis the bank, the person responsible for the liability it the respondent, that is not correct. When he liquidated the assets in September, he increased his partnership interest, he is now in credit of 4 million.
J	I understand, thank you.
AC	You made an application for an English court to make a determination on your divorce proceedings, didn't you
NZ	I live here for 18 years, where else should I have?
AC	This court knows those properties are owned by you jointly, don't they?
NZ	Yes
ZC	This judge can make orders as he sees fit, do you agree?
NZ	Absolutely not
AC	You wanted an English court to deal with your divorce they have the power, it doesn't matter what is on the tax returns, is that correct?
NZ	I filed my application on 24 January 202- with withers, you can decide on the division of the properties, does that mean if I find the fraud I should sit back, I am completely alone and without any money I can't get Waitrose, one of my daughters has needs
AC	Even in the US, you and Mr Zahmoul share the ownership of the properties
NZ	No
AC	The 3100 is owned by two LLCs



NZ	No problem with that
AC	Other properties are owned by LLC with you and KZ, is that true?
NZ	Exactly the same as the 4 million, he liquidated and sent to the Bank of Jackson Hole, if he wanted 50/50 he would have split the liquidated, he put himself as the only guarantor.
J	I understand, I have your point
AC	In 2022, the tax returns were rectified to put them in the position you wanted them to be in, 50/50 owners in the LLC.
NZ	No, there are two issues, the mortgage at bank of Jackson Hole needs to be 50% one property 50% the other, the respondent applied 2/3rds for one house. The only reason is the consequence is that it discharged the capital account of the LLC, so one is debt free. Inside the house, I wanted to divide the 4 million 50/50. I needed both 50s, this one in the 3093 is more important as it says he is the only guarantor.
AC	The contact with Bank of Jackson Hole, you are both equally liable. BOJH don't care about the taxes as long as the mortgage is paid down.
NZ	In terms of ownership, I don't care about the bank. He withdrew 4 million fraudulently as the only guarantor and we are equal.
AC	Can you look at 2531. You can see here there is a message from Jeff Wilkinson, CPA, look below it at 2531, you see the email from Steve smith, Karim's CPA. In March 2022 Mr Zahmoul's advisor was trying to liaise with yours to rectify some tax information. At that stage, 29 march your advisor writes to him asking for the information, then Steve Smith says 'Hi jeff, we will follow up when we receive it. Message a year later, 'Mrs Zahmoul is suggesting you contact her attorney' you instructed your tax advisor not to speak to Karim's and sort these issues out, didn't you?
NZ	Absolutely not correct
AC	You instructed your CPA not to talk to him
NZ	I have very limited funds, I cannot pay people when they are gaslighting, my CPA asked many times for the information which is not here, they overrode my CPA
J	Is your answer that you sent that email asking him not to engage because you had no money to pay your CPA?
NZ	No
J	Do you agree just before March 2023 you had instructed jeff not to engage?
NZ	I instructed him not to engage
J	Why?
NZ	When someone pretends not to understand you what is the point of carrying on, they were ignoring him for 3 years, I cannot keep answering when they are ignoring.
AC	Do you accept the two US pensions can be shared between you and Mr Zahmoul equally?
NZ	Which ones?
AC	Look at the ES2, the pensions owned by the Husband – the US pension can be transferred to you, so you get half of the US pensions
NZ	The memo of my CPA on the impact of the tax position..
J	Let's start at the beginning, do you accept they can be shared?
NZ	Answer is on august 10 th 2021, there is a liability I forgot the name..
J	Are they shareable



NZ	Yes, with tax consequences
AC	Did you agree that the Barclays pension could not be shared because of the type of pensions they were?
NZ	No, I do not agree
AC	Withers said on [x] they could not be shared
NZ	Which ones and for what reasons?
AC	Do you think they could be shared or not?
NZ	I don't know
Ac	Mr Zahmoul got lots of advice from pension experts about this
NZ	This is very convoluted, I have a timeline of he said she said, April 30 th 2023, he sent to me, to my address the link on April 17 th was below. I only pressed the link in September, the discussions when I had funding with Taylor Wessing and withers were a dead end. At the LSPO the respondent knew he had already executed the funds to Malta, when he asked us to discuss the pensions, he knew they were already executed to go to Malta, he knew and did not say, later at 7 September 2023 he said he executed. In April everything was done unilaterally, I didn't agree I still don't, I never received the documentation withers asked for. He takes the conversation without asking for approval, I have never had advice that we asked for, my team never got what they asked for, Taylor Wessing it was a minefield.
AC	4241 please. This is the initial advice in November 2021, explaining the Portuguese position, the tax position. Have a look at the document. Your lawyers were asking 3 questions, and it was Karim's lawyer's response. 'If H were to transfer any assets to you' 2.'can he confirm a time limit' 3. 'Lump sum subject to tax' Then they give a detailed analysis of those three questions, do you agree?
NZ	I accept this is a memo from Ilya.
AC	They were attempting to answers questions your lawyers had asked
NZ	The memo is giving an over theoretical answer and it is deficient. I bring your attention to the deficiency, it is saying if you were to transfer assets outside of Portugal at 4242, a mere transfer of assets is not transferable in Portugal. If you go to the asset schedule of the respondent, he has put taxes everywhere, why.
J	Why is the memo deficient?
NZ	It is not consistent with how it has been applied to the asset schedule, it says if one gets more than the other, this becomes a taxable event in Portugal. I am not sure what that means – if the husband sends the assets to the wife, his regime is called non habitual resident, he has a US Portuguese tax treaty that is also a source of problems he did not disclose on the Portuguese tax returns. He talks about the real estate no consequence if it is taxed at 28%. Instead of saying it is deficient, it is very helpful, because this is the opposite of what has been done on the asset schedule.
AC	Are you saying you do not agree with the memo?
NZ	No, I am not a tax expert
Ac	Your lawyers asked specific questions and KZ paid advisors to answer them
NZ	These questions are theoretical
J	Pause, I think I can take notice of that fact. NZ has been in the witness box for some time, there will be some time to go. Break for lunch.
	12:56
BM	We are not allowed to chat to you now, you are not allowed to talk to anyone about the case. Go get a tea or coffee.



	Back in at 2pm
AC	Mrs Zahmoul, turn to 4028. Still asking questions about pensions, beginning of the document, a letter from Mr Zahmouls lawyers to yours 30 February 2022, open proposal on the case, 4027, talking about how to share investment properties, crypto assets, paragraph 18 talks about equalisation of the US pension, 4029 it says the Jersey pension 'alternatively my client is considering transferring the pensions to Malta...preferable so the pensions are in your clients hands' suggesting he should move the Barclays pension before it is divided.
NZ	I see in specie, but not subject to. When was it sent to me? You are talking about Asden, no date on first page, what document?
J	The document you have got there
AC	I am told its dated 1 April 2022, it doesn't matter except that your solicitors were sent it, they responded. This document was sent 2 April 2022. What I am trying to do is identify a timeline, unfortunately the important person who needs to understand the document and the timeline is the judge
J	I need to come to a considered decision at the end of this trial, I need to understand for myself what you live and breathe. I need you to listen to the questions asked and answer. I need you to listen carefully and answer.
AC	It was second of April 2022, it talks about transfer, from advisors Adsen Moore, at 4293. This is a document sent to my client, talking about pension sharing in Malta.
NZ	Do you know when I received it – I can tell you, it was April 24 th 2023 if it was part of the 100 page package, if it was part of the link.
AC	You agree that it came at the beginning of April, it explains to my client that pension sharing in Malta can be executed and the pensions can be split, and it is favourable. Just showing you the document. 4294. This is later, July 2022, information about the effect of the transfers
NZ	I got this September 9 th 2022, November 2015 sent 20 million dollars.
AC	You saw this document, in September 2022.
NZ	Do we have the reply?
AC	We have some detail KZ has put forward
NZ	I am not a pension expert, this is complex, Taylor Wessing have assisted all the way to the end even after august 2023, 1 hour conversation in 2023, Taylor Wessing terminated everything as it was going circular. None of the advice on the pensions was sufficient or accurate.
AC	You weren't at all impressed with this advice
NZ	It's not my area
AC	341, you will see where we were by November 2022, order by his lordship, he was aware the pensions were still at large, you said you weren't content so his lordship ordered by 8 th December you should state whether you agree whether the pensions could be shared in Malta..ordered either party should apply under section 25 and if there was a dispute an expert should be ordered. Judge was saying if you can't agree that you should get an expert, you understand?
NZ	Completely
AC	You needed to respond to the advice by 8 December
NZ	Yes



AC	You didn't do that did you?
NZ	I need to give some context, we arrived to your court from Bristol, the new team joined 1 day before, Rebecca KC was not on top of the situation, when you issued the orders, I was with Burgess Mee the entire conversation was how I was going to pay and get money. Then until September the entire time was spent on figuring out funding, they thought the hearing was about finding, my bills went to pay funding documents. I am unable to shed any light on whether I agree, I am not an expert I don't know where to start. Burgess Mee called the respondent and said nothing is being done until funding is sorted. This is the consequence of going through 3 different lawyers.
AC	Effectively you are saying you didn't have the funding to arrange the advice in relation to response. Go to the order of 1 March 2023, paragraph 5, you shall state whether you agree with his advice, did you send a letter to say you agreed or you didn't agree?
NZ	This is the order, and your asking me if I complied with this order – no I didn't, I had to write the LSPO by myself, there were many events in April. I managed to do the LSPO application by April 20 th , 3 weeks late, and then I wrote to his lordship that the respondent emailed me saying he is moving the pension, after that I filed a D11 by myself about the Wyoming situation
AC	On 30 th June 2023, LSPO was made to carry out the order, his lordship was worried these orders were not being dealt with. Did you then respond once you had a legal team? Page 560. On 7 September, his lordship gave orders to try and deal with pensions, again Mr Zahmoul was ordered by 6 October to provide disclosure in relation to pensions, in the event there is a dispute, either party may seek to apply for an expert, it says you shall by 14 October 2023, confirming whether you agreed in accordance with that order.
NZ	No because that day of the hearing, he presented that he had executed that transfer, the bundle was void void void bundle, the real bundle was the one he executed and sent me with a small link.
AC	You had lawyers acting for you, did you provide a response to the advice of Adsen Moore in accordance with his lordships order. Did you obey his Lordship's order?
NZ	Your lordship, he had already moved them since April.
J	Did you obey the order or not, or 12 th of June
NZ	Zoe can you find out when the respondent told you...
J	I understand this is difficult and there is a huge amount of information about the case, lets concentrate on the questions
NZ	Did I obey the court order to respond to advice I had not read, and the respondent had already unilaterally moved it by September 7, he already moved it.
AC	On the 21 st November 2023, solicitors on your behalf did respond and said they didn't accept the advice, not by the 13 th October, not by 13 th November, but the 21 st November.
NZ	Your point is?
AC	My point is you ignore the court orders and you do want you want when you want to.
NZ	I am not a lawyer, I am extremely sorry if I look like I lack respect, if I allocate your resources to what I need help and what I can do myself



AC	You have had 2.7 million pounds worth of help. On 21 st November you said you do not agree with the advice – are you saying the pensions cannot be transferred?
NZ	No, we could never discuss it, we never received satisfactory responses. Nothing was received or analysed properly.
Ac	Do you now accept the pension can be shared?
NZ	No – I have not had an expert.
AC	You have been given 3 opportunities to get an expert and you have not
NZ	Not correct, the execution order was April 24th 2023, everything else is a show. September 7 th you are asking me if you complied with the order post facto.
AC	Mr Zahmoul told you he was planning to move the pensions, wrote in October 2022 and December 2022 to tell you that.
NZ	On every time he said he was planning we said we need a detailed plan of what is happening, he did never provide a tax analysis, you can say more dates if you wish, if we are waiting for tax analysis and it is not provided
AC	We have seen Mr Zahmoul put his view in writing, would it not be easier if you had put your view in writing?
NZ	Your lordship, she is asking me my view on the taxes
J	Question is would it not have been simpler if Karim had put his opinion on taxes on paper and then you put your opinion on paper?
NZ	1 you are duplicating costs there we would not agree and 2 do we even know whether the respondent has a detailed tax position, it would have probably been a solution, but that would not guarantee a solution.
AC	If you borrow money from your family, that is quite straight forward. On the liabilities you claim, you owe your father \$202,000
NZ	That is correct
AC	Do you think it is fair that Mr Zahmoul should see documents evidencing the debts you have?
NZ	The respondent has a debt outstanding no contact, miss Molina, no proof, he wired bitcoin to Miss Molina. My children survive because of my father.
AC	Bundle at 388
J	You alright?
NZ	Yes, yes
AC	Do you see paragraph 10, 1 March 2023, he ordered you to provide the following disclosure, evidence of any moneys borrowed which has not so far been disclosed. You had never provided evidence, but you said your father had leant you money.
NZ	You want a contract – I haven't had a chance to provide money documents, I apologise for the delay I will have all the documents to you in due course, as soon as I can. I am working as hard as I can.
AC	Page 561
NZ	April 2021, the respondent cut me off unilaterally.
J	14:40 – short break, lawyers will tell me when to go back.
	Hearing paused
BM	Try and focus your answers, will help the judge and you.
NZ	Trying my best, none of the questions move the case. She is trying to trap me.
	14:51 – court resumed
AC	Mrs Zahmoul, please look at 341 in the bundle. Can you see at the bottom at paragraph 12, made on 7 November 2022.



KZ	There was no hearing 7 November 2022
AC	17 November sorry, you were asked to provide you US tax returns by 8 December 2022. The order of 1 March 2023, paragraph 10, you are being ordered to do the same thing, to produce them by..
NZ	And then in September and November
AC	Yes let's have a look, ordered by 8 th November. We still don't have copies of your US tax returns.
NZ	My solicitors sent correspondence saying I do not pay taxes in the UK and I only became UK citizen in 2021 and left in the summer, I do not pay taxes in the UK
AC	What about in the US?
NZ	Why are we repeating the same orders and wasting money. My CPA cannot file my taxes for numerous reasons they are long and complex, my barrister will say I am going off piste, firstly I have no money I have maxed out 3 credit cards for the children, secondly I need to wait for the LLC, we didn't accept the K1 for the LLC, thirdly I was due a refund from the IRS which has been withheld because they had an inconsistency in information that told them I was American and another saying I was not, the LLC blocked my refund, 60-70k 401k refund I sold everything to survive. Jeff Wilkinson my CPA said there is no downside to wait until this mess is over.
AC	You were told no problem for you to wait, so you just wait
NZ	When you are owed money or have no money, there is no downside to wait.
AC	Page 223, paragraph 6 you were ordered to provide your health insurance policy called Cigna, you were asked to ask Cigna to reinstate Mr Zahmoul as a parent with authority, you were asked to provide a breakdown of claims, you have been asked on 4 occasions and you have refused to comply?
NZ	Yes, I agree
AC	Do you think its okay to not comply with the orders?
NZ	Absolutely not, this is a big one your lordship
J	I know it's a big one, I understand this and I am going to ask AC to move past it
AC	Page 338, paragraph 7, you were asked to sent details of the whereabouts of Mr Zahmoul's belongings, you haven't done that
NZ	No I have not. These watches, there is nothing that says they belong to KZ, they are joint matrimonial assets, the watches why are we making a big fuss. I didn't have a choice. I had applied for the LSPO, I received a unilateral email on 2 May, I went to zero on May 2 nd on my daughters birthday, my landlord said I had to move by July 4 th , thousands of pounds just to move, still had one daughter taking a levels, math, French. My father sent 3557 per month, goes to children. I would not have survived, my mother has angina it is taking away money.
J	Just pause, you are running away again
AC	Same page 637, 6.1 provide disclosure with respect to two transactions for 20,000..
NZ	That is the watches, this is leading.
AC	You haven't sent letters saying this is the watches
NZ	Your lordship, in the interests of you understanding the case, I can't respond to everything so I have different ways of responding, so I have different buckets of requests. I allocate my resources to moving the case forwards.
AC	Let's move on to what you do think is important, the undisclosed assets. Do you think this is important?
NZ	Not strictly true, what is important is freedom from everything and justice.



AC	At 3273, you said there is 141 million pounds missing from the assets. Can we have a look at your breakdown of this, page 3266. Paragraph 9, figure 1 23.1 million
NZ	I am with you
AC	Scroll forward, page 3269 there is another figure of 9.8 from the Portuguese tax return, you add these together. Another on 3272 crypto 3.9 million, 3273 103.9 million figure, you say add all those together it comes to 141 million. Can we try and examine some of it. I want you to be clear what my instructions are. My instructions are these are plucked out of the air and they don't make sense, do you accept that?
NZ	Absolutely not
AC	Let's go back to the first figure on 3266. The round figure 23.1 million, it is different from your s25 statement, paragraph 35. This figure of 32.88 million, you are saying it is completely different
NZ	One is called initial, and it is representative of Form E, this one is more 7 April 2021.
AC	You say this is a figure representing April 2021, we have just looked at the figures – we have added them to come to 141 million missing.
NZ	Okay, so?
AC	If we look at this first box, it is different than the one at paragraph 35. The difference isn't the breakdown of assets. Are you saying this paragraph 35, you are referring here, below is a summary of the non-disclosed marital x , which amounts to 38.28 million – is this sum of 38 the figure you want the judge to rely on or the 141?
NZ	There is overlap, we need to go asset by asset. Coinbase, this table, Gemini is on this table but not on the original table as I only found out at March 2023 when I received the subpoena, when I found out, that is why is it not in the other table, then we go to purchased land from IPP1 and IPP2.
J	Are you saying the table in your section 25 that adds up to 38.2 million should replace the table at 3266?
NZ	Exactly, but we are missing the Barclays account, they are not in form E they were disclosed later so I consider them to be deficient disclosed investments. The on shore investments...
AC	So when I asked you the first question about 140 million, the answer is no?
NZ	This would be more accurate, this is a very difficult exercise, with no disclosure, we cannot...
AC	You have given specific figures to come to 23 million there
NZ	If there is a figure, I can back it up
AC	You have focused on coinbase, at 3266, the figure in your statement is 7.99 million dollars..the paragraph says it amounts to 38 million pounds in your statement.
NZ	Should be dollars
AC	Exchange rate to give you 5.70, where from?
NZ	The exchange rate at the date of exchange
AC	Where is the evidence for this figure?
NZ	The first evidence is 16 July 2021, updating disclosures from HFC announcing he had received, that was the first evidence, in it there was a little piece of paper, from Topanga holdings.



AC	You have taken it from the value awarded to Mr Zahmoul for the Topanga shares in July 2021.
NZ	Yes
AC	I understand, those shares went down, they were surrendered in September. Correct?
NZ	No, could you pull out the transaction statement
AC	I can't do that – are you challenging what those shares were sold for, are you saying Mr Zahmoul never surrendered those shares?
NZ	Exactly, Mr Zahmoul made 4 million from coinbase securities, he produced on 5 September 2022. He states he sold, remind me to go back to the Portuguese taxes, he states that 7 million became 1.4 million, the shares were at bank of New York Melon. These were coinbase, they only trade on Nasdaq, when he produced the documentation evidencing the same, it is not a confirmation of sale, this was an indication of sale, if you sell you will get this price, from Sydney Australia.
AC	Let's look at the document at 4142
J	Are you okay?
NZ	Yes – At the top it says Australia, this is a lot of explanation, why is this from Australia? The bitcoin wallet, the forte securities is a whole saler, they service hedge funds and broker dealer, Kassis was a senior person here was the boss of the respondent, in order to have a license he needs, respondent signed manual of compliance of forte, he is sponsored by forte. The respondent has a financial security company. This is very relevant.
AC	Are you saying you don't believe this document is true?
NZ	Not at all, you don't sell Nasdaq from Australia, someone who trades would not sell at that time
AC	What do you think happened?
NZ	He has not disclosed his relationship with forte. If you do not want to sell stock, you can if you think a stock is going to go up, you can let other people borrow the stock, it looks like a sale.
J	What do you say happened here?
NZ	The derivative of forte is in Australia, I think someone borrowed the shares and Mr Zahmoul sold them out and gets them back at a later date. Not a single reason why a Nasdaq share would be sold from the Australia desk, we next see shares from forte securities in London to Revolut London. Revolut is sending it to revolut NY, then to USB and then to Jackson. The denomination of coinbase is US dollar, it goes from Sydney to London, to New York, to Denver. It does not make sense.
AC	Mr Zahmoul has sold the shares and you do not agree. This document is evidence of the sale.
NZ	If it is, great. There is many questions, there are other ways to sell US dollar. I am sorry he sold on 16 September
AC	Can we go back to conduct statement at 3266. Paragraph 35 of your s25 statement, Gemini subpoena, at 1834 you call that the Gemini subpoena results. You have said you got a subpoena in early 2023 against Gemini
NZ	February and March
AC	Page 1936 please of the bundle. You are claiming 1.8 million dollars, how you are learning about the crypto. 1939 has specifically the reference to the Gemini subpoena. You say this subpoena shows that Mr Zahmoul had been cheating



NZ	Subpoena results show that he had an account at Gemini. A judge in New York city made an order for full subpoena
AC	I accept you made the disclosure
NZ	The judge told me how many bitcoin in the account
Ac	1.8 million dollars, how many bitcoin does this relate to?
NZ	Okay I get it I'm sorry, the results of the subpoena show on 2 nd February 2023, 5.5 bitcoins and change, the blockchain is solid. Mid-February 2023 and the second tranche is 9 March 2023.
AC	5 bitcoins in March 2023, you are saying have the value 1.8 million
NZ	The blockchain is immutable, it tells you how many bitcoins were there on exchange of form E. They would have been there in the wallet on the day we exchanged form E. It is the bitcoin in the wallet on the day we exchanged form E, on that day he didn't disclose.
AC	I still don't understand the 1.8 million – Where in this statement can you show the blockchains or the bitcoins add up to 1.8 million?
NZ	I will get the information and give it to you, someone needs to go to chain analysis.
AC	The undisclosed UBS accounts, paragraph 35 again.
NZ	Undisclosed holdings in the UBS accounts
AC	You say 20.546 million – where does that come from?
NZ	Comes from the statements of UBS cumulatively over the years. I have an explanation that makes more sense at 42.
AC	The first line is wrong, Mr Zahmoul stopped working for Barclays in 2014.
NZ	He was still an employee, we need more clarity, there is inconsistency. He received compensation. I am assuming but I don't want to speculate. Why was he not working but getting paid?
AC	Let's see the big picture – how do we get to the figure at 42, you've added up UK earned income from 2005 to 2018, you have taken off the tax, we shall follow through the maths.
NZ	The starting point is AG tax memo
AC	I will ask you the questions, first column of 13,8 million odd, living expenses of 8.99 which you have deducted to come up with figure of 2.4 million
NZ	2.4 is clean capital at end of 2018, it has paid taxes, it can be used in the UK without paying further taxes. They were meant to go this way, what I am saying, your lordship 4 sources of income are in 4 fiscal buckets.
J	I understand
NZ	The three other buckets are not in the UK. One bucket I have access to. One bucket is UK earned income, end of 2016 there was a reserve of 2.5, that reserve what did we do when he didn't have a job, we spent 932k and the reserve went down. Page 13 tells you at the same time what was happening at Barclays, it was offshore on tax, three buckets. There is one more account called remittances, it is through a scheme called Lichtenstein HMCTS, that money can come and pay the bills here in a separate account called LDF. He did not do full disclosure. Page 13 says we can see onshore spending, we see these inflows and outflows from UBS, 13 in 12 out sterling, we see pre liquidations of Barclays shares. The Barclays shares are complicated, three different categories one of them are UBS. He didn't pay tax outside the UK, he was also doing tax avoidance scheme.



J	You may think you are making sense, but I am struggling to understand, so I am going to get AC to ask another question.
AC	Paragraph 26, figure of 20.5 million dollars, UBS. 3266 in the bundle, the figure you say for undisclosed holdings is 12.81 million pounds. I don't understand 20 million in one, 12 million in another?
NZ	The spending in the UK is covered, there are 3 offshore incomes, the UBS income, shares of liquidations and shares of Barclays and shares of the rentals in New York.
AC	Are you suggesting none of this has been spent?
NZ	Offshore tax, it is an asset base, 20 I cannot account for, purchased prior to 2004.
AC	I don't follow what you are saying. I am going to stop you. BM can help you explain this in re-examination.
NZ	It is an asset base that has been invested but not disclosed.
AC	Each item – UBS at 3299 of the bundle. If we focus on each item, we might understand where the figures are from. Inflows and outflows from the UBS. This is your document, its giving different figures from those in your statement. You are trying to say that in sterling you have had 14.29 million come in and 14.63 million out, they are payments of UBS assets
NZ	They are flows, these are above and beyond the cash burn of the UK
Ac	I am not keeping up still. The UBS shows 14.29 million coming in, and 14.69 million going out, are you saying that?
NZ	No you said that, that money is not accounted for, Cash burn we use 900 a year.
AC	Have a look on page 3496 for me. Document from UBS showing all the money going in and out, in reverse you can see a fund value of some 84,000 euros, in 2010 there are inflows of 8.8 million euros and 5.6 goes out. That leaves a final value of just over 3 million. The next year 252 flows out, inflow...
NZ	Outflows are above and beyond what was spent, what assets they were used for I don't know
AC	Because you don't have a list of everything was spent, you think additional money still exists.
NZ	There have been no assets that have been reported that justify 20 million. The outflows don't go to the UK. The outflows don't go to the UK.
AC	I am told they go to the UK, and they are used by the family and spent
NZ	I don't remember the excess and above and beyond
AC	The money has got to come from somewhere, where do you think it is coming from? It says quite clearly that it is coming into the UBS and out of the UBS account, what do you think happened to it when it comes out?
NZ	I don't know, you tell me. The respondent is an active investor in all sorts of assets. I would like to know where it went.
AC	Paragraph 35, 5.1 million dollars, not in Form E. Look in bundle at 3506, you can see those Barclays shares, these are shares Mr Zahmoul was paid for by Barclays. The shares vest over time, one year they vest, then the next, then the next they vest.
NZ	From a fiscal perspective it is a very complicated process. We need a HR person to explain it.
AC	We can agree generally. 3506 – Statement period...
NZ	If you know what CVP means



AC	Cash value plans, you can read what it says 3507. It shows every activity on the case, you can follow this through, flick forward, you can see all the detail, you accept it is genuine?
NZ	Yes
AC	Mr Zahmoul has asked Barclays to produce all his shares and the share releases, 3504 you'll see each and every vesting, scroll up towards to front of the bundle, on 3502. You'll see the dates are in reverse order, these shares are being released and shares paid out. If you keep going to 3498
BM	I do wonder if we have reached a point
NZ	I want to make progress
J	I am going to rely on you, we can continue for a little while
AC	I have quite a lot to go, if you feel she would benefit from a break.
J	I have something else at 4:15 so we will rise them
AC	Mr Zahmoul has produced all the releases, the Barclays shares have all been spent, so where do you get the 5.1 million dollars in your statement at paragraph...
NZ	I put them all on a spreadsheet, the shares are taken inclusive
AC	You have added all the shares realised since 2009 to 2018 and you say that comes to 5.1 million dollars and you are saying it is still available for Mr Zahmoul to spend
NZ	No I'm not saying that, some of the shares he was granted access to, I was saying this money was not needed to live in the UK above and beyond the burn. Not needed. Its very simple, what was burnt in the UK was page 12, anything else I don't know.
AC	You don't accept that Mr Zahmoul was drawing down on these shares and spending the money on the family?
NZ	Absolutely not, there may have been share liquidations but there was a salary
AC	How do you prove that? You have to prove that was not spent on the family living
NZ	I am going to take you to my statement, his old CPA says between 2004 and 2016 says the UK income exceeded the cash burn
AC	What do you think income is?
NZ	Probably some of it is income
AC	You have said probably some of the shares were income, you are saying
NZ	Some of them were called BACS, I am not a HR specialist, the respondent had 3 different ones from 2020. Even if we assume 3.8 will liquidate it, you still have 12 of 13 from UBS that were not used, those 3.8 are shares vested, we are saying he is part of a payroll, we need someone to explain BACS, payroll and say what went out and what did not go out.
AC	You say Mr zahmoul would draw down on the shares to pay for the family, do you accept that?
NZ	Onus on me to accept or for the respondent to show?
AC	I need to know whether you believe that?
NZ	It is not believe, it is not religion, it is evidence based. His AG tax says in so many words, between 2004 and 2016 the salary more than covered the burn which was 750, when he stopped work we spent 942 and a year later we spent 942, the clean capital went down again. UK based tax income and earnings, that is what was used for our cash that went all the way to 2020, then he goes on to say if they continue to spend at that rate, he will have to get it from offshore, then



	you find out there are 3 buckets, offshore income, offshore investments, each one has a different tax consequence if it is remitted to the UK
Ac	Bundle page 3269. This is money you say is undisclosed investments, 9.8 million pounds, are you asking the judge to take this figure and add it back to the asset schedule?
NZ	No. One here that is allegedly coinbase. I don't speak Portuguese and not expert in tax returns, the returns were produced [dates] by reconstruction the investments are coded but not identified by the entity invested in, there is just a charge and the date of acquisition and date of liquidation. I spoke to people in Portugal it's the value at date of one and the other.
AC	I don't understand, this figure the 9.8 million, are you asking the judge to add this to Mr Zahmoul's share of this assets?
NZ	No, at this stage I sent a letter saying these were investments disclosed of by US E trade.
AC	Yes or no – do you want J to add 9.8 million to the assets?
NZ	Are they on the balance sheet, they are not, where is the money?
AC	We looked at the boxes and added them up to the 141 million pounds and you said Mr Zahmoul is hiding the assets. My assumption looking at these figures is that you do want him to add them to the balance sheet.
NZ	Is it your client's case, the biggest number 7.2 million is your client claiming as coinbase?
AC	Are you asking me if the figure on your schedule should be added on or taken off?
NZ	Of course I don't know
AC	Of course, you don't know. Mr Zahmoul filed a statement saying you had completely misunderstood the Portuguese tax returns, here at paragraph 17 is Mr Zahmouls response 'she has fundamentally misunderstood the documents' you have just said as much
NZ	I said I don't know which entity this is, it is the equity or partnership this is, I cannot guess it.
AC	Mr zahmoul pays his advisor in Portugal
NZ	Which one, there are many.
AC	If you look on 4241, this is the historic advice that has been given, this is louis Leon, Ilya, this man has assisted in the past. When you said there was nearly 10 million pounds missing, Mr Zahmoul went back to him.
NZ	Do you know why your client has two different tax advisors in the same place, has multiple people and can't produce proper numbers for the final hearing?
AC	On 26 January, advisor filed a comprehensive reply, have you read this document NZ?
NZ	Let me read it
J	I am going to pause matters there. I am going to make sure you are in a position to give your best evidence so we will pause. You are not allowed to talk to anyone about your evidence, you cannot talk to Mr Molyneux about your case, you can't talk to your solicitor about your case.
BM	It is not just me or Miss Bloom NZ can't speak to, it is anyone who has assisted with the case.
NZ	Anything implied?
J	No. 10:30 tomorrow.
	16:13 Hearing ended





Attendance Note – Zahmoul Final Hearing

Client: Zahmoul
Matter: ZAH01.1
Date: 22.02.2024

Time: 10:30

Initials:

J - MacDonald J
ACKC -Alexis Campbell KC – Counsel for Respondent
Sassa-Ann Amaouche – Counsel for Respondent
BMKC - Brent Molyneux KC – Counsel for Applicant
ZB – Zoe Bloom

	Hearing started at 10:32
AC	Before I continue before cross examination, at the bar we have reached a conclusion, Ms Zahmoul has given a lot of evidence. BM won't make any objection, if I make reference to the statement without putting each point to NZ because we would be here forever, not going to put any further points on the non-disclosure. Mr Zahmoul rejects her case on non-disclosure, I have gone through some questions with NZ and she has made her points.
J	Sensible, thank you for having that discussion.
AC	Mrs Zahmoul, turn to the Bundle at 1193. Email 16 November 2016, email about investment, you are explaining it looks interesting, good demographic. If this information KZ passed to you about an investment. He was asking for your opinion?
NZ	Yes, based on a business model which was not yet public.
AC	Thank you. Page 1230 please. This is another business investment, subject yummy in 2017. Another investment opportunity KZ was forwarding to you for your opinion?
NZ	Yes, similar business, not yet public
AC	1198 please. Email 2018 from your husband to you about a crypto fund, subject draft crypto fund, he is forwarding a multi coin fund, this is another fund Mr Zahmoul was sending to you.
NZ	Not correct – this one is a fund, the other 2 were not funds. The respondent sent me, typically business models to get my take, my fundamental analysis on the business. No such thing as Topanga.
AC	First page of the respondents exhibit to his s25 statement. This is a document that Mr Zahmoul passed to you, about his contact with sphere digital, he sent it to you to have a look at. This is you giving your opinion on the contact?
NZ	Correct
AC	2095. 2019, this is a message from Mr Zahmoul to you, looks like he has sent a whole collection of documents that refer to his tax returns to UK and US,
NZ	Yes
AC	Sending you the information to compile his tax return



NZ	Not return, we had purchased a house in Cheltenham, to get a mortgage
AC	This was evidence to try and get a mortgage
NZ	Yes
AC	I understand. 338. WhatsApp conversation. What is this – looks like you are saying should I buy back? Green is Mr Zahmoul asking your opinion?
NZ	Sugarneff , sounds Russian, I don't know
AC	Looks as if you are making a record for him, of the trades. I am told this is something that was sent to my client by UBS and it was sent to you.
NZ	Yes, sounds good
AC	1433. 2020, the date at the bottom, it's a WhatsApp
NZ	Sorry I am trying to understand whether the date is American or English
AC	February I'm told, you are talking about some health details, bitcoin investment he has forwarded to you, do you remember this?
NZ	Sorry I was looking at the emoji. I don't remember but that would be reasonable.
AC	1467, this is you sending him details about the new scientist PDF, he is talking to you about putting bitcoin in Bitwire.
NZ	Yes, correct
AC	1037, this is Mr Zahmoul in 2021 sharing some information with you about mintgreen
NZ	Correct, this is in the divorce proceedings
AC	Throughout the latter part of your marriage and into the divorce, Mr Zahmoul shared with you a significant amount of financial information, he was open with you ,do you accept that?
NZ	The part discloses the whole
AC	Do you agree, Mr Zahmoul shared with you, he was an open book?
NZ	I don't agree
AC	How did you get the Imerman or Pinocchio as you call it.
NZ	Some of it was documents that were prior in a drive, this is the minority. Context in 2020 we had been married for 27 years, the person who does all the admin, this is set out in the march 27 th letter. I was the administrator, I paid for everything. I had access to everything.
AC	What happened in 2020?
NZ	In November 2020, I found out the respondent had given a computer to Jade, she became tired and was watching Netflix.
AC	You had full access and then in November something changed and you didn't?
NZ	I had access to what the owner decided to give access to
AC	When did you get access to what the owner hadn't given you permission to access?
NZ	Pinocchio was sent to the solicitors in March 2021
AC	How did you get access to the documents referred to as Imerman?
NZ	I was thinking yesterday, I am still piecing things together.
J	When did you get access to Imerman?
NZ	End of March, Withers asked me to send copies.
AC	That's when you delivered it up, when did you obtain the information?
NZ	December 2020, that's when I realised my daughter was not sleeping
AC	1397. This is a letter from Evelyn Gargano, 'Nadia asked me to be executive of her will...Nadia stayed with us in September 2020'...she says it was during that stay, you stayed until 5 October, you told her and her husband about having hacked into his laptop and his phone, is that true?



NZ	False, absolutely I did not tell...
AC	Did you access this information in September 2020?
NZ	He left in November, and I realised jade was not sleeping, it was between November and December.
AC	This information that you had, we know there was extensive information copied to your solicitors
NZ	On the same day when everything when he left, pick up was maybe 16 th April. Two devices, he texted back to me Pinocchio. April 16 th 2021. There is one more set of documents, it is the documents. During the pandemic he hacked Ms Molina's account, we need the Imerman letter from Diana parker, there was 6 months of the pandemic with all the screens open all the time, 3600 pictures.
AC	From 2020 you got 6000 pictures?
NZ	During the pandemic he had left devices open everywhere, they were open
AC	Did you look at them in 2020?
NZ	During the pandemic with Miss Molina
AC	Did you or didn't you look at them.
NZ	If they were open and everywhere, probably
AC	Well, your either did or you didn't
NZ	Screens were open and I can recount it
AC	Did you just see what was open or did you access the devices? You mentioned a few moments ago there were thousands of documents. You are saying you just glanced at the screen, you didn't scroll through?
NZ	I walked in the room in Morocco, there was an open WhatsApp with Miss Molina and that's when I found her existence.
AC	November 2020 you noticed your daughter's computer, between February 2020 and November 2020 you had access to respondent's devices
NZ	In February 2020 I found out about miss Molina. He came to Cheltenham for 6 months, we went to LA for 3 weeks then we went to Wyoming..
AC	Between February 2020 and November 2020 you just told us you had access to our devices. When did he leave your home?
NZ	August. October 2020 was the last presence of the respondent
AC	From February to end of October 2020 you had access to his devices. I am going to put to you that you carried out extensive research on Mr Zahmoul's devices.
NZ	That is not true. I only found the laptop computer in November 2020.
AC	Did you access the devices between November 2020 and April 2021 when your solicitors got them?
NZ	Through the 200 pages, yes I did. They were returned to me, they made no sense and they only made sense last week.
AC	I understand there were over a thousand documents.
NZ	They were useless.
AC	What do you mean?
NZ	They were simply bank records asking me to forward to the respondent, they were filed by me as administrator of the house, they had no useful value to the proceedings.
AC	You downloaded them and put them onto paper.
NZ	No, they arrived in the post, I opened them. 200 documents are Pinocchio. 4 binders, 1 is Pinocchio, 3 are useless. 200 pages are useful. Reason Imerman took so long, even though it was forwarded to the respondent we were not communicating, they instructed HFC to do the entire exercise, coinbase was on



	the FDA, the Imerman being stretched in time and cost we arrived one day before the private FDR, they asked to skip the updating disclosures, we said no. I said it should be so expensive it should be one folder, they said no we are doing all 4.
AC	2230 of the bundle, letter from Mr Zahmoul's solicitor to yours.
NZ	Review of Imerman?
AC	What we can see here is there were categories of documents, you categorised them.
NZ	Yes
AC	Yellow lever arch with Barclays, red lever arch, grey with tax
NZ	Useless
AC	Red folder about children
NZ	Yes. Only one is the black lever arch.
AC	You are concerned whether they breached the privacy of Mr Zahmoul, I am trying to decipher what you looked at.
N	Everything in the black folder, 90% did not make sense, I did not know what a node was, he sent by text it lost confidentiality status.
AC	We are talking about 2 different things.
NZ	I looked at them, they are not confidential.
AC	Not the question I am looking at. We now know you had access from February 2020 to November 2020.
NZ	No. The document the respondent had, the devices he was with me and the children. I saw what I saw and the children, it is horrible we would not want them in the courtroom.
AC	2235. Paragraph 51, a printout relating to coinbase and Gemini. It is expressed there that Mr Zahmoul's coinbase account, and he had not had a Gemini account for a number of years
NZ	Not true, it took a subpoena and millions of pounds to find out that was false
J	Can you listen for the question
AC	Page 1389. Back in 2018. This is an email Mr Zahmoul sent you a list of updating assets, relates to real estates and then investments, can you see. Can you see reference to coinbase, 75,000.
NZ	2018, two things there it says coinbase there is no connection in this email between coinbase and Topanga, the only person who knew about Topanga was an LLC.
AC	In 2018 you know Mr Zahmoul had 75000 in coinbase?
NZ	No. In addition I did not know about Topanga, he made on 17 th February 2015 into macros the holding company in 2015, I did not know that. I knew he had a wallet at coinbase and in that wallet he invested in crypto, when I spoke to my brother it's the wallet buying crypto, only became coinbase on 16 th July 2021, one day before private FDR.
AC	Look at the heading of investments, coinbase, you knew your husband had invested 75000 in coinbase. I am asking you if you knew he had 75000 in coinbase
NZ	If I knew this was Coinbase do you think...
AC	1392. WhatsApp exchange on 3 rd October, Mr Zahmoul sending you a link, about Tiger Global investing in coinbase, you reply with a wink. This was 2018. What did the wink mean?



NZ	Coinbase the private company had 17 rounds of investments, so when the respondent said he did not know the value of the investment, this is in opposition when a venture capital firm like tiger global he is saying he knows it is worth 8 billion.
AC	What is your wink for?
NZ	I sent it because I didn't care
J	I am trying to understand your case, I am trying to listen to the answers you are giving. If you do not listen to the question and try to answer I am not going to be able to understand your case. I want you to calm down and listen to the question.
AC	Why are you sending a good luck wink to him about the announcement that coinbase was now worth 8 billion
NZ	Because I have no words, it is good news for the market
AC	I put it to you that you sent it because it was good news for your family, because you knew there was a 75,000 investment. Page 1394, you were arranging a mortgage, an email exchange to the bank.
J	Look at the document
AC	In context, 1395 you see where this is coming from, this is the bank asking for additional information. At 1394 Mr Zahmoul is correcting the information being relayed. He says the big missing piece the IPP2 its more than 1.8m of assets...'i have private investments that don't seem included like the investment in coinbase.' Reflection that you and he knew about his investment in coinbase.
NZ	The missing word is Topanga.
AC	I'm asking about coinbase.
NZ	My training is the valuing of companies, it wouldn't have taken me 2 years and 1.2 million to get there if I knew about Topanga.
AC	1394, as mentioned yesterday 'I have crypto'...he is distinguishing the coinbase company investment.
NZ	There is no connection between coinbase and Topang,a if I would have known that it was worth 7 million
AC	Did you know about coinbase?
NZ	No, I did not
AC	You were copied in the email. I am putting it to you
NZ	Investment in Topanga also called coinbase
AC	You knew that he had made 75000 in the company, different to the shares
NZ	I do not agree.
J	That is fine, I understand.
AC	Page 1400. Mr Zahmoul instructs me that not only you, but your friends and family and they knew you and he had investment in it.
NZ	No
AC	Exchange between Mr Zahmoul and your friends about his coinbase investment.
NZ	Not true. Mrs Ouziel is honoured by the French government well respected [NZ speaking French] Zu means pieces, it is direct. It refers to pieces.
AC	She says 'bitcoin' He says yes, I am waiting for ICO also
NZ	This is pieces. I make prudent investments, this is the rest of the conversations
AC	Where is it?
NZ	She can come and give evidence, my team said
AC	Don't tell us what your team said. Conversation with your husband and brother on 6 th January, at this stage Mr Zahmoul didn't know you were proceeding with the form A.



NZ	I disagree.
AC	Your brother was sending information about buying into IPO. Mr Zahmoul says it is expecting to go to 10,000 dollars. Over the page on 17 January, Mr Zahmoul, asking do you work with Hassan, over the page the conversation continues, again from your brother, the details about buying from coinbase. Page 1405 there is an emoji from your brother with an excited happy face. Mr Zahmoul tells me this is evidence that your brother knew about coinbase, he knew about the coinbase deal and that's why he sent an excited happy face.
NZ	No, my brother is available to come and testify.
AC	1692, this is a spreadsheet that was prepared, dealing with a list of investments, date of acquisition, currency, and the value. Listing 2016, 75000 in coinbase security investment, document sent to you in 2017.
NZ	No incorrect, this is a document made available to me in a shared google drive.
AC	I'm told it was sent to you in May 2017
NZ	Absolutely not, the date of acquisition was 2015 not 2017. It is 25 February 2015.
AC	This is inaccurate. He sent you this schedule, so you knew what he had.
NZ	Absolutely not, the only thing of value is the last line
AC	You are talking about something else. Is it your case that you have not seen this document until divorce proceedings?
NZ	Correct.
AC	I put it to you that you are lying, you say this in 2017 when he was reassuring you about what he had in the event of his death.
NZ	The respondent said at 21 and 22 he said he had not invested, after sending me all the documents and what I invested in it. During the proceedings, he said he didn't do it because he is not a US citizen, this says he did do it through Mike Deeg. Mike takes the money and gives it to Karim when it goes up. Stack is an off-peak IPO.
AC	What is Mike Deeg's job?
NZ	Expertise is taxes and..
AC	He is FCO regulated?
NZ	Yes
AC	You think mike Deeg would hold money and assets for KZ to hide them from you?
NZ	The answer is still yes, this investment was made through a vehicle he was told you need to be a US resident, he said can I put my wife. Can he do it? yes, would he do it? yes
AC	You are saying he did it for business reasons?
NZ	In this case, he simply did it to help, in the rest of the proceedings, Mr Deeg would do it.
AC	KZ said it is nonsense, that Mr Deeg would not engage in activity to hide assets from you.
NZ	He would, absolutely.
AC	After the IPO in coinbase we know IPO rocketed to 7 million, and he wrote to you about the appreciation between coinbase and bitcoin, that it puts the value of 10 million dollars. Mr Zahmoul wanted to sell the shares in coinbase on 4 November, to liquidate the coinbase and each of you take cash.
NZ	I don't read any messages by the respondent, and I blocked the respondent a long time ago. I do not read anything from him and he knows this. Did he send this, he knows the price of coinbase.



AC	Did you know he wanted to sell the coinbase on 4 November?
NZ	This is not 'I would like to sell'
AC	He says 'we would get 4 million'
NZ	He is saying would I settle, I would not do settlement on an email because of non-disclosures.
Ac	1375. You are writing to Rachel, she has kindred ventures control of the coinbase shares.
NZ	Yes
AC	You are asking that half be transferred to you
NZ	Yes
AC	KZ is not copied?
NZ	No. Direct listing on April 14 2021, because of the 7 million. The respondent invested in an LLC vehicle, he paid for 75,000. The partnership did an in-kind distribution. On April 14 he received a [x], that went to forte securities. From a tax perspective, the capital gain between 75000 and 7 million he pays nothing on that because he is in Portugal, but Portuguese authorities hold 28% and might claw back on it. I was trying to avoid it, that I am a US citizen.
AC	You are telling us why, I want to know what.
NZ	I am getting there, I didn't want to be chained for 4 years, to avoid that there is another way. At the time of the exchange, if he said I would get half of 7 million and be responsible for all the capital gains, as if those 75 were from. I am not asking her; it is totally doable.
AC	You were asking for legal title to 50%. What were you asking her to do to?
NZ	To put 2 people under the distribution, to get 50%
AC	Did you tell Mr Zahmoul or his solicitors?
NZ	In correspondence.
AC	They did not know you did that
NZ	When he did know, he did not do it. She said you have 1 more week. If I'm correct, coinbase has reported 7 million. It's not a capital gain it is a dividend he wants to charge me capital gains.
AC	1367
NZ	The UK believes LLCs are shady vehicles
AC	Katherine Landells writing to the owner of Bitwyre, concerns about the transactions, Mr Zahmoul sold back some bitwyre.
NZ	Do you want me to explain?
AC	No. Look at the middle paragraph, why were you writing to Mr Denby telling him that?
NZ	I will explain the transaction, we sold on November 2020 to bitwyre in Indonesia, for professionals in crypto.
AC	I am asking you why your solicitors are telling Mr Dendi that you were possibly going to report Mr Zahmoul to the FCA. What is the interest to this man?
NZ	The respondent bought 10,000 bitcoins and a year later he divested. Mr Dendi is the owner of the company, he texted him to buy back his costs, he said buy me back at cost. Mr Dendi did the company had 6 funding rounds in 1 year, on the day they did the transaction at 6000.
J	Just stop. Part of my job is to write down your answers, at the moment I am not writing, as you are not answering the question you are being asked. You are not listening to the question. It makes it very difficult for me to listen and understand your case, I really need you to listen. Short break.



	11:42 break
	12:03 court resumed
J	I should have made clearer, I have had the opportunity to read everything in the bundle. I have been involved for a long time, I know a lot about it, you don't need to give me the background. I know.
AC	I am moving topics. I want to ask you about the litigation with the BOJH. 2203 of the bundle.
NZ	May I finish, the explanation on the bitwyre was convoluted, it is called an undervalued transaction in the code of fraud. I simply asked to show the respondent had 1% of bitwire with 11 other people. I wanted evidence that he sought that 1%, evidence that he sold back his ownership. It is a private transaction; he is allowed to send something that is 100,000. This is a man who they would like to know he is regulated. In my opinion it is something notable, this is why I instructed my solicitors to write to the CEO.
J	Okay. Have you got the page?
AC	You provided the court with confidential settlement communications; the court thought it was inappropriate. What were those documents, do you know? 'the plaintiffs arguments..the courts finds the terms and conditions are ambiguous'
AC	What were the settlement communications you gave?
NZ	We had mediation communications, we reached after 1 day of mediation and the bank and the mediator reached out that should the CEO call the respondent and ask him to reverse the transaction, the respondent did on the December.
J	What were the confidential communications?
NZ	The mediation documents
AC	I was under the impression is was documents from these proceedings you have clarified it is not. Page 2383 – opening of the joint LLC business, Mr Zahmoul was trying to get an account opened for the LLC. It is your case he was trying to do so through the UK court, your case to BOJH was the court had not approved an order to open an account, what is this reference to? Court is reciting your case, but he was not successful.
NZ	He was not successful, 17 November 2022 court order, it is a variation, possibility to vary the order. Burgess Mee applied for a variation, I represented myself with a D11 to vary.
AC	Let's look at the orders at 336. 17 November 2022, you and Mr Zahmoul trying to have arrangements for the Wyoming bank account. There are promises that you are Mr Zahmoul are giving. Bottom paragraph on 335, 'must take all steps necessary for the rental payments being paid into the following account; LLC account at 3100, paragraph B is the property at 3093. Rental income shall be paid into an account, account shall be opened on the parties' joint application to the bank. The parties are promising the judge you will open the account.
NZ	I do not agree, paragraph 17 you could vary. I was told I should proceed to move on and I could apply to vary it.
AC	You gave a promise to the court that you would do that, but you weren't happy so you would vary it?
NZ	I was unhappy with this
AC	You have made the point you were not happy and you did not want to open an account
NZ	I didn't want an account because..



AC	I don't want why, I just want what. There is a court order which contained a promise you would open an account but you are making clear you wanted to vary. You knew what the order meant, but you wanted to vary.
NZ	I understood that there was language in the order asking to open the account and I had made clear to all that I was not happy with an account open as on 4 October 2022, I received an email saying an account..
J	I understand all that, just concentrate on the question
AC	Paragraph 31 on page 2183
NZ	The court order with paragraph 17 was sent to the Bank of Jackson Hole and was sent with redaction of paragraph 17 and asking them to open the account.
AC	You thought because you could vary your order, you had been successful in asking the court to prevent him from opening an account. You said to the bank he had not been successful in getting the order, because you could vary it?
NZ	I genuinely thought I could vary the order, everybody knew, I think Burgess Mee applied for variation immediately. Absolutely, what I think is that he could not open that account
AC	You are continuing with these proceedings against Mr Zahmoul?
NZ	Technical breach
AC	These proceedings are continuing in America?
NZ	Yes, the judge joined Karim.
AC	The action against the bank was discharged
NZ	Yes, and costs against me
AC	What's the benefit of carrying on with this in America?
NZ	There are false representations and fraud regarding the LLC. This is a dynamic situation, when the judge ruled against me, the transfer that the bank did too, 676,000. I lost on the matter. On the timeline this is before I started understanding the LLC fraud.
AC	How does it advantage you if you are successful – what do you get out of it?
NZ	There is a live misrepresentation, it's not what am I getting it is what is the downside, there is a misrepresentation, the fraud. What am I getting? When you have an entity and the ownership has been shifting, the bank needs to be on notice.
AC	If these properties were sold, the mortgage was repaid, the LLCs closed down and no further connection between you and KZ. What would be the benefit of these proceedings?
NZ	As long as someone is perpetrating fraud against me, I will need protection. I need someone. I bring to court on the D11, 27 April 2023, he answered May 2023 the answer is worth a read. As long as...
AC	Does that answer apply to why you have reported him to the IRS?
NZ	The respondent told me everything himself about the relationship and what there is to know, it is bigger than me. It is dangerous, there are too many things I do not know. I need protection. The children...
AC	Your children do not know about this, it is adult material. Page 2623.
NZ	It's not the IRS, it is the IRS criminal division, New York.
AC	Email exchange from Mr Zahmoul to you, he is writing to you, saying 'it is looking like we spent 800,000..' 'what I think is reasonable to spend 400,000 to 450' 'the balance left is 195 to 235', divided by...leaves a free float of 91 to 131k' do you remember this?
NZ	Absolutely



AC	Next page, email exchange in December 2014, you to Mr Zahmoul and him to you, you say 'I do understand your situation has changed and I will be more supportive, good luck' I read this email to understand that you understood there was financial pressure.
NZ	Yes
AC	Next page - December 2015. You say you cancelled the membership for an expensive gym, KX. He writes to you, you write that you are sorry about it, if she likes we can extend it to 3-6 months
NZ	Not KX, maybe a gym in Gloucestershire.
AC	Mr Zahmoul 'you spend over 5k a month...we are burning through the Barclays shares faster than anticipated'. You write 'I understand I will try not to do anything frivolous.' I read that as you saying you understand there is a bit of pressure on money and you will try not to spend as much.
NZ	Yes, this goes back to taxes, there is onshore and offshore
J	You explained all of that yesterday I don't need you to repeat, I understand.
NZ	The 104, he set my retirement at 104.
AC	At the time you knew there was some financial pressure, and you were trying not to spend.
NZ	Not correct. Respondent made clear if I wanted to spend I can do it offshore, I have been always clear that the restrictions were about remittances to the UK, when he was working or not working the spending onshore was 192l. They are lies so I am stuck at 104.
AC	2626, this is an exchange by you and Mr Zahmoul by WhatsApp, forwarding a message. You had written a message for Mr Zahmoul to send to the bank as you wanted to buy a house and couldn't afford it.
NZ	We bought the house and..
AC	I am told this email exchange about buying a house from Steve and you didn't buy it because you couldn't afford it.
NZ	There is what I know then and what I know now, what I know now is he was restricted by clean capital reserve, when he put in the mortgage he was probably told take it out of it will mess up the taxes.
AC	'Budget will not meet our expectation'. You drafted that email from Mr Zahmoul and he sent it.
NZ	Absolutely, the next year our spend onshore was 942, reconciling those two facts is enlightening.
AC	Next page - 6 May 2019. Looking at budget, high-level budget for you and the girls, 66 in tuition, 66 in rent...
NZ	Me writing to him?
AC	No, I think its him to you. He is saying it will be 360 dollars, he is showing how much.
NZ	360 thousand, using his salary to peg, which now he is doing with the rental in Wyoming, 104 is 2000 x 52. There is always pegging, there is always a budget and a plan. In 2018 he had Miss Molina, we are looking at a pegging right now. My future income is restricted by Wyoming, we never touched rental income, this is a box. I make 30 therefore budget is 360.
J	I need you to concentrate on the questions, I can't write fast enough when you answer like this. The faster you talk, the more difficult it is to take a note. You need to listen to Miss Campbell.



AC	In the bundle there are documents from 2018 – 2023, in the documents Mr Zahmoul is trying to ask you to spend less money, do you agree?
NZ	I agree he was doing that, it didn't make sense and now I know why.
AC	I was asking whether we agree and I think you say yes
NZ	I know this boxing, everything is by tax memos, the move to Portuguese was premeditative since 2018, likewise my budget and restriction, he even asked me to go and get a job at Cheltenham ladies college.
Ac	He asked you to earn money?
NZ	Yes, can you believe that.
AC	You believe he was trying to ask you to spend less money, its his case that he was worried about you running out of money, so he was asking you to not spend so much. Do you agree?
NZ	He was worried he would have to remit funds from offshore
AC	Would help to say yes or no, Mr Zahmoul was asking you to spend less as he was worried you would run out of money, do you agree?
NZ	No. From where it stands today, our expenses speak louder and clearer than I ever will. I am worried for this balance sheet.
AC	You don't agree and you have explained why. 2083. Table showing the reservations for the property in Wyoming. Recognise this?
NZ	Yes
AC	Third column says type, it says guest. We can see the third line you have booked the accommodation from the 9 th July until 26th august.
NZ	Yes, and I am staying there now
AC	Purchased first Wyoming property in 2017
NZ	Yes
AC	Second in 2019, where did you stay before the purchase?
NZ	A hotel.
AC	When you purchased in 2017, you didn't stay there because it was let.
NZ	When we purchased the first one I would stay in terra hotel
AC	So only time you started to stay was when you bought the second property
NZ	No, in the pandemic
AC	So 2020, I am told you stayed two months in 2020 and two months in 2021 and one month in 2022
NZ	Different houses but yes
AC	In November 2022 you booked to stay for the summer.
NZ	No, yes probably, when they send an email they are opening the calendars, I originally...I only booked to stay 1 month.
AC	Can we look at the second booking at 2225. Bottom two lines, second booking on 10 March extending the booking from August through to November
NZ	Correct
AC	2297
NZ	The situation is..
J	Let's just get to the question first
AC	2995 please, sorry. This is a bill from GB liners in July 2023 from Hill Villa to Boston, for Jade.
NZ	Correct
AC	2997, email dated 3 rd August from one of the agents to look after one of the Wyoming properties, saying because Nadia is in residence indefinitely, remains



	blocked off until we get confirmation from both parties. Did you tell Daniel to block it off?
NZ	I asked Daniel to block it off and moved indefinitely. Life is a moving river, these emails, what has happened not in writing, one girl, Jade was finishing her a levels and moving to Boston. I lost our home and I at first I thought I would rent in London, my time in the UK was finished my older daughter was in US and she has needs. To rent in London you need a balance sheet, and to rent in London my monthly rent would depend on the respondent, I could not do that
AC	When you came to court and asked for the rent in London to be paid for by the respondent, you already knew you would be moving to Wyoming.
NZ	When I came to court I would intend to move to London in September, my intention was to ship the belongings to donkey storage. I wanted to live in London until the end of the proceedings and decide what to do with my life. It shifted when I couldn't pay to move out of Hill Villa, I can't do anything without my own balance sheet, I will not accept to live in London without my own balance
J	You have set it out for me
NZ	I didn't lie
AC	When you booked the accommodation in Wyoming through to November, back in March and then you told the agent to keep it booked for you indefinitely
NZ	Booking date in March
J	I am satisfied I can see from the document. How long do we think we have left?
AC	Another hour, I may possibly be able to refine that. It would help me to narrow my questions if we had a slightly longer break. I have no objection to NZ being supported if she needs that. If we came back at 2:30 or even 3 o'clock?
J	2:45
	Hearing paused 12:50
	Hearing Resumed 14:51
AC	Page 2168 please. A letter I am told you wrote.
NZ	Beginning 'neither of us'?
AC	Yes
NZ	Absolutely. 2171. 3 June 2020 correct?
AC	Yes. Can you read the highlighted two paragraphs. Is what is written true?
NZ	Yes, at the time of writing.
AC	Thank you. S25 at paragraph 9. Read the first two paragraphs. Those two statements are contradictory
NZ	Reflect the reality and inconsistencies of the time. What is the question?
AC	They appear contradictory, at paragraph 9 you say this is someone who broke you and took you to the edge of despair
NZ	Process of 30 years, coherence comes way before the breakdown, there was a 10 year, gradually slowly these things happened. It is progressive. Between 1994 and 2011, for when I ordered drugs for the first time in my life. You take someone, it takes a long time to change the internal messages. Likewise, once there is a complete if you are brave enough to go all the way and restart fresh, it does not happen all the time, it is an exception rather than a rule, when that happens you need another 10 years to piece things together. The process is there is a break, that is why I lack coherence.
AC	2701.



NZ	Inconsistencies don't represent a liar, they represent incoherence.
AC	This was an affidavit prepared 7 September 2021, you give the address of Hill Villa, Daisy Bank
NZ	Representative of how homeless I have been, I don't know where I live. An oversight, but more being homeless.
AC	We know you were living in Wyoming. May I suggest the reason you gave that address you wanted to dupe your lordship into thinking that the rent you were getting paid was for London.
NZ	You are telling me this is to keep on getting the rent, no.
AC	You had moved back to Wyoming, why would you give a Cheltenham address?
NZ	It was not a secret I was not trying to hide that, by its nature it is a freezing order because there was a million dollars in the Coinbase account.
AC	Look at page 2064 please. Legal lender.
NZ	Lila had a rough time in the autumn term because of losing her home in England and because I was no longer on the continent
AC	We can see this is September 28 2021, explaining you had taken a loan
NZ	Correct, 14 days later they offered pound for pound and Diana said too little too late.
AC	KZ was prepared to dip into the savings in BOJH if he could use the same money for his legal fees, the same amount.
NZ	False, not savings they were rental revenue, they were sitting there. 2 at the FDA Judge Cope asked that that account, my assets at the beginning were 350 at fidelity were savings from Lehman brothers, started off at withers, joint account at BOJH was frozen. Maintenance of the homes..
J	I get that
NZ	When we ask for my legal fees, the respondent could close the balance sheet. When we asked for access to the joint funds for my legal fees, the answer was no. They would not agree to give me permission but I could apply for variation when needed.
J	Rather than the whole history, just listen to the question.
AC	1839.
NZ	That he would give me access provided he had access does not exist.
AC	Paragraph 38.
AC	Withers were informed respondent would be acting in person. You were able to secure Burgess Mee 24 October 2023, they ceased their instruction on 24 February 2023. During that time, you had extended the detach loan by 40,000 and you hadn't declared that. You didn't declare that the loan had gone up did you?
NZ	I appeared in person on 1 March 2023, I am not sure I filed a form H.
J	Did you increase the loan by £40,000?
NZ	The 40000 was ringfenced to apply for an LSPO. I signed a contract was that it was only for the LSPO.
J	Did you tell his lawyers or him about this?
NZ	No, Mr Zahmoul said that he represented himself so I didn't converse with him, I would not have sent an email to him no.
AC	Supplementary bundle at page 324. Page 389, the application dated 18 April 2023, if you look and confirm you are the applicant, your application for maintenance and so forth. You represented that you were acting in person.
NZ	Correct



AC	Now at 2572, this is a document who shows who the author of the document and it was David Lilywhite
NZ	Correct
AC	You were filing documents by solicitors who were assisting you
NZ	This was a template sent to me by burgess mee, they provided the template to me. They sent me a draft and I didn't use it
J	AC I am aware, if someone takes an MS word document and uses it in another case for another order, it can look like counsel drafted it.
NZ	The first time I sent it I didn't have the D11 form, I needed a template
AC	I accept what you say, look at 1839. This is where we were looking before. You were giving the judge the impression you had no legal assistance between November 2022 and April 2023 and it continued for a year, you say at paragraph 41 you had no access to legal assistance to pursue your case.
NZ	This is correct
AC	We know you had the detach loan, and it had been effectively doubled.
NZ	Between September 9 and when it ran out in august 2023...
AC	You got another 40,000
NZ	Yes ringfenced
AC	That wasn't referenced in these documents
NZ	I need to check if I filed form H, if I did it would be there.
AC	Whilst this was happening you were instructing lawyers in America who were pursuing subpoenas for you
NZ	Nothing has been paid yet
AC	I am getting on to ask about Mr Zahmoul watches
NZ	Your lordship do you have any questions on legal fees?
J	No
AC	Mr Zahmoul would like them back, are you holding them or are they being pawned?
NZ	We had the answers yesterday, the watches I said yesterday are not matrimonial pot.
AC	Where are they?
NZ	They are with the institution that leant me money. I do not agree that they exclusively belong to one party.
AC	There were 11 items of jewellery in the order. You didn't respond, are they safe with the agent?
NZ	Yes
AC	Do you agree you should give Mr Zahmoul the documents so he can go and get the items back?
NZ	Of course, except the items which are joint
AC	638.
NZ	I am sorry, I have paintings in Mr Zahmoul's flat in Portugal, watches paintings and everything, they go together.
J	Look at the page
AC	Item 11, Mr Zahmoul's mother's pendant, that belongs to him that was given to him by his mothers, I assume you don't want that?
NZ	I don't know where it is, I am not sure if I have it, or its in Tunisia or Portugal, I will not hold onto it.



AC	The 10 items, number 10 you accept this was a gift to KZ from you and a friend and number 9 was a gift from his father, number 8 was a gift on his 18 th birthday...
NZ	What's going on? Yes
AC	Number 7 a gift to KZ from your parents at your wedding
NZ	Yes
AC	Which watches do you want?
NZ	The ones you skipped
AC	Items 2-6?
NZ	Yes
AC	Why?
NZ	I am living out of suitcases with no permanent addresses, this is the legal definition of ownership. I am not capable to say about anything because I don't have anything. They are all except are engraving the ones in the middle you skipped are just from the shop.
AC	You sold the family car for 50,000.
NZ	Not for 50, it was a long time on the market. I asked someone in Cheltenham to sell it. I used 10k to pay solicitors, and 10k to pay a friend who lent me and there is about 12k remaining.
AC	Do you accept it was worth £50,000?
NZ	The discrepancy is theoretical
AC	Okay. You have told J you want to live in New York
NZ	Yes, Lila has ambitions to go to Columbia. I was in New York before I moved here 18 years ago.
AC	You have not lived in New York since 2005
NZ	Given Jade's needs and I don't have any more reasons to stay here, I move now, Lila Mae is boarding.
AC	Wouldn't you want to be in Massachusetts where your other daughter is? You have not lived in New York for 18 years, your other daughter is in Boston. You want to move for the first time in 18 years to New York?
NZ	Correct
AC	I say you want to live there because it is expensive
NZ	Actually, I would not get very much for the price. Both girls would not get a bedroom.
AC	So it's not affordable?
NZ	No, I'm just being rational.
AC	You didn't provide any particulars
NZ	I have some
AC	They were not in your statement were they?
NZ	No
AC	Mr Zahmoul is absolutely confident that what you said yesterday is absolute [x] No further questions
	Re-examination
BM	You were asked about your sister-in-law and your brother, in relation to what they said about Topanga. Could you look at 1407 in the bundle. You told his Lordship you could get a statement from them, there is no need as here there are emails and WhatsApp's from them. The first one, from Sylvie – was that the Sylvie you were referring to?
NZ	Yes, she will come here



BM	No need, 1408 – tell your lordship who is sending that message?
NZ	Me
BM	The response, ‘no never’
NZ	My brother.
BM	The barrister told you he knew; he replies ‘I am 100% sure’
NZ	That is correct
BM	Did you dishonestly procure those, by telling the author to write them in those terms?
NZ	Absolutely not.
BM	A letter. 2171.
BM	Was put to you that this text was inconsistent with other text where you had been highly critical ‘I would never had the opportunity...you have provided us with luxury...i am conscious of this and grateful’. I am going to ask his lordship, to focus on 2168-2171, look at the second page 2169. Mr Lord, you will need to read the whole letter. 9 years ago you write ‘I rose from the ashes...I healed through...the pain and the loneliness and the suffering...I torched my own beliefs [BM reads the letter] for the first time there was no tension between us during lockdown’ do you think there is an inconsistency with what you say there and what you say in your other statements?
NZ	No
BM	There was a list of chattels you were taken through, what are you saying should happen to those for the avoidance of doubt?
NZ	I don’t care
BM	Are you happy for the things to be returned to him that have sentimental value?
NZ	Yes
BM	She mentioned paintings in Portugal...
J	If you seek to adduce the evidence in the witness box, or put on record what your client’s position is, you can but I’m not sure about resolve it
BM	In relation to the property in Portugal where your husband lives you mentioned paintings you describe as yours
NZ	Yes
BM	Are there any other specific items you would like to retain as Mr Zahmoul will like the watches
NZ	The artist is [] she is a friend, I love them, some furniture for the children two beds and chest of drawers, peter rabbit hand painted, the girls would like those.
BM	His personal possessions in your possession, would you have any objection to Mr Zahmoul having those returned to him
NZ	No
J	I have no other questions, I am grateful. I am going to release you from your oath and let you go back to your seat.
	15:36
BM	I am going to need a little bit of time to speak to NZ after giving the evidence, I propose starting tomorrow.
J	Cross examination time estimate?
B	I would like to think I can do this in a day, depend how verbose I am and how succinct KZ is.
AC	I am in your hands, seems a shame to lose an hour but I won’t make representations



J	I am prepared to rise now, but I would want to finish tomorrow, we need to be as sure as we can be so he's not in purgatory over the weekend
BM	In your hands
J	I would like to start now, reduces chance of KZ being in purgatory over the weekend. I will rise now for 5 minutes, and then we will go through until 4:20
	15:38
	KZ in witness box – 15:46
	KZ taking the oath.
AC	Mr Zahmoul give your full name
KZ	158, Lisbon 1150282
AC	Your voice is soft, direct your answers to his lordship. You have filed a number of documents, are those contents true?
KZ	Absolutely
AC	You want to deal with a debit on the asset schedule that's due for tax, a lifetime allowance tax, been included as a liability, is that a current liability?
KZ	As I understand that the UK parliament has changed the law, and there is no longer the lifetime allowance, there should not be a tax on taking that out.
AC	You would be happy for us to deduct that?
KZ	Yes

BM	Usually, the name and address bits are uncontroversial. Can you say again your address
KZ	158 Lisbon 155-81 . That's been the position since passing of my father in October 2020
BM	The issue is the difference between this address and the one in Cascais as Nadia is concerned there may be a different address that you haven't disclosed. Please provide an explanation of difference between Lisbon address and that?
KZ	When I left the UK in 2018, I moved to Portugal. Change in EU regulations, made pension taxable past the date of 20 February 2020. A friend of mine introduced me to address in Cascais. I was able to show I had a rental contract with someone and say I was a non-habitual resident. Deloitte did this for me in Portugal. Had contract for 6 months, I have showed the contract signed the 500 euros per month out of my account from February to October. Stayed on my tax return I addressed it with my current accountant. He has fixed it in my tax returns. My HMRC tax returns showed hill villas, it is not so relevant from a tax perspective.
BM	Tax advantage for that address?
KZ	Benefit from drawing from the pension with zero tax, from 2020 it was 10% because I qualified, I could take annuities at 0%.
BM	That wasn't true,
KZ	In what sense?
BM	You weren't living there
KZ	I was not living there
BM	That was a lie to advantage yourself for tax purposes
KZ	Was not a lie
KZ	I paid someone 500 a month at the time I was searching for an apartment I could live in. I was debating if I was going to take a two bedroom instead NZ convinced me to rent a more expensive property.



Bm	It was an artifice
KZ	I don't think so.
BM	It was a façade, the key is where you were residing you were pretending you were residing there. You were paying out money but not living there
Kx	My father passed away I was travelling I had a Pied-a-terre that I wasn't actually staying in for the changing legislation in Europe.
BM	1340. Do you see any dissonance between what you have just said and what you wrote here. About your character. 1340. You juxtaposed your good character and integrity, 'my banking career...respected for giving...completely trustworthy and honest...Nadia wanted to gives bribes in Morocco I was completely against the dishonesty' do you think that description of yourself is consistent with what you've just said about what you did with the property you pretended to live in?
KZ	Yes
BM	1676 please. A couple of things by way of explanation, what the assets are and how we got to where we got to, with such a difference in presentation between what Nadia thinks the asset base is. In amongst over criticisms of Nadia, you wrote this to burgess mee. You say 'lastly I am enclosing a list of books over the years ..during therapy period...believed Nadia had borderline personality disorder and PTSD...not to expose Nadia but make you aware of your actions, take advantage of someone who is may not be well' Nadia sees this as being characteristic of what some men do to women, to tell them they are unwell to undermine them, she thinks this is what you were doing with her solicitors, that is a fair criticism isn't it?
KZ	Its a spin, not a criticism. I have done since beginning of Nadia serving me, this has been written, we have been in proceedings for 1051 days since FDA. this was done after so many attempts of reaching out to Nadia, my first email to miss bloom to offer any explanation with any expert and nobody was engaging. I was articulating what I was experiencing in earnest. We bought a house together Wyoming joint. I should have said you take one house I take the other, I wrote an email on June 3 rd explaining what had happened to our assets, she gave court origami to our friends she didn't want to engage.
J	As I understand it, this email was written to progress things
KZ	Yes
BM	Do you regret writing it in those terms, was it helpful to write?
KZ	I thought it when I wrote it, similar to her when she write, I am not a Russian Oligarch, I worked hard for my money, If I offended I am sorry. I pleaded around that time for her to be rational. I wrote to her Mackenzie friend Monica McGregor, she is a forensic expert, I asked her to ask any question she wanted, I was despairing she didn't respond.
BM	I am going to be explaining to his lordship it is a case in which every action has an equal and opposite reaction. You reference your belief that Nadia suffers from PTSD, if you look at 2164, there is a letter from Professor Libby that you exhibit to one of your statements. This is a letter you exhibit to your statement, you were relying on it, 12 July 2022. 'I write in some urgency...I understand you are acting for her in divorce proceedings...I am treating symptoms of PTSD' keep that in mind, look at 477. Hearing In June 2023. One of the advantages of you having acted in person, your words are not said through medium of a barrister, you speak your words 'don't believe there is liquidity...she suffers from PTSD...this is reminiscent of 2014' I want to put to you that you present as if this



	PTSD is sprung on you as a device, you knew Nadia is someone who had been unwell and the proceedings would trigger her.
KZ	Fair thing to say, some context, letter is 12 July, remember when that was, day we had a mediation session. Then the next day you made an appeal on the Cigna policy, an appeal, when you had the letter, at the time this letter was available on July 13 th , you decided to use compassionate grounds to get judge cope to overturn her order, to give me access as a father to my children medical proceedings, they were rightly mine, that is what I was trying to say.
BM	Nadia you know is someone who values transparency and feels the need not to be misled or feel that things are being hidden from her, these proceedings particularly in relation to Topanga have triggered her and made it hard for her to believe anything said.
KZ	The reason I didn't want to get divorced and purchased a house on the basis we were not going to get divorced, and October 2021 she sent me a letter to postpone everything 1 year or this is a form E and you have 1 month to put it together. Of course it increases her PTSD, but I didn't do this, I was trying to stop this occurring, we renewed the vows, I stayed with her, I wanted to maintain her assets. I didn't want to get divorced; I don't deal well with ultimatums and that is how I reacted.
BM	A fair summary is that Nadia is someone who deals badly with being misled but you don't feel you are someone who misled her
KZ	Yes
J	Cannot talk to anyone about the case
KZ	Can be on my computer, looking at the statements.
J	Yes, the embargo is not to talk to anyone. Tomorrow at 10:30.
	Hearing paused at 16:14



Attendance Note – Zahmoul Final Hearing Day 4

Client: Zahmoul

Matter: ZAH01.1

Date: 23.02.2024

Time: 10:28

Initials:

J - MacDonald J

ACKC -Alexis Campbell KC – Counsel for Respondent

Sassa-Ann Amaouche – Counsel for Respondent

BMKC - Brent Molyneux KC – Counsel for Applicant

ZB – Zoe Bloom

RV – Rosie Vorri, Pupil Barrister

	11:20 into court
BM	Before we resume, I am going to ask for more time, understandably it is more important to my client that she is satisfied that I have full instructions in the technical aspects of the case, she is anxious she has communicated to me, she does not want points to be missed or inconsistent with the way she wants things to be put. I understand that is not what everybody else would want, I do ask for your indulgence so Mrs Zahmoul can give me full instructions, so she can sit comfortable in her seat knowing her case will be properly put. I anticipate no more than 15 mins.
AC	I am anxious to accommodate Mr Molyneux. I am concerned about the time slipping away, KZ is anxious to have his evidence heard and be released. It is appreciated BM wants to present his client fully, I suggest that BM continues and at a break if further instruction is needed then. I am happy to allow a short period now, and then if a further period is needed at end of cross examination, we can consider once we are through the lion's share of evidence.
J	Final Break, 15 minutes.
	11:37
BM	Very grateful for that. KZ good morning. Portuguese tax return, expand today.
KZ	Can I ask a question?
J	Listen to BM and take it from there
BM	701 please. Happy doing bundles?
KZ	Happy doing it myself
BM	Bottom of the page, extract from 2022 tax return in Portugal, can you explain the run of figures at 952?
KZ	I can try. The two figures 6.6 million euros is the distribution of the coinbase shares. In Portugal the distribution from Topanga canyon is taxable is a dividend, for non-habitable resident is exempt from taxes. While in the US would be taxable from 75, in Portugal what's relevant is what crystallised. I know it says January but its April.
BM	Why?



KZ	My accountant messed up, he said he made a mistake, but it has no impact. The 6.6 million is the value of the shares when I received them and I sold them in September 2022 for 1.74 million dollars, this generates, sold them for 1.5 bought them for 6.6. I had no idea when I arrived there. At the first hearing it was a dividend considered divided. If a [x] occurs in next 4 years, wasn't taxed in UK and US, and Portugal says it is aggressive not to be taxed on that, so we decided to leave in escrow so we can release. Bought it at 75, basically you generate 1.5 million euros, there is 28% CGT on that. It is a loss, it was discussed extensively with Nick Warr. I could tell you about the other figures, I don't know, I trusted my 20-year Deloitte tax person.
BM	You are saying you have the benefit of the tax assets, 1.4 million on future gains. It's a tax asset, the gains you make in the future you won't be paying 28% on in the next 5 years?
KZ	I don't know
Bm	That is a valuable tax asset to have, worth having
KZ	I believe in my s25 statement I said I don't know where I will be in the future. I don't know if this is going to be tax asset I am going to have, there is a risk in the next 4 years that this tax asset will evaporate.
BM	But that is a potentially valuable asset to you, to offset those gains against a crystallised asset.
KZ	It could, I suppose
BM	You could have paid tax at 28%, you could because the acquisition cost was 75000. You could have put 1.533 million euros as the sale price. You could have put the actual acquisition cost and the sale cost, and just paid the tax that arises on the capital gain rather than mixing and matching dividends.
KZ	I don't think so, I don't think I could have done that we are talking about a 20-year Deloitte partner that has been articulating that receiving shares in kind from the US is considered a dividend in Portugal.
BM	Does he say that? 3532, he seems more sceptical about it, perhaps as sceptical as I am. He says 'the allegation that Topanga canyon as a dividend...should be notified that it may be 28% tax on capital gain' all I am saying is you could have avoided all this complexity by paying the 28% tax
KZ	Not his advice
BM	Over the page, two errors I made 'the omission of details in the foreign account details...do not affect the tax return calculations'. NZ had discovered during these proceedings that when things are not produced there are malign reasons, she sees this failure to produce these tables as the same malign issues. Are you prepared over the weekend to provide these account tables? At 3529 gives an understanding what he was talking about. 'The only additional reporting obligations...cross referencing'
AC	I am not keeping up with you
BM	3529, penultimate paragraph. 3532, we were looking at, the omission of the table, will you produce that table over the weekend so we can see it?
Kz	I would be glad, can I check what table? When he forgot to produce it the account in 2020 and 2021 was the account [x] he says there is nothing from this, it was an innocent omission. NZ failed to disclose...it is criminal
BM	You are going off piste. It is not a debate; I ask the questions. You have confirmed you will produce the accounts table.
KZ	I will ask my accountant to produce, I am not sure what you are asking



J	This will take a lot longer if you try and jump in over the question, you need to wait for the question.
BM	So we are clear, your accountant says there is an obligation to produce a table of bank accounts to be cross reference with international obligations
AC	I will get the exact description and pass it on
KZ	I would like the clarify something yesterday
J	Clarification comes at re-examination, your leading counsel can ask any questions
KZ	Can I speak to her, I am not allowed to.
BM	I have some questions about distribution of Coinbase shares. 651 please. This is a point that has been troubling Nadia. This is a cut and paste from an email that you sent 9 April 2021. Shortly before distribution of Coinbase shares from Topanga, you need to set up a brokerage account to receive it, a bank of New York brokerage account. If you look at 732, you will look at what happened when you sold those shares. You'll an email to Kassis in Australia, Sydney, forwarded to Marco Bach at forte securities in London. Nadia is concerned that the shares were distributed to a New York brokerage account with forte and then sold through your friend/colleague in Australia. Why were they distributed to New York and sold in Australia? The proceeds went through London and back to the US.
KZ	Risk of tax in the UK, Andrew Gammon my accountant in the UK thought it was better to keep the shares outside the UK. Kassis has accounts all over including Australia, sold shares in Australia, held the funds for me. On September 15 I instructed him to sell, and I instructed him to wire the proceeds to bank of Jackson hole, how his firm was set up I don't know.
BM	We see the shares going through a Barclays account at 652, at the bottom. We see the wire transfer of £1.624 million to the 8909 BOJH account, about two thirds of the way down the page, the wire transfer of 1.62 million. The wire message a correspondent bank' 'this transactional flow, is not commensurable with the liquidation of US' raises question that the Respondent may not have liquidated the shares. Why were they transferred through the UK, if they were in the Australia to avoid the pull or consequence of them being in London?
KZ	I have no idea. Where you have offshore bank account for safety of assets, I don't know. I would be happy to send an email and have him provide an answer, it is more in response to Nadia thinking I still hold the shares. It was sold for the cash value of the shares on the day of the shares. We can get the series of transactions that fill the order, you cannot borrow that amount of cash. The shares were sold, you can trace the funds to BOJH, but I don't know.
BM	The tax returns for previous years in Portugal, previous years were 18 or 19 pages. The most recent return is shorter, was the most recent a complete tax return your full tax return or are there other pages?
KZ	That is my complete tax return
BM	1807 please. This is a page you produced in May 2021 with a view to sorting things with Nadia, look at 5 entries up from the bottom, coinbase estimated to market 2.327 million
J	2014
BM	Table produced by you in spring of 2021. 5 lines from bottom, coinbase. Tax rate Portugal 0%. 1.790 million after, is that a reference to crypto holdings?
KZ	Correct



BM	We'll come back to that. 752. You'll see there Topanga canyon holdings, US companies, converted to sterling 53 thousand...no explanation as to this line item in your form E or your enclosures.
KZ	There were a 100 pages of Topanga canyon documentation, lot of pages on it
BM	On the form E there was no explanation as to this or in your enclosures
KZ	I'll take your word for it. I answered on June 24 th the US securities offering
BM	We will do this methodically and look at different entries. Form E dated 15 th March, we all agree. We know you knew that coinbase announced its own direct listing on Nasdaq, you knew that when it happened.
KZ	I did not know
BM	I think you did, at 1343 this is what you said subsequently. There you do accept, that you should have stated on your form E that there were discussions/plans for a coinbase direct listing. TCH was a vehicle for coinbase shares. That fact you should have said, shows that you knew about the forthcoming listing.
KZ	Doesn't mean that
BM	Explain?
J	Answer the question
KZ	My father passed away, I got letters form Withers on January 21 2021, find the page in the bundle with Diana Parker threatened me we have to go to court. Nadia wants the UK to stay as the jurisdiction, 28 January I responded. I had other things on my mind, my father's inheritance and looking after my sisters. I had to get ready, find a lawyer. I was not allowed to spend much time in the UK, I knew this deadline was coming for my pension, that's why I rented the apartment in early February in Cascais, I left in...I was dealing with the form E with Andrew Gannon , I decided to leave Tunisia with my sister and went and isolated in Morrocco. I hired Stewarts law firm. I switched to HFC on the advice of the wife of Stebbing that Nadia had an affair with. I had lots of things on my mind.
J	I am in charge of this court room, when I speak, you listen. We'll rise for a short break. 12:09.
	12:21
BM	Mr Zahmoul, before the interruption, we were exploring that you should have disclosed your knowledge about the plans of the listings, and when you produced your form E you knew the plans.
KZ	The statement I made on May 17 2022 was late. I wrote this statement I delivered it late because I had a very serious problem with my lawyers at the time. When I found out about the listings it was on 9 April, while Coinbase had announced that they were looking to do it, it never materialised and it might not have happened. I wasn't sure – when I filed my form E, I put 75,000 for Topanga canyon, paragraph 3 of the May 17 th statement, I discussed it.
J	Paragraph 4
KZ	I had a call with Caroline Parkes and she asked about the quantum and I said it was between 75 and 100 and I disclosed in my form E, this is privileged.
BM	If it is privileged, you shouldn't say
KZ	She told me we have so much work to do on Imerman and questionnaire and it should wait, without waiving privilege that is all I could do. I am superstitious, until it happened that was not an asset I could list in my form, the assets move by huge amounts every day. I was ready to exchange on July 4 th



BM	I am going to stop you there. Methodically. Is it right that your solicitor has no recollection at all of that conversation?
KZ	That's what they said. No, they said they had no recollection of quantum, not the conversation. I sent the WhatsApp to my solicitor on 9 April of the 2021. K1 which stated it was 75, from a tax perspective.
BM	I want to ask about the solicitor, which you talk about in paragraph 4 [BM quoting paragraph] 'they have a record of the conversation', not just the quantum, they have no recollection of any of the conversation in relation to the listing
KZ	No
BM	You've just told his lordship that they did have a recollection of Topanga but not the quantum but here you say no recollection?
KZ	Yes
BM	At the time you disposed the truth of your form E, you knew every detail about the listing apart from the amount, yes?
KZ	No
BM	You knew there were listing rounds between 202 million and X
KZ	I was not focused on this with the divorce going on, I was in Morocco, switched lawyers, I was in the middle of nowhere, so I didn't infect anyone with what was going on in my life,
BM	You knew 2 days after your form E, Coinbase had made a regulatory filing according to previous filing, 268 million dollars, you knew in that filing Coinbase had said his private stock 342 per share, you knew it was a buoyant market.
KZ	You are impounding things I knew on me, not correct
BM	3 rd April, release it would go on sale 14 th April, you knew that didn't you?
KZ	You think I was focused on Coinbase, my father had passed away, family falling apart if that is what you think, then fine.
J	Being petulant in your answers is not going to help me, what is being put to you is that you knew, did you know or not?
KZ	Did I know about Coinbase, potentially. I knew that things had happened in the past, many things can happened, I am superstitious I didn't want to assume things, same thing as I know Coinbase 15 million euros. I don't have access to my shares I don't have access to Topanga canyon, my friend Mike Deeg when we invested in Coinbase we never spoke to them or had feedback, tried to get updates from Steve Jones but we weren't getting them, wasn't 100% sure.
BM	Idea that you were semi-detached at end of march and beginning of April with Coinbase is not true. Look at 650 please. Extract, copied into a D11 that Nadia issued, at C. 6 th April 2021, extract of material you were asked to produce. We see a copy of the email overleaf. At beginning of April you knew things were progressing to a floatation, didn't you?
KZ	I knew, I responded to an email on 9 th April, if was before FDA on 6 th April, an email came in an I missed it. I responded on 9 th April.
BM	881, the day after you received that email requesting [X]. This is the asset schedule prepared. Topanga canyon at the bottom box, 4 th line item, narrative sum in capital account 'company business unclear' it was wrong for you to allow that presentation to go before the judge. It was wrong of you not to instruct someone to say this in proceedings, only the day before you were told it was going to be floated. That was wrong.
KZ	6 th April I didn't know this, my first form E. I had just instructed new lawyers; I wasn't focused on this. I am sorry this happened, I wasn't hiding this from Nadia. I even said to my daughters on WhatsApp saying this will be an incredible day,



	I was trying to tell this happened. On the 9 th I knew and spoke to my solicitors, unfortunately.
BM	Do you take, I am going to be saying to the judge that this failure to disclosure has left such distrust and costs that we cannot disregard it. This was a bad error judgement in the very least.
KZ	Clearly, bad error at the very least, I have complied with every court order, meet anyone any time any place she wanted, offered anything.
BM	Did you know there had been 16 funding rounds at very significant prices.?
KZ	This is the email of November 18?
BM	Look at the nature, did you know of the previous stock raising?
KZ	I knew of the tiger round, but me going to Morocco, dad's passing, I was focused on other things, the detail for his lordship to appreciate, I wasn't focused on whether Coinbase would be tomorrow or next day, as investor in Topanga canyon I had no idea.
BM	Did you honestly think your investment on 15 March 2021 was as little as 75000?
KZ	The exchange we just went through financially, I put it on my form as 58000, they just raised money at 65000. It is not available to me the liquidity, how can I put it?
BM	Did you really think on 15 March that you thought your true value of your investment in Topanga was 75000?
KZ	I felt that the value I should report was the value on my tax return, thought that was the right way to do, I apologise.
BM	Dividend in kind, 21872 shares, 7.059 million dollars. Uncontroversial. 838 in the bundle. These are your replies from 4 th June 2021. We are over 2 months past the floatation of Coinbase. You are asked for a schedule of investments at 2.4 of form. You attach a table at 884. On that table you don't mention Topanga at all.
KZ	It was a mistake, a bad mistake addressed in communications. There were a few omissions, the response here was associated with 1500 pages of questionnaire and 3000 pages of Imerman. I am sorry, this has cost us as a family a tremendous amount of grief and money.
BM	Error in relation to that question and table, look at 843 please, question 3.5: 'Insofar as the respondent has not provided value of investments and their value can he do so...'. Your reply: 'All of these investment and value have been explained in form E' That was not an honest response.
KZ	Incorrect. I was overwhelmed with what was going on, it was not me trying to hide from Nadia. I apologise.
BM	One more question, in the 4500-page bundle this is one of the more straightforward. It couldn't be clearer what was being asked. What was going through your head - why did you not say it was worth 7.5 million? Why did you not say?
KZ	We were planning to do it in the financial disclosure, every time I brought it up with my solicitors, they said we will do it later, do this first.
BM	I am going to say there was a more malign reason. 1808. We've been looking...
KZ	This was WP by the way
BM	So many things have been said about WP things that ship has sailed. Events in March, bottom of that page. This is 6 th May, email from you. Suggesting mediation, you say please see the asset list.
KZ	This is WP



Bm	Nobody is taking that point so I am going to press on 'please advise what else you need...' you enclose the asset schedule prepared before by Mr Ray. Top of that page, split of the number titled 'in case you are serious' you continue, clearly all the numbers have changed, the bank accounts can split 50/50..pension we should split...tax consequences, let me know when...if this goes to lawyers' I am going to be saying this is one of the most important pages in the 4000, you are setting the parameters for a negotiation aren't you?
KZ	I don't agree but
BM	Tell us why you don't agree.
KZ	On June 3 rd I sent her a schedule of the assets. I begged for her engagement from the get-go and never did she engage a single time. I went to see her father in Morocco 7 or 8 times to do this with the least possible damage to the assets, she didn't mean it. She was foraging through my stuff, under my bed, she took a computer I gave to Lila Mae.
J	Question was were you by this document seeking to set the parameters?
KZ	No
J	What were you trying to do?
KZ	I was trying to get engagement from her so we could do this with least amount of damage. I have never looked to hide my coinbase assets, she had never connected Topanga to coinbase, I am sorry.
BM	1807, you reference coinbase there, but its crypto currency, coinbase and crypto were interchangeable terms, you didn't explain that it meant coinbase.
KZ	On June 3 rd I admitted on Topanga canyon, I said its not working, go to St Barts and get divorced in a civil way. On a June 3 rd 2020 I wanted it civil, she took pictures of Olivia and showed them to my daughters. She never asked questions about the spreadsheet. In November 2021 my friends sent her the spreadsheet she did not engage.
BM	We are ranging off, I am trying to draw you back to May 2021. I will put things to you, and you can say whether you agree. You thought Nadia suffered from PTSD didn't you, you told her solicitors that and other people?
KZ	I told them 17 Feb 2022. We left, I lived with her from March 13 in London to June to the US. She asked me to look for apartments in LA, then we bought the house in Wyoming and borrowed 5.98 million dollars, I asked her not to get divorced.
J	Did you say Nadia had PTSD?
KZ	You received letter on July 12, NZ said she had PTSD this is, I wanted to clarify.
BM	Your presentation was that Nadia is a vulnerable person who can be taken advantage of.
NZ	No, they were ordered to do several things she had to follow through and by November 17 2022 reinstated orders, copying in Ms knight. I did what Mr previous solicitors did because they had done nothing. I am explaining why I wrote this letter to Burgess Mee. I wrote that to him because I was despairing, we were spending so much money, and she had borrowed 280000. It was exacerbating her situation, I explained she had PTSD.
Bm	At the time you sent this email on 17 th May 2021, you knew that coinbase had floated and your holding was worth 7 and half million.
KZ	Yes, but less than
BM	Worth several millions of dollars, you knew that and didn't point it out to Nadia
KZ	Yes



BM	You didn't produce it in any schedule, you forwarded her a schedule which didn't even reference Topanga
KZ	Yes
BM	You told her she shouldn't discuss this or take this to her lawyers
KZ	Yes
BM	If she would have gone along with this you would have bought her out of the coinbase for 358000, this was exploitative and bad conduct.
KZ	No, I was trying to get engagement. I have not misled. I always told her 50/50 with her.
BM	Are you telling his lordship that getting engagement from Nadia would happen by misleading her about the figures on the spreadsheet?
KZ	I was trying to get any engagement from her, it's a precedent email. It was not feasible for her to agree with me without lawyers to get the contract. In 4 years, it was very difficult to get any resolution before FDR I was trying minimise the cost, it was hard to make the money I make. All that money had gone to lawyers.
BM	These proceedings had only been going on for a couple of months at the time of the letter.
KZ	Out of context, for 26 years this was the fear of my life
BM	You thought that engagement with Nadia would be helpful with the figures in the schedule
KZ	No, the house in Wyoming the K1's everything was shared
BM	Why was that attempt at engagement helped by grossly inaccurate figures?
KZ	Engagement can be helped by figures that are going to help you
BM	I understand. Is that an appropriate time to take a break?
J	Yes 13:02
	14:02 hearing resumed
BM	We had Monday as a free day, but I won't finish today.
J	Complete the evidence on Monday, Tuesday prepare submissions, hear them Wednesday and then I will be reserving judgement.
BM	Before the short adjournment we were looking at the timing of your disclosure about Coinbase and the discussions you were having at the beginning of May. I will be submitting to the Judge next week subject to what you say in evidence that your behaviour in April and May was not only dishonest, but was almost designed to exert maximum pressure. 1591 in the bundle. Letter on 26 April after first appointment, 10 days before you communicated with Nadia about mediation, 'I write regarding the interim financial arrangements...[brent reading the communications]' 'he is clear this sum is unaffordable, US AmEx with cap of 1,500 dollars...the burn rate has become greater' what that letter doesn't say is that you have just received shares worth 6 million/7 million dollars. Do you agree that was a significant and misleading omission given you were trying to reduce the amount Nadia was spending as capital?
KZ	It's an interpretation. I was trying to control the haemorrhaging of funds. It was segregated, just because I had an asset we cannot spend so much more, as AC articulated, I was always trying to reign in our spending. My accountant was telling me many times we couldn't afford the lifestyle we were having. It was not connected, I was not trying to be misleading, I was trying to control the shock of just having to purchase the 5 million dollar house in Wyoming, I have tried to



	appease my wife. She had cornered me, had boxed me into these proceedings which have led us here now. The guidance I received was to do this.
BM	This was a fortnight before the FDR, when you were trying to reduce the maintenance, that collection of facts is inappropriate
KZ	The collection of facts gives horrible optics.
BM	1600, Withers response, dealing with the letter which is on the opposite page at 1599. It's dealing with the loan for legal fees, you said it was unnecessary for a legal loan. [BM reading letter at 1600]. 'I note your client was critical of spending money on unspecified suspicions...depleted her own capital assets' do you agree with the implied criticisms that it was wrong, having received those monies, it was wrong to restrict the monies to NZ.
KZ	I did not restrict the monies to the children, I was trying to control the spending. We had just borrowed 5.72 million, the most we had ever borrowed. If we wanted to keep the houses then we would need to make a budget. We would have to make a plan, I don't believe that the optics you shine on the situation is accurate.
BM	Few more questions on this topic. 886, letter of 16 July 2021. [BM reading the letter]. 'this was a vehicle owning Coinbase shares...' why did you wait until 2 working days before FDR to make this disclosure?
KZ	Because Nadia was not ready to exchange on July 4 th , so we waited to exchange. Nothing was ever...
BM	You make so many criticisms of NZ of being late, do you take any responsibility for the inevitable problems that will arise from disclosing this 2 days before a court hearing designed to reach settlement?
KZ	I clearly take responsibility, I want to say the context.
BM	Tell the judge the context that doesn't make that wrong
KZ	My solicitors had been chasing withers to disclose from July 4 th , reason it was on the 16 th was because Nadia was not ready to be sooner. Between July 9 th and the 16 th we had a meeting with Nick Warr. He agreed she take all the [x] in American and I take everything else and I said no. I was not trying to misguide, I didn't understand the process like I understand it now. It has been an expensive lesson.
BM	In April HFC write the letter about maintenance being reduced, you know by this point that there is a 7 and a half million asset that has crystallised. You make that disclosure 2 days before the FDR and you say 'I was waiting to exchange', can you see the culpability for the delay lies with you here?
KZ	I don't agree with you. I was following clear guidance, they were waiting for Nadia to be ready, I am a lay person, your sophistication I do not have. I made a mistake by not disclosing earlier. I'm sorry I did that.
BM	You say that over a million pounds of extra costs, you are saying to his lordship Nadia should bare that responsibility. Do you think that is fair in the whole?
KZ	I think she bears the brunt of the responsibility for not engaging. She filed LSPO on August 14 th , she did not follow the FDR rules, to me it was never an intention to settle or progress constructively. So she just wants to not communicate, she was saying the way to respond, we have been told by J that it would be better to negotiate. I have wrote 27 times to try and reach with her and have proper engagement, she has never engaged. She tried to say I was bullying her after saying I was the nicest person in the world. She had premediated this for a year. She lived with me a ferreted through my stuff, trying to figure out everything that happened. I sent her a spreadsheet of all my AmEx cards, she has not done anything that was asked by me or anyone.



BM	888, letter from withers on 16 July. They describe first two paragraphs [reads the letter]. Fair criticisms aren't they?
KZ	I don't think so
BM	Response at 890 and 891. Your solicitors [reads the letter] point 8 at 891, Topanga canyon. Do you agree that the tone of this is improper in circumstances where you accept that you have not made the disclosure and you have apologised to the court?
KZ	I suffer from ADHD. All the letters from Withers were aggressive. There were letters from HFC to withers which did not need to be this aggressive, it is offensive but it has to work. She was looking to hurt rather than to work together to get this divorce.
BM	This is a run of correspondence following you attempting to mediate, with inaccurate figures where she has been saying all along she doesn't trust your disclosure. You have now disclosed upwards of 7 million, your solicitors response 'no basis for these allegations have been offered' Nadia sees this as gaslighting, people telling her something that she can see is obviously wrong. Do you agree?
KZ	No, I don't agree with you, you have to have the benefit of reading all the letters. Judge Cope served the costs order, again she penalised Nadia, from the get go she was looking to harm before coinbase.
BM	1343, paragraph 25 'I approached the form E literally...' [BM reading] literalist approach you are touching on there. The value of your other private equity unquoted invested is explained and qualified in your Form E. 175 please. I am going to be saying to the judge this literalist approach only seems to apply to Topanga, you'll see the Panama company 'the company owns squatting rights...' [BM reading the written qualification] 753, Hydra Ltd, you say [BM reading] 753 again, top of 754, 100 euro ordinary shares. 'this reflects what I paid for the shares in 2020 and remains my view of current value' you were with all these shares able to come up with an estimate of the current value, for all except to Topanga. It doesn't stack up.
KZ	Don't agree, didn't have much information from Topanga, it was done in 4 weeks 3 weeks. Route IA was not there, nothing there, bitwyre,
BM	Mr Zahmoul, where you looked at these and you had some view on value, you tried your best to attribute a value to the other equity interests. This only really applies to Topanga, why is that?
KZ	Not correct, I have announced I just put the initial numbers
BM	You say 'this reflects what I paid in 2020' you applied a critical eye to come up with a figure.
KZ	No, it was a recent investments
BM	1384. July 2020. Running into Steve at a party, someone who introduced you and Mike Deeg to Topanga investment. [BM reading exchange] you say 'better not be' because you knew this was a very valuable investment in underlying coinbase didn't you?
KZ	No, I didn't know that. There was a few emails over the years. We didn't get an update one time on this, not like venture capital every six months where you receive an update every 6 months. This investment I mentioned in May 7 th statement. Maybe it wasn't a serious investment
BM	Your sworn evidence is your best estimate to March 2021 was 75000.
KZ	Ok, I explained this in my May 7 th statement.



BM	Tell the judge please, whether you thought on 15 March 2021 whether this was worth 75000.
KZ	Until it is realised, it is 75000, until such time it is not worth more than 75000. That is what I have always believed in all private venture capital. Many friends in finance have this approach, be conservative until the investment is realisable.
BM	I am putting to you that is a dishonest presentation. 866 please.
J	14:35 bathroom break
	14:43 hearing recommenced
BM	There is a document, a letter from HFC to Withers from 2 July. I don't know how to deal with it, I have a copy here.
AC	Happy for it to be read
BM	Letter from HFC 2 July 2021 to withers, 'given the sheer number of our clients bank accounts, I do not propose providing updating disclosure, there has been significant...my client is happy to proceed without my client updating her updating disclosure also' You were proposing contrary to what you were saying earlier, you wanted pFDR to go ahead without updating disclosure, with no update about Topanga. How do you explain that letter of 2 July? let's do the FDR without updating disclosure.
KZ	I can't explain it I don't know, it was never the case I have recordings all kinds of things I am happy to share them it was never the case to share them.
BM	You can't explain this letter
KZ	No, I don't believe, it has to have a context.
BM	I will read it again. I'd rather have the letter produced. We will deal with that on Monday, we will have correspondence either side so he can see it in context
BM	Move on. Large part of Nadia's case is undisclosed capital, I want you to ask you about this so her case can be put to you. 3297 please. AG tax memo prepared for you in April 2021, form E tax queries. I will put the whole thing to you. 'all Karim's assets are clean remitable capital...all funded from this source..2 and a half reserve of clean capital...his UK clean capital, he received offshore earnings...some of this he remitted to the UK...after 2016/2017 and UK income was unable to keep pace with his expenditure [BM reading the memo]. The first element, Nadia says that your UK income met your UK expenditure, she says your US assets predate 2005 and then look at 3496, she says the outflows from your UBS account from Switzerland approximately 12 million pounds sterling, if you add up the outflows from 3496.
KZ	The outflows, you don't need to inflows
Bm	The outflows from UBS totalling 12 million, she says there is no evidence anywhere on the balance sheet showing what happened to these outflows. It wouldn't have come to the UK, it wasn't being used in America to purchase assets as they were in situ. Your explanation is at 3467 [BM reading response] 'there is no 12 million pounds missing, payment of premiums on Penn mutual' Nadia doesn't accept that, she says UK income met UK expenses, the US assets are already in situ and the UBS outflows are not accounted for by the minor expenses, and certainly not brought into the UK as he could have to pay 45%. What has happened?
KZ	We were running out in 2011, I left as sphere digital. Let me leave the UK from the tax perspective, something used by offshore deep sea divers, they can get paid in the UK and work outside the UK. I discussed sphere digital with Nadia in



	April and May 2018. I had spent too much money in the UK. We had exhausted the clean capital that could be moved. The Liechtenstein disclosure facility I had to provide every account that assisted in my name in the world, it could be criminal if I had done a remittance if I couldn't prove it was clean. There was no way to prove that the money coming into the UK was not clean capital, had I stayed in the UK that remittal account would have been reputed by that tax, that is the driver for why I left the UK. I have showed the full inflow and outflow from my UBS account, we can go line by line. It's not in the bundle it predates 2019. I provided my UBS account in the form E. There was no hidden balance sheet, that is my exhaustive income, there is no money being earned elsewhere. I invested in an EIA in the UK, that could come as capital offshore. I invested that it was repaid in 2017 2018, the capital invested could stay in the UK, each one of these transfers can be explained, I can send you each inflow and outflow in 2012, there is no hidden balance sheet.
BM	Nadia would be saying at the bottom of 3297, during this 13 year window of time, you earned 20, you paid tax of 8.5 you spent about 9 meaning there was about 2.5 million clean capital in the UK as of 2016/2017. That was drawn down to meet you spend of 942 per annum, by 2020 this was exhausted, she can't understand if your UK expenses were met by this source of income and clean capital, where the 12 million has gone to. She understands that some has gone to investments, that still leaves several million and she cannot explain where it has gone, can you explain?
KZ	I can show you the inflows and outflows, the balance of UBS was never 12 million, I never had 12 million in an account at any time. How could I have accumulated, what is the logic? You are saying the sum of the flows into an account is the stock in the account. You are telling me year 1 and 2 and 3, money going out coming, the sum of all this is my asset?
B	Nadia's maths is that there is 12 million of outflows, that assumes there is no reinvestment of those moneys. Your response says the money goes out and goes back in so it is double accounting to add up all the outflows. What happened to the money?
KZ	What do you think happened, we spent it
BM	Can I speak to my client, I know she would like me to
J	Yes
	[BM conferring with NZ]
BM	Is the position that none of the UK expenses were met using the UBS monies?
KZ	Of course not, many expenses were paid from UBS monies – New York apartment, the taxes from the 1031 was the UBS monies, the money in the BOJH, the UBS was the source.
BM	The Barclays shares that were another line item of non-disclosures, are the Barclays shares paid into UBS?
KZ	everything in UBS was part of the 19.8 Million. I was hired into Barclays service level agreement with Barclays Jersey. I was seconded by a jersey company. The account Nadia said she had access to was a jersey account, was not UK onshore, I could have the non-ordinary resident status, I could separate the money and send to UBS. On June 24 in the questionnaire there was a request to give provided the exhaustive list of all the share awards, all the units cash value, Barclays was doing a lot of tax with the employees. I was paid in a proportion of the 50 60% in cash. The whole exhaustive list of everything, I left Barclays 2014, last bonus was February 2014. The portion was not in cash it



	was in shares it was paid in a 3 year period, this was why I could not leave the UK to go to Portugal, as the income was earned as an employee of UK so I would be taxed on proceeds of invested shares. We lived way beyond our means, all that was provided as an exhaustive list in replies to questionnaire in June 2021. I changed careers completely, made 2 investments, Ventus 1 and Ventus 2, it was exhausted. It didn't go into UBS. I am happy to provide to help quell Nadia, the list of all the cashflows the inflows and the outflows.
	[BM conversing with NZ]
BM	Move on, Gemini. 751. To contextualise this, Nadia says that you criticised her throughout these proceedings for her suspicions and allegations of non-disclosure that there are other examples of you not telling the truth and I want to explore this with Gemini. Form E at 751. Broad descriptor at 2.4. 'hold or have an interest in' so court can police the totality of your disclosure. Your completion of the form was incomplete, you didn't reference your holding of crypto currency in Gemini
KZ	Correct, Gemini was no longer mine in March 21, I had gifted to my sister in November 2018. When I gifted it, I explained in my April 10 statement, I gifted it to her I explained on June 2014. April 10 2023, made a statement.
BM	We will go there in course
KZ	Video with Mr pinto, Nadia had forced..
BM	2135 is the paragraph you want to reference
KZ	Link there to a whole conversation, during the zoom. My initial response was June 14 th , I explained the Gemini account was no longer mine. It may be wrong legally, but it was gifted to my sister. 1 year later on a zoom call, Mr Pinto attended, I explained that Gemini was a former account of mine. The paragraphs of the relevant parts of the conversation, I was telling Mr pinto and Withers this was no longer my account. Many things that happened between 2018 and 2022 I was only able to get my sister legally on the account of [April] 2022. I gifted my daughters 1 bitcoin each in 2022. Nadia wanted some in 2017 I gave her a quarter of bitcoin. I was a believer in crypto, I was an early adopter.
BM	Because your case is that Nadia has been unreasonable and her case is that you have not disclosed, I will take you methodically through the document. 751, you are asked to provide details of investments you hold...you did hold them, so they should have been disclosed.
KZ	I genuinely believed I did not have an interest
BM	There is a difference between things that you hold, for somebody else and something you have nothing to do with, it should have been in there.
KZ	I disagree
BM	Would have been totally otiose if you only had to put things you had a beneficial interest in
KZ	No...
BM	148. Here we have a series of questions you were asked in May 2022 about deficiencies in your clients disclosure. On 25 th may 2022, question 6...details of NFT crypto currency' your reply at 152, answer 6. [BM reading] 148 question 12, details of any trading activities on behalf of third parties, your answer page 152, question 12. 'my client has not undertaken investments on behalf of third parties except chia'
KZ	I don't understand this
BM	BM rereading. Finally, 149 you are asked about question 16, any other relationships with any other banks or entities, your response at 16, 'he has



	disclosed all his crypto assets' thrust is have you made all disclosure of crypto, any holdings for third parties, no mention of Gemini for your sister
KZ	Didn't think it was my account, it was my sister's account.
BM	you had an opportunity on form E and you had an opportunity here you don't take advantage here to say I do have these 5 bitcoins but they are for my sister, why did you not do this
KZ	I don't know, I did not believe they were mine.
BM	861 please. Question 9.5, any investments 'or of a nominee' February 2022, it's a further nudge to say to you if you are holding anything put your cards on the table if you have no interest make it plain, why did you not?
KZ	I don't know, this process is overwhelming and traumatic. Like I said my first form E was done in a month, it was an honest mistake.
BM	Can you understand the adding together of these non-disclosures have added to Nadia's concerns about non-disclosures and that was reasonable to think
KZ	I could agree with that if I had not offered a hundred times to answer any questions that she had, I had emailed Ms Bloom. I had sent 15 letters, numbering the attempts to meet and explain anything she would like, with anyone, with the tax expert, I was trying to make sure she was comfortable. I don't understand, I have the benefit of 27 years of behaviour. I was trying to have communication, I tried to speak to her father, her brother to get an intermediate. You are pointing out pitfalls in my answers which are genuine pitfalls but it was not trying to hide something. After that when I was on the phone with my lawyers on June 14 th it was a genuine conversation, I am sorry.
BM	One of your criticisms is that she didn't take advantage of opportunity to discuss things direct. I am going to be submitting, but when trust has gone it is hard to get back. For NZ the scale of your non-disclosure, in relation to coinbase and Gemini and Zappo, she couldn't engage and take you at your word, that was reasonable wasn't it.
NZ	No, the attempt to engage wasn't to take me at my word it was to answer her questions, there was no discussion and there comes the final hearing. The day of the PTR there is the application with non-disclosure this has been the theme since the get go.
BM	I think your answer was that it was not reasonable for her not to engage with your requests. Look at 2235 next. This is a breakdown of the Imerman that your solicitors had analysed. They describe the 'Gemini KZ, our client no longer holds Gemini' you knew at the time this was produced that you did have a Gemini account, why did you not tell them to express it in those terms, it was misleading.
KZ	I didn't think it was misleading it was my sisters account not mine.
BM	2134 please. Paragraph 26. [BM reading] 'I stated the Gemini account had once been mine but was no longer mine', The document you were referring to was at 2135. What you say about the Gemini allegation 'I stated it had once been mine but no longer mine...the platform no longer exists' You weren't referencing a specific Gemini account, what you had originally done is denied any Gemini account, you didn't say you had one but you were about to transfer. Why not provide more clarity?
KZ	I did provide clarify, on June 14 2022 when I spoke to crypto expert and shadow expert in 2018, this was...
BM	When your solicitors produced this in June 2021, you knew you had a Gemini account didn't you?
KZ	I knew but I didn't see it as my account



BM	From a KYC perspective, as far as Gemini were concerned it was your account, is that correct? 2135. Paragraph 28 onwards [BM reading]. In 2022, you explain you were able to do this she had been added to your lease in Portugal. Look at 128 please, I am going to suggest this is a fictional explanation. Order 16 May, relates to a hearing on 4 th March in Bristol. The order wasn't finalised until May. Judge made a determination, part 25 applications, SJE Marlon Pinto, [BM reading order] 4 th March, judge made a determination that there would be an expert to look at your crypto holdings, you initially opposed that?
KZ	Not opposed that, initially what do you mean?
BM	On that day and before that, you opposed it.
KZ	At the time It was hard to understand what was going, you said she agreed to it herself. She had not made a determination, I was taken about on the march 4 th hearing, she made another day as cipherblade were considered a flimsy entity
BM	On 4 th march judge said there would be a crypto expert, that was something you didn't want
KZ	Erm yes
B	Is it true?
KZ	That I pushed back on crypto expert? I reluctantly agreed on 4 th March
BM	2724. Remember the chronology, on 4 th March the judge agrees to Nadia's request for a crypto expert to review crypto holding, 8 days later we see you contacting Gemini saying 'I have moved to Portugal and need to change the name on the account, should be Lila and Karim Zahmoul'. 8 days after, you say you have moved to Portugal but couldn't change the address on the site, you moved to Portugal in 2020.
KZ	In February 2020 I came back from the US I had lost my job with sphere digital I needed to find a place to reside, Deloitte informed me this law was changing, I found a place to rent until I could find a place more permanently. We had to go through all this process and get approval from the government to start a clock of 10 year. I was in Portugal from March to June 6, I lost my ESTA. I was staying with Nadia with her surgery, in October my dad passed away I went to Tunisia until January 21 st , the date Ms Parker sent me this email about jurisdiction, then I go see her father and establish myself in a dead zone in Morocco and in May 2021 she accused me of spending. To answer your question, there was no time to do anything with my sister.
BM	No time since 2020 to do anything?
KZ	No
BM	This was an insurance policy
KZ	What was?
BM	Listen to the rest of the question. On the 4 th of March, the judge has mandated an investigation into crypto currency, this was a holding in your name that despite repeated request you haven't told anyone about. You for the first time take steps to get the account into your sister's name too so you can maintain the fiction it was hers all along. This was to make sure if the crypto expert spotted it this would cover you.
KZ	No
BM	Its just a coincidence that 8 days later you do this?
KZ	No, it's not a coincidence, I just didn't have time. I look after my sister, you are right that it happened sequentially as if it was in my name it would have been even more dramatic.



BM	3194. Correct you did not disclose the existence of the Gemini account, even after the account was transferred into joint names with your sister, you never disclosed it.
KZ	In what sense?
BM	In every sense, it took Nadia getting a subpoena in America to reveal its existence.
KZ	I don't understand
BM	You never disclosed this, it required Nadia getting the subpoena for you to admit it
KZ	I don't get it – in June 14 2022 I disclosed it, the subpoena was in 2023.
BM	We are going to look more closely at what you were saying and accepting.
KZ	June 14 2022 I told Nadia and her legal team, she got the subpoena in February 2023.
BM	3194, 29 th June. [BM reading] Fair criticism isn't it?
KZ	Absolutely not, it is a hurtful nasty email that gets right under my skin. To be clear the email I wrote to her, I disclosed I invested, I became director in special company in US on November 6 th , Greenbase filed something before I signed, and that I was 6 days late in disclosing it and asking questions on SPAC . It was perpetrating the judgment of June 9 th when I attempted to explain what a SPAC was, all this communication was costly for what it was. I was trying to articulate that.
BM	2729 please. Continued correspondence, bottom of the page, message from Gemini, purports to come from Lila but signed Karim, why were you sending messages being her?
KZ	I don't know I don't remember
BM	2239, extracts of conversation with Marlon Pinto. Relates to June of 2022, after you had added your sisters name to the Gemini account. You'll see there its an account of conversation you have with Mr pinto, [BM reading the messages]. You don't say anything about 6 weeks ago, you say it was outside the scope, that was wrong wasn't it?
KZ	I don't think it was wrong, I said I disclosed it I didn't go into details of when
BM	1998 please.
Ac	Before this is the shadow expert, there has not been any permission for this to be adduced, it has never been an application for it to be adduced, it should not be relied upon. Because it has been taken out of the section 25.
BM	If it is controversial, I will ask a free standing question. Nadia had concerns she articulated to you that there was a Gemini account and you had not disclosed any involvement, that is why you said to Mr pinto 'yeah there was but I gave it in 2018' it wasn't voluntarily given, it was because you had been found out and you knew you would have to say something so you were getting in early. That's true isn't it
KZ	It is not true.
J	Still under oath over the weekend. Commence again 10:30 on Monday.
	15:56 hearing paused.





Attendance Note – Zahmoul Final Hearing Day 5

Client: Zahmoul
Matter: ZAH01.1
Date: 26.02.2024

Time: 10:30

Initials:

J - MacDonald J
ACKC -Alexis Campbell KC – Counsel for Respondent
Sassa-Ann Amaouche – Counsel for Respondent
BMKC - Brent Molyneux KC – Counsel for Applicant
ZB – Zoe Bloom
RV – Rosie Vorri, Pupil Barrister

	10:30 – Hearing Begins
BM	Good morning. NZ sits behind the curtain. Clip of correspondence I was referencing last week, first letter 30 th June, go to 7 or 8 pages in. Said to his Lordship, wait until updating disclosure and tell her about the Coinbase equity. You instructed your solicitors not to do any updating disclosure at all.
KZ	Not correct
BM	[Reading 2 July 2021 letter regarding not doing updating disclosure]. Could not be clearer you were proposing there would be no updating disclosure above and beyond your questionnaire
KZ	Incorrect, my solicitors, where they said crypto here they meant crypto including coinbase capital. I have evidence in the form of transcripts from august 23 rd , March 3 rd 2022, May 3 rd 2022, and July 7 th 2022. Excerpts of conversation with my solicitors.
BM	This is between you and your solicitors
J	Difficulty with this, if one goes down this line of questioning, you skirt around privilege, you say in your question ‘your instructions to your solicitors’
BM	I was saying your instructions do not update – entitled to put this questions as i am, as it is entirely contradictory
KZ	My communications with my solicitors, zero doubt that the intention all along was to provide the Topanga canyon converted to coinbase. There was precedents of sharing these small segments of communications. To prove a point that is fundamental, I will be happy to share the excerpts of the conversation. The costs involved save the up to date crypto, what is meant by my solicitors is my Topanga, and coinbase and crypto, there was no doubt there was disclosure of coinbase. We are talking about we are on day 1054, this was day 50, I was in Morocco at the time. I was travelling to Lisbon, had a conversation with Nadia and nick Warr on July 9 th .
BM	The only evidence admissible is the open correspondence. I am not going to pursue any questions on that as privilege has not been waived. Your attention had been pulled so you could not concentrate fully on replies to questionnaire...you were waiting on disclosure. Not what you were saying that



	at X [bm reading letter]. You are saying you spent a lot of time in preparation, so there was no excuse in not providing the updating in relation to Topanga.
KZ	July 2 nd , you have to put it in perspective, we started FDA on April 7 th , direct listing was on 14 th , we were extremely busy coming up with response to questionnaire and the Imerman. It was 3200 for one and 1500 pages for the other. I was not in the UK I was in Morocco; it was an overwhelming task.
BM	You were kitesurfing at the PK25 resort
KZ	I was trying to save money, to try and get myself out of the stress I was in. I was not allowed to see or speak to my daughters. I was trying to deal with it as best I could with my fathers passing. When it was announced that it was proceeding in January 2021. I decided to go to Morocco to speak to her father to instill reasons in her, I thought her father had the capacity to do that. DK25, I was doing Ramadan, I was the only guest in the hotel with the staff. This was done while I was remote communicating with my lawyers, I was introduced to them by Mrs Stebbing. I did the best I could, I had never met my lawyers. There was a windfall on 7 million, we have squandered it in the last year. There was a hundred times when I said I would speak anytime anywhere.
BM	Your clear intention by this letter, was to deceive your wife, and never reveal the windfall from Topanga canyon. Move on, 842 please. Nadia says you are a meticulous record keeper, as someone who works in financial services, reasonable?
KZ	No, I'm human.
BM	Fidelity investment account, provided by you to Nadia in June 2020, you say this was a mistake. [BM reading]. Which is true, the presentation of you having a separate fidelity brokerage account in the assets or what you say in your replies to questionnaire? 148.
KZ	Fidelity...
BM	We can move on we've dealt with it. 148. Item 10, details of cold storage wallets. Answer at 152, 'my client does not have any cold storage wallets...' look at 1837 please. There's a purchase of ledger wallet, Nadia's understanding is that ledger is a cold storage wallet, she sees a purchase of cold storage wallets, is that what it is?
KZ	Three ledgers, I have them in my bag now, I am an early adopter, I bought these ledgers, they have never been used.
BM	From Nadia's perspective, she asks in May 2022, she sees you purchasing a cold storage wallet and she assumes from that that you haven't told the truth...
KZ	You are misrepresenting what is meant by a cold storage wallet, what Nadia meant was a lost wallet that hasn't been disclosed, what I have is a calculator. It gives you a code, and a whole process I don't even know. The coins stay in the public wallet but stay embedded in the USB type device which have a passcode. I am happy to share them with the court. It is not meaning that Nadia, I have cold wallet. It is not a cold wallet with any crypto currency, or that I have ever used for crypto, that's what I understood by this wallet.
BM	Do you now think it would have been more accurate to say I have these cold wallets, they have no value, that was the more comprehensive way to answer that?
KZ	No, I maintain the way I said it. I have never had a crypto used ledger, I was maybe planning one day to use them but I have never used them. You need to have crypto sitting there in a wallet on the web, because of my fear of losing them, I did not trust myself. It was important to have all my crypto in exchanges.



	Most of this stuff was in coinbase. They were <i>de minimus</i> at first, they were in MetaMask wallets at first. It was most experimental for me to understand and learn.
BM	Time and time again in this litigation you are your own author in terms of the costs, as when you are asked questions you provide things that are misleading or confusing
KZ	I have said I would clarify anything, Monica the classmate of Nadia is a forensic expert, I have sent her an email which said I happy to sit with you and answer anything that will help Nadia be relived in her beliefs. The fact I had 3 ledgers and I disclosed in financial disclosure. Cold wallet means cold wallet with crypto in them, the question was phrased as if I was hiding more assets, but I was not.
	[BM conversing with NZ]
BM	Matters in relation to your coinbase account I am going to return to. 3648 and 3649. These are important to NZ so I shall return to them. These are emails passing between you and the coinbase team. Thursday 11 th January, email from you 'Dear Ms Marsh...' [BM reading email]. 'I would be grateful if you could reiterate to withers any and all accounts'. You then produced statements in relation to coinbase, I would like you to explain a couple of things. Firstly, can you tell his lordship when Zahmoulka@gmail was closed?
KZ	It was not accessible to me, but it was closed in 2024 when I reached out to them, only 1 was accessible, the last transaction in 2017 I could not access it after that, I am talking about zahmoulk@ka.com . I started dabbling in crypto in 2014, summer 2014 first opened the account then it became my crypto email zahmoul@ka.com . I was logging on from UK and they decided it was not acceptable to have an account in US and UK so they moved it to karim@gmail and closed my account down. If you look at my Form E, I haven't been able to reach high enough from the levels with Miss Marsh, some of the money coming in and out that wasn't disclosed.
BM	Coinbase pro not included, it is not the same
KZ	Coinbase sent me the statements that included the balances, there were no beginning balances. September 9 2023, they were able to provide me a completely different statement I hadn't seen before. It had balances, the coinbase pro. Gtax was the original coinbase pro, it was a trading platform, it holds all your assets, the trading platform where you can trade, you can put an offer or a bid, and if you take a hit you get less fees.
BM	My question was a pretty narrow one, when did the gmail account close?
KZ	2024, when I went back to the support, I had two accounts, one was dormant but still there, similar to bank of Jackson Hole.
BM	The two accounts have concerned Nadia, look at page 3651. This is the second account, the gmail account. One opened first. You received bitcoin from account on July 29, 2705\$. When Nadia looks at the statements for your other account at 2340 and 2838.
	[BM conversing with NZ]
BM	2340 – There is no corresponding entry for that date for the transfer of 1 bitcoin
KZ	It says external account, its not an external account
BM	I want you to explain to his lordship,
KZ	This is the other coinbase account, this is a less comprehensive statement.
BM	2838. [BM liaising with NZ – if you come out maybe you can spoonfeed me these questions]. My lord, Nadia is going to feed me these questions, and sit next to me as they are very important questions.



NZ	Take them back to the email of Jan 2020
BM	Going to ask you to look at the email at 3648. Nadia points out there should be an attachment to this that she hasn't seen.
KZ	It is the next email up
NZ	Where is the transcript?
BM	You told NZ the account had been closed and transferred, she can't see anything being closed or transferred. Can you explain where the transfer is to?
KZ	All I can say is that my understanding is that my account with karim@zahmoul.net was the successor of , it must have a starting balance that comes from that account. I haven't looked into it, I have tried my best to provide an explanation
BM	3648, says for the 'sake of clarity, I opened...all funds were transferred to' there was no evidence of anything being transferred, any explanation?
KZ	Provided explanation, provided all the statements pre and post transfer. Not sure how to respond to this. After zahmou@karim.net it was not possible to get into the account.
BM	Can you tell his lordship when the second account was opened?
KZ	Says here December 30 th 2014
Bm	Thought that was a European account?
KZ	When the address on the account was the London account, coinbase switched to the Irish entity to cover my account. When they see my French passport, they claim I am French and it was a French account. I have written to Ms March, the general counsel to coinbase, there is nothing hidden here.
NZ	When did the .net account open?
BM	Please can you tell me when the .net account opened.
KZ	30 December 2014. The exhaustive statement, I can only assume
BM	The Gmail account opened?
KZ	October 18 th 2024, I was in America when that happened. I went back to the UK, when I was logging on through the IP address in the UK I opened the karim@zahmoul.net , it was confusing so I was migrated to the UK address. Nadia can draft any letter she wants
BM	Short adjournment
J	5 minutes
	11:14
	11:52
AC	I would like to make a note on the record, I am concerned about the amount of time to consider the cross examination of my client. We have now spent 5 hours and 35 minutes allowing NZ to give instruction, over a full day of court time. Fairness is fair to both parties, he has been in the box since Thursday. While we are all doing our best to accommodate Mrs Zahmoul, I want to put a marker down.
BM	What am I meant to say to that, I am doing my best to represent my client in the most cost effective and best way. We are going to do this unusually, there are points Ms Zahmoul is very keen to be put.
J	Intention to finish cross today, I need to rise at 3pm
BM	[To NZ] Tell me your points and I will say them
BM	KZ, in relation To the coinbase account, there is a concern that until January 15 th there was one coinbase account, her focus was with getting statements for that account, Then there was the Gmail account, she can't reconcile the



	production of the statements, this has continued to cause concern, 3651, what account is this?
KZ	Original account I opened in America. As you can see from the balance, it was received only in January 1 2024, to alleviate some of NZs concerns, the balance has been 0 since July 2017 when 1 bitcoin was sent. On April 2023 statement..
BM	3651 statement, you say is the statement for the second coinbase account, the Gmail.
KZ	First one
BM	Yes, second in it has recently been disclosed
KZ	Yes original, predates 2019, transactions span October 2014 to 2017, coinbase could not accept to have one individual with KYC, I couldn't have two accounts. You can craft an email to Ms marsh the general counsel for coinbase. I was myself surprised at these accounts, I only obtained them after the allegations from Mr Southgate on September 7 th , I only found out about Miss Marsh because of previous solicitor.
BM	3648, Nadia sees at 3 paragraphs up, you say 'furthermore, while your email said Irish entity...that account has since been closed' Nadia looks at this statement at 3651, and sees it as not closed when you were representing it as being closed, we have an account statement to 15 January 2024.
KZ	No, I cannot reach it, I cannot log onto it. It is best clarified by coinbase not me. It is a bit like NZ saying the bank of Jackson hole LLC was open when it wasn't open. It was open but not accessible, that is the best answer I can give. We should ask coinbase.
BM	3651 it says deleted. You say this is a full list of transactions from that Gmail account as provided by coinbase, that's your evidence?
KZ	yes
Bm	See here that it says deleted, do we know what deleted means? 23 December 2023. NZ is confused and she doesn't know the meaning.
KZ	Probably best for coinbase to answer that
BM	Another concern she has with presentation, 3651. Series of wallets with series of cryptocurrency. 3651. Bitcoin statements in relation to this, 2816, zahmoul.net account, here we have over 40 different types of crypto, there is a difference in presentation of the accounts, are you able to explain it?
KZ	A lot of these currencies didn't exist when this account was live and used, it was not active and used by me. That's why you have so many less cryptocurrency there.
BM	Pause there [BM checking if the points were covered with NZ].
NZ	Where is GDAX?
BM	NZ does not accept that this is a complete run, there would be transaction to GDAX if it was
KZ	no
BM	why not?
KZ	I don't know, you have read the email I sent to miss marsh and the answer back, I have had them provide me as much evidence as a possible to every question and query,
BM	And if she had another query to put, you would be content for us to jointly write? Need to check with NZ that I have put the case properly [BM checks with NZ that no further questions are outstanding]



Bm	are you able to explain why if this was an account you had in the US, why it says GB?
KZ	I will explain FR, when I opened the account I probably used my US account, and then I switched it to my UK address, so they changed it to GB. These statements are relatively new statements which have come, it is cryptic to get the information from coinbase or binance. There is a limited amounts of requests for the statements, I had to get the VIP treatment to get the statements.
J	BM I am satisfied that you have sufficiently explored this. I know you are aware, I have case management powers to limit cross examination. I am satisfied you have illuminated this area.
BM	There was a letter attached, you would be happy to provide it?
KZ	Yes, I think it from Miss Landells
NZ	no
BM	We have two hours, I will return to my issues, I will need to do this at quite a pace. I want to ask questions on multibit, 2240. This is a transcript, there are some questions you are asked from Mr Pinto 'multibit this is an old wallet, that is what I have explained' 1LSGYV wallet, the wallet you used to send bitcoin to the Gemini account, you say this is your sisters
KZ	If you go to my statement, the Gemini wallet was handed, the bitcoin that filled the Gemini wallet was coinbase
BM	In relation to the multibit wallet, and the transactions that flowed from it that you couldn't remember, that was you not wanting to disclose bitcoin that were still in your control
KZ	Not at all, you are asking me to tell you things from 2017 and the order was 2019, I didn't think about disclosing anything from this in 2021. I don't understand the question.
BM	3863 please. This is one of the earlier iterations of the report by Mr Pinto. He raises the issues of transfers to Zappo, the 1LVSGYV, the wallets it has directly interacted with. 7.9 Bitcoins to Zappo 'he may have an account with Zappo' The combination of this in September 2022, Mr pinto raising the possibility of your bitcoin transferring coins to zappo, this should have put you on notice that you transferred to Zappo.
KZ	I never denied it
BM	Never admitted it until May 2023
KZ	This report had 8 accounts that I had never had association with. It was hard to understand the validity of this account, into the interdax . They had all these accounts that had never been attributed to me.
BM	You were made aware in september 2022, you had an active account with Zappo, weren't you?
KZ	No what he says is that he had info that money went from my LV account to a zappo account, I don't deny that but I believed I had no money in my zappo account, I had no money in my Uphold account.
BM	2098 Questions raised by my pinto with assistance of cipherblade [BM reading] 'additional zappo address..what became of the 10.98 bitcoin' Nadia through cipherblade in September 2022, were all raising the possibility you had an active account with bitcoins in with zappo in. You turned a blind eye.
KZ	I didn't
BM	What did you do when this was raised?
KZ	I thought it had zero in the account, my old boss had lots of accounts, I educated him and helped him move moneys and she attributed these to me and I thought



	this was the same. I decided between October and April 2023 I decided to go through the painstaking work of going through every transaction, when I decided to do that.
BM	You forgot you had 16 bitcoin with 500\$
KZ	Yes I forgot
BM	You just forgot, well there could be any number of other accounts that you have forgotten with bitcoin in that you can't remember. 2283.
KZ	This was a sequestered account by zappo, they had changed jurisdiction
BM	2136 you admit to that, Zappo confirms I had an account...I discovered I had a bitcoin account 27000 bitcoin 640000 if you haven't disposed of it. You spent those bitcoins before you told Nadia of their existence
KZ	I paid the joint mortgage and I paid my daughters school and 20000 was paying miss Molina for defending me in Wyoming
BM	Small percentage went to pay the mortgage that you knew would not be accessible, correct?
KZ	no
BM	You knew that once you used those funds to pay the mortgage you would not be able to access the liquidity
KZ	I wanted to pay off the mortgage, I didn't know I would be able to repay 5.6 million, most I have ever borrowed
BM	When you paid the 400,000 dollars, you knew that you would not be able to draw that money again, you had been in litigation with them about it.
KZ	Nadia knew...
Bm	You won't answer the question. 1339. Paragraph 7. You are referring to the Imerman exercise in the correspondence, on 1 April 2021..'the outcome of this intrusive exercise' can we agree that you had disclosed the coinbase equity, the account you had with Gemini and the existence of 16 bitcoin today worth 850000 dollars, you hadn't disclosed any of that.
KZ	I didn't know I had the zappo, I couldn't disclose something I didn't have. I have given my sister the Gemini, my word is my bond. The coinbase, I apologise I didn't do it before, but it was preventing me from showing evidence, you don't believe that my solicitors thought it was a quantum issue
BM	1895. Costs.
KZ	Produced by Nadia
BM	It is a breakdown of how costs have developed over litigation. Costs up until FDR in July 2021. NZ were 126000..scroll across to PTR March 2022, her costs had gone 393450. Uplift in costs after the FDR. This was due to your failure to make proper disclosure in relation to Topanga and coinbase. You were the author of this misfortune
KZ	I don't think so, you are missing nick Warr and third parties
BM	Tainted money will come back to bite the two of you in the future. NZ believes that Olivia Molina was a prostitute, was she?
KZ	no
BM	She ran prostitutes, escorts?
	No
Bm	What did she do
KZ	She is an influencer, she organises people for events and promotions
Bm	She arranged prostitutes for Phil Jenkins
KZ	No



AC	Not been in the conduct pleadings
BM	This goes to my clients worry that tainted money going through miss Molina's hands
J	I am not going to make the finding that someone is a prostitute
BM	1855, paragraph 162. 1440, financial assistance with Miss Molina
KZ	I have never provided financial assistance to Miss Molina
BM	This is a breakdown of some of the Imerman material, item 25, transfer to Olivia Molina's sole name. Includes repayment, Molinas Dubai company, Notification from US transfer, transfer blue oceans [BM reading transactions relating to Miss Molina/or businesses] you have provided her with a lot of assistance
KZ	I was in love with her, I helped her get on her feet, she was from Argentina, she had no money to her name. Nadia helped me get over her, I got anti-psychotic. You are trying to character assassinate.
BM	Page 16 of pinto final report, transactions with Miss Molina [BM reading page, 57 transfer] your case is that this lady, who is not familiar with excel and is an influencer has 768000 of her own money passing through her bitcoin account, is that your case? Or is that your money?
KZ	Not my money, she can come and testify
BM	Page 25 of the report, this is a typo, that should be 3dagtd. 'upon further analysis...' BM reading '20 transfers...to786901 dollars' keep in mind that address. Page 73 please. Reading email from Miss Molina, 'I also want to confirm the following wallets...are my wallets and mine alone' is subsequently transpired you disagreed with her as you obtained a letter from Kassis confirming DAG was his, that might strike his lordship as odd that in support of your case that she claimed ownership of ta crypto wallet that had nothing to do with her, explain the circumstances of that claim?
KZ	I was in New York with Olivia at the time of \$100 payment in October 2019. If I asked you who you gave \$100 to in October 2019, I could not find it. I put my wallet address in my phone and WhatsApp and looked for this sequence of characters I couldn't find who I gave it to, I was despairing Because I was with Olivia in New York because I was with her, consequently there is a WhatsApp on both sides, because I was with her in new York, I keep a spreadsheet of where I have been every day since 2019. That's why I thought it was her. Mr Pintos latest analysis he came up with what you articulated just now, he came up with a history that looked unusual with what Olivia would do. I was racking my brain as to what it was. I believed it was my emviry account, there was an email from Kassis, this was an attempt, I was looking for alternative sources of liquidity. When I set up emviry I was not FCA regulated in the UK, Kassis providing an umbrella service under the UK. Because he was doing crypto in Australia he asked me to send some. The letter was written, I had her write it, she doesn't know what is her account, I genuinely believed it was her.
BM	That is a preposterous account, the easiest way to find out, you should have just asked her is this her wallet and she would say yes. If you had transferred money to me you would say If this your account, I wouldn't say yes if it wasn't, why would she do that?
KZ	Nadia and Mr pinto has alleged, unlike a bank account
J	Why did she say it was her account if it wasn't?
KZ	You can create a new account. Mr Pinto was trying to say with the cluster. I have maybe 200 bitcoin accounts, you can create a new account with you. She kept saying this is a colonius address and it was never colonius address, when you



	run it through a reactor they make mistakes. I asked her to write it was hers, she didn't go and check.
BM	You asked her to say that it was her account and she, having no idea at all, was happy to make a letter and say this and give it as evidence in these proceedings, that was dishonest.
KZ	It wasn't dishonest when I did it. It had 768000 going through it, over how long?
BM	You say it belonged to Kassis, has he just signed this email at your request or is this actually his?
KZ	It is actually his
BM	We'll look at what he says
KZ	The proof it is his assess is from 2019, in 2019 when we were about to do the transaction, he says I have the money.
BM	That is not proof who is the beneficial owner is, all it illustrates is that you transacted with him and he is now saying he is the beneficial owner. In the same way [Miss Molina] was saying she was the beneficial owner. Page 29, they are regulated?
KZ	By the FCA
BM	Are you telling his lordship that account through which you transacted, that was an official forte securities crypto account?
KZ	I don't know.
BM	'Following wallet belongs to us' on forte securities headed notepaper.
KZ	I wasn't sure if it was forte securities. I was transferring to Kassis to change to [chia] I would invite the court to ask Kassis or the FCA, I can't speak if he owns this wallet in Binance.
BM	This is where words mean what we want them to mean, within the pool of perpetrators saying it belongs to forte you aren't sure, we have an email from October with Kassis transacting with you personally, your evidence. Who is the owner?
KZ	Wallet is owned and controlled by forte securities, I wanted to transact with institutions with [hard securities] would have been forte, that is who I was entering into an agreement with.
BM	On that same page, the subject for each of the emails, listing process Australia, 11 October. 'I am not sure I am ready to sell yet' he gives you the wallet address, when you want to sell, 'nice one'. Subject was listing process Australia, what was the listing process in Australia, and what was the thing you weren't ready to sell?
KZ	I don't remember what happened in a conversation in 2019
BM	You have no idea what this email with reference 'listings process Australia' was talking about?
KZ	No but I can find out, I don't recall
BM	What is it in the first email you aren't ready to sell.
KZ	Bitcoin
BM	Absurd, you are the one with the bitcoin, you can sell it yourself, you don't need to transfer a bitcoin to him you could sell it yourself.
KZ	My, I had coinbase exchange where I could sell crypto, binance I could sell crypto, other companies I was trying to find the liquidity, significant charges, depending on the business of the network it would cost more or less to sell bitcoin. I was talking to him to provide liquidity of bitcoin. It was about properly listings a company on the South African stock exchange, trying to recall on the



	spot. You are asking me 3 questions. This is a free-flowing conversation, we are discussing many things, one of the things we discussed was him providing me liquidity on my bitcoin. On October 11 he sent me the email, I will give you a good price, I was not ready to sell in early 2019, nothing happened, on 25 th October when I look at his email. I say I sent you \$100 let me know when you receive it. He says he received...nice one.
BM	Why didn't you send him any more?
KZ	Put it in the context of the timeline, this was October 25 th . I left New York on October 27 th went to Morocco and met Nadia there. Olivia and I had a massive breakup, and I went into significant depression. I travelled a bit and went to Portugal, then I went to in February 2020 I was in Morocco with Nadia when she says she discovered the affair then March 2020 lockdown stuck in Cheltenham for 90 days, I didn't think of selling.
BM	I will be suggesting this is an absurd explanation, look at the coinbase transactions on page 7 of report. You transfer to him 100\$, transaction 10, 0.01310, you never transact with that wallet again, you carry on transacting 2 days later.
KZ	Olivia...
BM	You carry on receiving and sending in 2020. This idea that you have done this small transaction to explore the possibility of liquidity, you had the liquidity of trading through coinbase. Having successfully achieved it, it is the only transaction.
KZ	Only explanation
BM	Was it to test out, [so that he could sell assets for you, so you could avoid the glare of publicity.]
KZ	I would welcome you asking him what exactly he has done with me, he has decided to produce a niche in crypto, he does a lot of transactions. One he did to show he could provide liquidity, none of the transactions, they are in all kinds of places. He goes into peel chain that I have never ever done. This was how I was able to obtain that it wasn't Olivia. Follow on transactions from that account is unusual for Olivia to do. I have explained the transaction. I thought it was Olivia because it was 25 th October
BM	I am careful not to suggest that he has done anything fraudulent. Is this your only transaction with him?
KZ	He has sold my coinbase shares, we have tried looking at opening a bank in Portugal or Switzerland
Bm	At the bottom...'I am not sure I am ready to sell yet'. What was he contacting you about?
KZ	About selling bitcoins, about obtaining liquidity, I could have gone to coinbase, I have developed a relationship over the OTC transactions, I thought it would be a cheaper fee costs, we did the small trade to see if he received the fund. The covid came
BM	These were official transactions with forte securities
KZ	I believe so. The proceeds of the funds, I expect they would have come from a regulated authority
BM	I don't think you know the answer to my question do you
KZ	I don't think so
	13:02 – back at 2pm
	14:02



BM	Happy for us to make a joint approach to Forte securities about that transaction?
AC	Need 30 minutes
J	Hard cut off is 3:30
BM	Stop at 3pm
	[FS reviewing notes for information needed to follow up]
BM	1595, partially released from her undertaking [BM reading] 1599. KZ's response, unnecessary to take out a litigation loan, funds should be utilised to her legal fees, draw funds from BOJH, 'on a pound for pound basis' preventing her from making the enquiries she wanted to make in relation to your finances. 1676. Before we look at that look at 1607. This is the response from Withers in relation to the letter, 'letter of 29 th September is too little too late...your client is to starve my client of funds', going to look at the whole run in the interests of speed and I am going to ask you to comment. 1633. 'it is not reasonable...[BM reading]'
KZ	She finally disclosed that, she never disclosed from September 2021, from March 2022, she had gone through the 282,000 we had hearings on March 3 rd , March 16 th , during all this time there were requests for her to provide where she was borrowing or her legal, at the same time she sent the 12% accrued interests, this is why everything was concluded this day, I had no capacity to maintain the 5.6 million mortgage
BM	That was the catalyst for that, was discovering that the borrowing had gone up
KZ	Borrowing, undisclosed loans, borrowing from her father, she was continuing to spend money, her assets were going from 10 million, I didn't have liquidity and repaying the mortgage.
BM	757 please. Same time you engage in another transaction. There we see details of personal moneys 'I am hopeful..' you had been owed £60000 by Mr Kobayashi for 16 years.
KZ	Correct
BM	In August 2022, 1544, you loaned him 500,000 dollars
KZ	Correct
BM	Bottom of that page, 'Karim informed me that he had made a loan...his friend needed a liquidity...he still owed him 60000' at 1819 you are asked questions about this loan, look at what you say. Copies of correspondence with Mr Kobayashi, you say you both live in Lisbon, therefore there is no correspondence. Again, you were reducing the amount of liquidity available.
KZ	No I don't believe this correct, his mother passed away just before this loan was made. She was a close friend of mine, he had an apartment in Paris and Lisbon and Battersea, he had no liquidity, at the time this was before I knew about Nadia's detach loan. I had crypto I have coinbase, I thought I had the liquidity to loan him the euros. This was discussed at the time and my answer stays the same, I was not trying to deprive her of liquidity.
BM	Just a coincidence that you decided to loan him 500000 and reduce the liquidity
KZ	I am sorry, I still had more than a million in UBS. I thought it was reasonable to lend him money on a short term basis.
BM	1542. December 8 th , list of the moneys which you paid down in dollar terms form the bank of Jackson Hole, you said basically you did this at whatever price it was – it was the sale of the liquid assets in order to pay down the mortgage.
KZ	This was part of the questionnaire put to me my J, it was the proceeds of coinbase, money from Bank of Jackson whole to repay the mortgage



BM	1621. This is April 2022, withers wrote to you [BM reading]. Hold that thought, look at 1633. This a letter from Withers on 13 September to your solicitors, in relation to the funding of legal proceedings. 'it is not reasonable for my clients ability to pursue her case' your response on 1638, is to speak to the bank of Jackson Hole, 'based on recent conversations..' bringing those threads together, you knew that Nadia did not have liquidity to fund legal proceedings and her living expenses, your response to that was to alienate the liquidity by paying down the mortgage, that was wrong wasn't it?
KZ	I was trying to protect our assets, this bank has leant me the most money in my life, now they won't talk to me.
BM	1650. Email from you to Nadia, saying how much you have spent 'to save on legal fees..I have decided to self-represent myself' one of the things you say you should be given credit for is that you saved money by being self-represented but you were receiving advice from Camilla Baldwin. From the moment Nadia took out the litigation loan a consequence of that was that she had to be represented. At 1650 you misrepresent your reason for paying the mortgage, you say here in contrast to what you have said today 'given the massive increase in interest rates and collapse of British pound...as a result I have taken steps to pay as much of the properties as possible' You then explain how has that was achieved. Reason you were doing this was to put maximum pressure on Nadia and you didn't want her to be represented.
KZ	May I answer
J	I understand your case about how hard you have tried to engage
BM	3017 please. One final thing on 1651, three paragraphs up from the bottom [BM reading]...'steady stream of cashflows, I will soon no longer be able to pay you 2000 per week' you were saying there was a risk you would reduce the amount you were paying, wasn't this you trying to put Nadia under intolerable pressure in these proceedings?
KZ	Don't understand what you are saying. I was suggesting that we had no more capital and we had the income from the property to meet our needs, the debt was repaid, we would get the same amount of money we were going to get at the time.
BM	That was the autumn of 2022. 3107 please.
KZ	I am not as witty as BM, I am happy to come back tomorrow I don't want to rush and make mistakes.
J	I understand, however the court has other cases
BM	3017. We have seen what's happened, your discussions with BOJH, paying down the mortgage for the reasons you say 'zappo funds..used most of them to reduce the mortgage' you were doing this weren't you to make it as hard as possible for Nadia to make LSPO and MPS application, that was your motivation when you found this money you didn't even know existed.
KZ	It is difficult to sustain a mortgage in US, she decided to litigate with the bank, the bank asked us to pay 100 [x] dollars a month, I don't want to be left with the bank forclosing and forced to sell our assets.
BM	Where you had indicated that it would be hard for you to continue paying maintenance, and there were live issues as to how Nadia would fund her legal fees, when you found this 'forgotten' money you decided to pay down the mortgage and reduce the liquidity
BM	2865 [BM reading] 'the assets currently frozen, insufficient assets' isn't that your solicitors acknowledging a problem that was entirely your making?



KZ	Not at all, this came after the ex parte application, this was the meeting of the 29 th of Mr Macdonald, the judgment of 6 th July, Mr sent a document to the court that had 17 errors, the third item was the Penn mutual policy. In the judgment it was stated I had ample liquidity, I should have appealed the judgement and this letter was to address exactly that point.
BM	We looked a moment ago at your letter of Autumn 2022 when you say you were self-representing, look at 3161 please. At the same time NZ was telling you she was concerned how she would meet litigation costs, you were selling marital resources to fund your own legal costs
KZ	October 2022 I was in Wyoming, I was tempering with the idea of self-representing, I was put onto Camilla Baldwin.
BM	Can I recast, 3161, 'Karim has made false representations about being self-represented...since x 2022 I have had no shadow representation' You were represented by Camilla Baldwin during that time' focus on the first bit, what is incorrect about what Nadia says there?
KZ	She says I am represented on 17 November, I have not paid Camilla Baldwin between that and the LSPO, a negative sum, its Camilla paying me back what she owes me, I was getting money back, I had overpaid her and I was not using her. There was a judgment...
BM	I can see the judge nodding, will move on
BM	Have you rectified the tax returns, there was a number of errors
KZ	2022 were done, they were fixed. 2022 was done the way Nadia wants it done. 2020/2021 was sent by Zack in august, Zack said would you like us to refile and there has been no engagement
Bm	Meant to be uncontroversial
KZ	2022 has been filed correctly
BM	Its with the IRS now
KZ	Yes, done the work, sent it to her and get nothing back. 2022 have been filed, 2020 and 2021 are in the way she says are false, the entities which fed into the personal tax return, mine is a non-personal tax return, it is not relevant from a tax perspective. 2022 has been filed the way she wants.
Bm	2022 has been filed, 2020 and 2021 haven't been filed?
KZ	Rectifying them exposed things to reinvestigation. We sent them to Jeff for approval, we have had nothing back
BM	The position is that nothing in any of these returns would be relied upon by you to thwart any order made
KZ	No, they are returns
BM	Those returns misrepresent the partnership returns
KZ	No not correct, the only legal document is between us and the back. If the tax returns we can fix them
BM	I want you to be able to reassure the wife, you will not rely on anything in those tax returns to thwart the interpretation of an order by his lordship
KZ	Yes that is not possible.
BM	875. Paragraph 65. 'emailed Karim with my view...' BM reading. She is right about that, she is right about the entirety of the paragraph
KZ	Not write, ambulanz I couldn't invest in because I was in the UK, my wife is American I offered her instead of me. I sent her the spreadsheet on May 17 th . I had invested in Blackstone



BM	Easier to look at, 1079. 15 th November. Ambulanz, you say let me know what you think, her response at 1193, she says it looks very interesting. 1472 there are emails between you and Doug, 11 th November 2016, 'Terribly sorry to report...cannot accept the documents you are based in the UK' 1387, May 2017, you say 6 months later, you include it on a spreadsheet you say this is being done by a total return swap, you did have an interest didn't you?
KZ	No it was linked to a spreadsheet on my google drive, we went through this in detail at the first appointment. Just about that investment is the 25000. I sent a link to Nadia in 2017, she said in 2022 I hadn't disclose. Mike was going to take 25000 in ambulanz, against blackstone special opportunity fund, it hasn't been disclosed, this is the difficulty in inputting between two individuals, seemed to be complex, after 6 months consideration we decided not to do it. Mike Deeg wrote to the Judge on March 13 th explaining exactly what happened, July 13 th 2020 and email I'm sure we can find later, he states the investments, it is public, he doubled his money, I did not participate I couldn't.
BM	Lifestyle, during your marriage you had a high lifestyle.
KZ	Yes it was obscene
BM	You have an ability to generate money in a way Nadia doesn't
KZ	No I am a white 50 year old male, I am not employable. Nadia is seeked after
BM	Is it really your evidence, that Nadia can get a full-time job and be entirely self-sufficient through employment
KZ	Women peers of mine in an industry have reinvented themselves, Miss Marsh...
BM	She is not Nadia, do you think she can get a full time job be self-sufficient through income. I am going to say she needs more than 50% of assets to meet her income needs, is that a fair submission?
KZ	No
BM	Why not
KZ	Nadia is...
BM	One of the things you seek an adjustment in relation to, your loss on crypto by not selling when it was higher, what is the adjustment?
KZ	It is what his lordship things
BM	What do you think this should be, Nadia had no input on the sale of this, you sold it. She didn't want you to sell it.
KZ	She didn't say anything, it tried to get engagement.
	[BM conversing with NZ]
BM	The circumstances with in which you sold them, that was without any notice to Nadia
KZ	It was without any notice
BM	You seek adjustment for wear and tear on the property, Children have been in that property for 9 years, its reasonable wear and tear
KZ	I realised the landlord was being very hard he was asking for money on an iPad which I never used, I am going to push back with him on that
BM	Can I push back on that, that's in your conduct statement is that something you will be pursuing.
KZ	Nadia was continuing to borrow money from her father, it is a gift probably, she is now saying it was a loan, it is illegal on US tax returns
BM	19950, you say she did not look after the property, you are now telling his lordship that the landlords seeking of some of these monies has been unfair, are you still seeking £19950?



KZ	12 of the 19 I am seeking, 7 were unfair
BM	The bulk of the costs in this litigation are costs for which you are responsible, you did not make ongoing updating disclosure
KZ	I do not believe so
BM	You say that Imerman was unnecessary, 25000 should be paid by Nadia, look at page 87 please. Transcript from August 2021 hearing. Halfway down talking about Imerman. 'we conduct our own assessment' the treatment of the Imerman documents was the treatment that your barrister were contending for from August 2021. To ask Nadia to pay for this is unfair, no?
KZ	I don't understand
AC	This is a legal argument, KZ shouldn't be expected to understand
BM	You were saying through your barrister that the Imerman documents should be reviewed by HFC, I am going to say that it is unfair for you to say Nadia is responsible for that, is that fair?
KZ	I don't understand
	[BM checking with NZ any other questions]
BM	You said that you would sell at the high point, she didn't engage, her response that other correspondence was talking about splitting everything in specie, she was adopting your alternative approach, that is fair, no?
KZ	No, we are talking about crypto and coinbase, I have messages from 2016 when she was saying she wanted to sell. This was the all time high, optimal time, I reached out to sell these two assets
BM	You only know it's the all time high 3 years later
KZ	There was also a big divorce going on, seemed I was the only one responsible.
BM	Imerman documents, extent of the inquiry by HFC was greater than she suggesting was carried out, she was suggesting only 1 of the 4 folders should be examined as she knew the contents and they insisted on doing all four.
KZ	HFC did what they felt they had to, she said the other day they should never look at the Ubuntu computer.
BM	I haven't been able to cover everything I wanted to cover, AC referenced that in regards to raising things in submissions.
	15:05
	Re-examination
AC	1599 – You explained just now that you had split, you made this proposal in 2021 when the discussions of the loan were being aired, thereafter that once the loans had been produced 'your client can withdraw funds of up to...on a pound for pound basis' what was her response to that offer?
KZ	Too little too late
AC	Would you have a look at 2283 please
	[FS looking through the documentation, paused taking note]
AC	Zahmoul.ka look at 3651, on this page we have identified, it says deleted, do you know what that might be?
KZ	It means that it is account that will be closed down on 24 th
AC	18 October 2014-15 January 2014, on 3652, the wallet first activated, we see the 19 th October, we can see some activity, little activity in 15, 17 and the last activity on this account is 31 st July 2017, that is the entirety of that account is it?
KZ	correct
AC	2816. 1338, Paragraph 5 you have already explained to the judge you spoke to your solicitors in April, you mentioned that your solicitors have not always



	understood the difference between coinbase and crypto, explain how that has been an issue?
KZ	Letter of July 5 th , willing to exchange information only for the crypto assets, Nadia got confused with coinbase and crypto. My solicitor may have in writing that letter, we were going to explain the information on Topanga
BM	You can say anything if you say I told my solicitor XY and Z and they just got confused
AC	I accept that. 1380. We have looked at this before, want to get the chronology in order, you are talking about the coinbase. Who is in green.
KZ	Me. I don't know what is behind it is not me
AC	Underneath, it is not right that we are not getting any information
KZ	I describe this as not being a traditional investment.
AC	1377, July 2020, writing to Rachel at Buena Vista. It is Steve Yang.
KZ	Half a million dollars of coinbase
AC	Did you get any material response?
KZ	No, it was very hush hush it was the shares of the CEO of coinbase
AC	1384 please. Again, we are on 13 July 2020, again you are in conversation with Mike Deeg, 'where she asked him if the investment was fake' what does this relate to?
KZ	coinbase
AC	That was July 2020, now look at 898 please. Mrs Zahmoul is trying to allege you were trying to hide that information, you did a search of your computers
KZ	She wanted to know every single conversation I had had, all the emails I received from Topanga canyon and myself since February 2020 to April 14 th 2020.
AC	How did we find these documents, the conversations with Mike Deeg?
KZ	I provided them to show...i wanted to show communications between me and Topanga, there was some that I missed I was in Morrocco
AC	And everything you had was that sent to Mrs Zahmoul's lawyers?
Kz	I believe so.
AC	A document given to your wife in May 2017, sometime later it came back to you.
KZ	In March 7 th 2022 said there was another asset that you haven't disclosed. Was put together in 2017, Nadia wanted to know all the investments, span of that company
AC	When the document was sent to her in 2017 was there any discussion about it?
KZ	Don't think so
AC	1389. I put these documents to Mrs Zahmoul suggesting she knew about coinbase, listing the assets, we can see investments, and coinbase is listed, what did you understand Mrs Zahmoul would do with this document?
KZ	From time to time she wanted to know what I had, this was produced to show her. I had onshore and offshore, there was another potentially big exchange, this is a similar exchange to coinbase, there was no way this could be misunderstood to be venture capital.
AC	Look at 1392, we have looked a few times over the last few days, her emoji to you was good luck to the world, what did you think it was?
KZ	She was congratulating me
AC	It has been suggested to you generally that your intention was to hide or deceive Mrs Zahmoul about the 5 million windfall in coinbase, we have seen your letter detailing the change in investment, why was that sent?



KZ	To inform her about the change, should have been sent earlier.
AC	Supplemental bundle at page 13. This is an email from you to Mr Burgess in November 2022, what was the purpose of you proposing to meet?
KZ	I wanted to meet to suggest that I was willing to answer any question
AC	Page 26, email in French to Nadia and her father. Page 29 for the English translation, third paragraph on page 29, did you get a response?
KZ	no
AC	2929 in the main bundle
KZ	CV of Monica McGregor, remind his lordship of who she is
AC	I still have 20 minutes
BM	Some of these documents I haven't even taken him to, it needs to be re-examination
J	I would like to finish today, but it does need to be by 10 to
AC	Been put to you that you wanted to put pressure on to get a deal done while Mrs Zahmoul was without representation. 2858. Can you explain where the information came from to complete the schedule?
KZ	This was a painstaking exercise, take each one of the entries on the spreadsheet.
AC	Has NZ had all the core documents?
KZ	Yes
AC	In relation to spending on your daughters
KZ	Beginning of proceedings
AC	In relation to Gemini we have an affidavit from your sister in the bundle. BMs case is that you were either parking assets with your sister or trying to hide the assets, that remains the suggestions, can you explain to his lordship the position?
KZ	My sister got married in..
J	A lot of this I am aware of and I can look at the documents myself
AC	These documents, a number of tables accompanying the letter from Portuguese advisors, 21 documents, BM asked for tables of income that were referred to in the letter
Bm	Bank accounts
KZ	Some of them are here, 2020 and 2021 bank accounts, it was always there in my form E, same account number as Mr Luis had put into tax authorities
AC	3593 please. NZ has raised a number of questions about Portuguese tax returns, this is a document provided by the Portuguese advisors
KZ	This is a document Valeria helped me to put together, response to Nadia's accusation of figure 2 of the conduct pleadings
AC	This is a line by line response, prepared by you
KZ	By me yes
AC	Detailed response to the lines in Mrs Zahmoul's table
AC	Are you hiding money?
KZ	No
Ac	Are you hiding any money or crypto?
KZ	No
J	I don't have any further questions. I propose AC to allow leading and junior counsel to put together submissions are hear them on Wednesday
	15:40





Attendance Note – Zahmoul Final Hearing Day 6 (Submissions)

Client: Zahmoul

Matter: ZAH01.1

Date: 26.02.2024

Time: 10:30

Initials:

J - MacDonald J

ACKC -Alexis Campbell KC – Counsel for Respondent

Sassa-Ann Amaouche – Counsel for Respondent

BMKC - Brent Molyneux KC – Counsel for Applicant

ZB – Zoe Bloom

	11:27
AC	It falls to me to make submissions
BM	I need some more time to clarify how things are going to progress on this side. I am doing my best to clarify how I can best represent the submissions my client would like to put before you. Can I ask one question on behalf of my client – are there any circumstances where you would all that part of the advocacy is done by me and then she continues to deal with matters that she feels she has a better grasp on?
J	No
BM	So either I do it or she does it?
J	Yes
	11:29 Break
	11:54
J	Yes
AC	If there are no applications, I will proceed. Documents I have sent to Ms Knight, I will send them to Mr Molyneux.
BM	Apologise not for the first time, my client would like to reopen the evidence in relation to the UBS. His account was that the 12 million sterling was entirely visible, used for investments, used for living expenses, and there was doubling account. Adding those figures and coming to an aggregate of withdrawals, was not correct. If you added up fees leaving and returning, it would look more than it was. NZ does not accept that. She has overnight spoken to UBS and wishes to share with you what she has been told, she says it shows that what Mr Zahmoul says is wrong. She feels so strongly that you must understand the reality of this so as to not lose 15 million pounds, she would wish to tell you about this in person and be tested on it. I make the application for the evidence to be reopened.
AC	I object in the strongest terms. Mr Zahmoul said he would provide and anything and everything, this has been made available, made in a clear and digestible format, to hear that after the close of evidence, to hear that she has been in touch with UBS, we don't know what has been said, we haven't been copied in. When evidence is given, it always leads to another round of questions.
BM	It's not the question of the underlying data, it is the methodology, the material she is receipt of explains that the methodology. All of the money added up aggregate tells the



	total outflows of the 15 million, the methodology she says is so clear and could be made transparent.
J	For reasons I will make clear in the judgement, I am not prepared to reopen the evidence.
AC	SA will make available the documents. One is an updated document, schedule of Ms Zahmoul's breaches. Been some amendments recently. I have updated the ES2, there are concessions made in this I will elaborate on. These are very full and I am hoping it will make my submissions must shorter. Will give you a record of my client's full case. SA will explain the schedule of breaches.
SA	Where there have been amendments, we have highlighted those amendments. They are grey on this document. I am not going to speak to the detail of this document. You made the first substantive directions, the order at 3397, further directions on 1 March 2023, 386, further directions on 7 th September 2023. One order I ask you to turn to, the first of November 2023. In the note we have prepared at para 55k, you will find with emphasis added excerpts from your reported judgement. In July 2023 you were warning the wife she had failed to provide the schedule of alleged non-disclosed assets. Over the page, November 2023 you warn both parties that fundamental tasks to achieve final hearing, her allegations failed to be particularised. The wife was given fair warning. What happens at the PTR? At 7am the conduct statement was provided by NZ. If I can ask you to go to PTR order at 636 please. I ask you to note 3 paragraphs, disclose at paragraph 6, paragraph 7 provision of whereabouts of watches and paragraph 14 direction for 25 statements by 30 January. Point that we make, having served the conduct statement late, we have a repeat, we have the s25 given on day 2 of the final hearing. You were required to make rulings on the content of that statement. There is a morphing of that conduct statement. Finally, having reference paragraphs 6 and 7 of the PTR order. 2 pages in the supplementary bundle, 322 and 323. This was provided on day 3 of the final hearing, this is Mr Zahmoul's solicitors copy of her updating disclosure, all of the directed documents are to follow, except for liabilities, all of those documents remain to follow. You will recall that when cross examined, her response was 'in due course'. To quote BM, this is not a dress rehearsal. Finally, in this case, it was only during cross examination that KZ learnt that the watches had been pawned, no documents evidencing that NZ did receive 50000. Finally, you have no ES2. The ES2 you have is that was created by KZ's team, that is a woeful failure on the practise direction. BM says what is the point of adding to the ES2 because of the totality of the non-disclosure. If the wife won't engage in the computation, it is a clear disregard, litigation conduct, this wife has failed to articulate her case and the findings she asks you to make.
AC	I am going to touch on a few final overarching points. I am anticipating the case BM is going to put. The wife's case of 140m pounds has not been made in any shape or form. There isn't a clear argument. The calculations don't add up, the documents don't make sense and it is very difficult to even follow. The basic premise of what the arguments are haven't been met. There isn't any way he can invent the argument; it simply hasn't got off the ground. There is 12 million, NZ's case [is as close to the 12 million he can]. BM can only do that by saying we are here through non-disclosure through 3 arguments, Topanga canyon coming late, Gemini, and the Zappo wallet. These are the only substantive claims BM can rely on. He is going to say if KZ hadn't erred in his disclosure we would not have got in this mess. Superficially that is an attractive argument. This isn't that case, no matter how persuasive the arguments may be that NZ has concerns and suspicions, that doesn't come from those 3 actions. That is NZ's character. I ask to always bear in mind that those 3 actions, these things happen in cases, they don't end



up in this mess. This case has ended up in this mess because of NZ's conduct and her behaviour which has been monstrous. Those are the overarching comments. I am not going to go through them point by point. It is NZ's comment firstly, the petition in January 2020, served in piecemeal in June 2020, that while she was encouraging KZ to buy a property jointly, she was looking on screens. She trapped KZ it was deliberate, this was an opportunity to examine his financial data. Secondly, she didn't disclose those documents until April 2021, in the spirit of the rules, you should hand them back straight away. NZ held them back to catch KZ in a lie. It didn't, there was a complicated asset schedule. BM criticised KZ for giving explanation for some assets but not Topanga, there are explanations for 3 or 4. KZ wasn't hiding the Topanga investment. NZ's overarching obsession with disclosure. The more that is given, the more NZ entrenches herself. We were at the beginning we were on Barclays, coinbase and now UBS. I understand NZ has written to UBS directly over the weekend, this kind of spurious unnecessary damaging material is being spewed out. She has a legal team, she knows she shouldn't do it. Volume doesn't mean disclosure but at some point. If your questions are very broad and overarching you cannot argue the disclosure is too much. KZ has been pushed to disclose and disclose and disclose and it will never satisfy NZ. No engagement is enough, KZ has asked numerous advisors to engage and provide assets. KZ is genuinely happy to offer any disclosure. I can say on his behalf it is sometimes unnecessary to provide the disclosure. He is an open book, one of the reasons he was drawn to crypto is because it is public. She has had full access to his tax returns, we have written to her, do you know where this document. The pursuit of litigation in the US is vexatious, it is useless to her. She applied to this jurisdiction for the divorce, we have spent thousands to try and find out the tax results of moving the assets. The natural place was the US but she chose here and then chose to continue in the US with BOJH. I genuinely hoped NZ would take notice and take a reasonable approach. The judge does have the power to move houses and debt, you heard her evidence that she will never be satisfied until the I's are dotted, it doesn't matter there is no impact to her. She is determined to pursue the vexatious litigation and hounding KZ. The breaches are unusual in number and severity. If you take yourself back to the statute, we have to ignore the noise and look at the statutes. S25(1), children, s25(2) the checklist, and s25(a) the need to consider a clean break. Principally the matters must take into account. Jade Mia is an adult at a prestigious university, this isn't a college where she is left to fend for herself. We know this, NZ hasn't moved to Massachusetts she has stayed in Wyoming. Lila Mae is full time boarding, similarly NZ must have confidence as she has set herself up in Wyoming across the Atlantic. A lump sum of 700000 from his pension, set aside for the children's tertiary education, Cheltenham is already paid for. In terms of maintenance for the children, you haven't heard anything about children. They are entitled to have a relationship with both parents. I'm sure it has been incredibly difficult for them, may not be easy for them to share the time. You should proceed on basis they will spend school and university holidays with both parents equally, each party will make their own expenditure when with the children. No question of child maintenance. Capital resources, NZ has not allowed her legal team to even comment on this. Remains the figures that KZs team have put together. Points in green are the changes, 346000 tax has been taken off as it appears in the net effect, didn't want to double count it. Other points are de minimus in relation to chattels. Although she spent 50,000 of money I will add that to add back argument. I've amended the car 10000 held by a friend. Over the page, we have given evidence, increase in legal fees to both parties. Burgess Mee are owed 265000, Taylor Wessing owed 168000, Saffrey LLP are owed 11000 and MRW consulting, tax experts



were'n't advising on the incidence of tax which will be paid, FTI consulting, either some cyber or crypto. These are new I've added them in. I have ignored the loan from Mrs Zahmoul father, as this is yet to be evidenced. It appears on bank statements as family help. Lifetime allowance on the pensions has not gone, as long as we are able to put his lordship's order in effect. Final page, so you can navigate through this document, first column identifies the assets, second column is the exact lift from the ES2, same as net effect on the ES2. What I will be saying there needs to be some adjustments before you can come to quantifications. Not significant, Mr Zahmoul's father should not be included, Oxus KS was assisting on an advisory basis, he has some shares they are of no value. Most significant feature, under liabilities, Mrs Zahmoul says she owes her advisor 1.83 million, I say we should not count that she should not have spent that, and should not have spent more than 1 million, if we add back that 913000, the difference, you should add that back before considering, it is not a reasonable figure. If you don't add it back, KZ is picking up 50% of the bill being incurred. NZ should pay for the hill villa debt and Wyoming, she had significant maintenance and those debts shouldn't have been incurred. Malta, his non habitable status means he can draw down and by paying 10% on the drawdown of the whole it become liquid. If he can draw down over 3 years he may not have to pay any tax, I am working on the basis there is none. I deduct [x] for the coinbase tax. That can be shared between the parties, any balance will be shared equally. 70,0000 will be held in a joint account, shouldn't be any draw on the joint account without signatures. And the tax 233000. If those are drawn from the pension they will get a minimum of 553000. US pensions can be shared in America, they will get [x]. That is what I say the court should take into account. The total resources, deductions of 713000, the add back on spending. Net fund of 12,550,000. The way the figures are apportioned, KZs arguments makes, 3100 should come to him. He has taken a view, NZ is already in the property that she wants, she doesn't have to move she can stay there. He will take 31000 and 100% of the mortgage and the property with the higher CGT and mortgage. NZ will say it is preposterous that the two of them each retain a property. It is a holiday town, there are lots of elegant chalets, it is realistic for them each to have one. It is a convenient place for him to spend time with his daughters, he can ski and his daughters have skied. These are both expensive properties and it may be they can't keep them. If he is not able to have the mortgage removed from NZ's name, the property will have to be sold so NZ can be released from the property. Because she is getting the more expensive properties, he will keep all the frost street properties. That will give NZ the property where she lives, she can sell it if she wants to pay her legal fees. She can keep it and rent it, that is a good income if the expenses can be accommodate. If she wishes to sell it, 5 million of liquid cash in her hands. Joint accounts divided equally, parties retain own savings. [Private equity] divided equally, NZ keep her [x]. The money is not really there in emvrya. Chia investment in trading g company, KZ keeps that. Excluded the non-matrimonial. Range rover in the 10000 equity owned by a friend. Mr Zahmoul will keep the money owed by the friends. He has a rental refund to him, NZ has a tax refund to her. NZ has outstanding legal bills of 570,000. Property expenses in Cheltenham and property expenses in. NZ will retain 5.9 million. 54/46% SPLIT. You will want to know what that is in cash. NZ owes her advisors 1.428 million, she has 570000 above the line, taken into account. My offer does not take into account she will be left owing her lawyer 850000. She shouldn't be given credit for that on the balance sheet, you should add it back. You should add back the money she wasted on the BOJH. I have added back the 50k she spent on KZ's jewellery, she could have pawned her own jewellery, it isn't fair. I have added back the EDF liabilities, she has had the MPS, money from her own



account, and moneys from joint account. Haven't quantified the adjustment in relation to her conduct generally. If we add back the hard figures, she would have had 6.8 million if she acted reasonably, she would have had more than half. 5.589 – 858k is fair in the circumstances, is the question for you. Can I turn to my note at page 15, I want to put to bed the arguments about undisclosed assets. We've had disclosure going back 9 years, that is unheard of in these proceedings. We only had an order to 2019, but KZ went back further, it was good, having examined everything KZ was able to prove the negative, NZ doesn't like the answers, but it is all explained by Mr Pinto and covered in his report. The Gemini account, KZ's oral account is very plausible. At his sister's wedding, at the time it was worth 220k\$. These proceedings have shown that to be the case. We can see from the Gemini statements, there was no trading, there was nothing happening to that account from 2017. KZ said this was an old wallet, I gave it to her I never touched it again. NZ knew there was an account, it was in the Imerman, it is listed in the HFC letter to Withers, it says my client does not hold a Gemini account. It should have been in the form E, but often if you consider something that was given in 2018. NZ made a big deal about the subpoenas in 2023, but in 2022 he explained to the crypto expert saying I have given it to my sister. BM will take you to when he transferred it, it is no secret he knew there would be trouble. It is not the best thing to do, but it is not uncommon and it wasn't hidden. The info was given before the subpoena was applied. The rise gave, the zappo, the account was closed in 2024 in activity, there was an internal exchange, it became a bank, you can see the internal transactions, all of the correspondence make it clear they had no contact with him, that the bitcoin were processed and paid back from him. I believe you should make a finding that the total assets are 12.69 million, take off the inherited money, the coinbase tax, I identify the 913000 to be added back. In my opening note, I refer to T v T and YZ v ZC, the court of appeal, general approach that litigation conduct would be reflective in a costs order, there are cases that one parties litigation conduct has been such that it should be considered when the court is giving its award. It can be taken into account at this stage and make a costs order. The depletion of matrimonial assets will not simply be covered by costs. What is important, and/or by making an order for costs, the outcome is a fair outcome and gives consideration to any minor children. Judge Hess did that in a case where one parties costs were disproportionate. That is here, it is nearly a million pounds, it is a phenomenal sum, it changes people's lives, it means you can't live at the standard you want. If it was a couple of thousand pounds we might not look in this way. We have 913000 over a million. Nearly two million. Paragraph 23, these are the specific reasons I say you should add it back. Ordinarily the respondent bears the financial burden, it takes time to read the answers but finding the information is a more burdensome task. We are used to seeing the earner, the asset holder bearing the financial burden. We don't have any updating disclosure from NZ, we don't have bank statements, credit cards, she still hasn't provided the F file documents in the tax returns, this morning there was a discussion, my client has been chasing the coinbase disclosure and the tax disclosure. My client has spent the best part of a day and a half putting further information together for W, we then ask for the F bar form, she simply said no. Why are her costs even as much as Mr Zahmoul? We know she has spent 230000 on third party costs, 158k due to Nick Warr, had that resulted in a consensus on the tax it may be worth it. She has spent more money than even resolved this issue. The court wants to know the bottom line. We have taken costs on the worst-case scenario as we can't get consent from NZ on how to treat it. If NZ choses to cooperate they can both save tax. Nick Warr was instructed in relation to tax, Mrs Zahmoul told her advisors 'I don't want you to talk to KZ or his team', that is destructive, not just wasteful. There were real



concerns about cipherable that Mr pinto was concerned about. NZ has paid, he has produced two reports, I dread to think what he has been paid. No application for his report to be relied on, it was slid in. 50 important breaches, so you didn't have an ES2, KZ didn't have the S25 statement. Burgess Mee has a bill of unpaid costs of 265000. We know they have had 40000 as they got that from detach. The LSPO was paid to burgess mee, they kept 20000 of it. That is a total bill of 325000. NZ said in her evidence she had no legal help, she said they came on the record for a brief period, turns out that period was October 2022 to March 2023, somehow burgess mee have racked up a bill of 325000. How, we will never know. Very good evidence of money being burned. One can understand when you see the money disappearing like that, why KZ did what he did with the mortgage. Irony he was chastised for doing that, he didn't breach orders. Standing back had he not, imagine what would have been spent. Actually, the money has been saved. NZ came to court time and time again she was burning through assets. Complete lack of focus, she was saying KZ was dissipating the assets. He offered her half, half wasn't enough, she wanted it all. That why I say the 913 should be added back. Paragraph 25 I deal with income resources. KZ has not been a high earner since 2014, worth looking at 2228 and 2229 of the bundle. Caused some consternation for NZ but she is simply not reading the document. This was created to persuade the authorities of what was clean capital. All the money he has spent offshore would have been taxed. He stayed offshore for tax purposes saving millions. The very first column on 2228, this is all income, everything from Barclays, the shares from Barclays, the overseas relief, profit from partnership, foreign. This is everything, not just offshore and onshore, this is everything that has been earned up until 2018. NZ completely missed that. You can see all of the tax, the Barclays income. You can see this at 2010 getting really high. You can see it when it diminishes, then it goes to nothing in 2018, all we have left after that is foreign income. Those last figures are modest, look at the last 3 lines. We are talking about 22/23k, 77, this is modest. BM will tell you that KZ has a high-income capacity, this is nonsense. When he left Barclays, he earned modestly. He has capacity to work, he can earn. That will supplement his basic needs, he is 58, one might think at this age and after this kind of event, he may not work or reduce and live more modestly. I accept NZ does not have capacity to work, but she can earn to supplement her income needs. She can choose to stay in bed, go skiing, if she wants to earn more she can. She is a tenacious individual, she is focused, she is attractive, she will be attractive to many industries. She may choose not to work, they both have the ability to supplement their income. The resources: their income capacities are similar. Accommodation needs, another aspect of s25. Accommodation first, both parties entitled to a roof over their heads. They have rented since 2011, they don't need to buy unencumbered properties. What is the right figure you should alight upon? 2 million I say. You have scant evidence. NZ says she wants a home in London, Boston, Wyoming and NY on the upper east side. The 3 million she referred to in her statement is modest. She has elected to stay in Wyoming. Looking at the property she is in, it is 6 million, a decent smaller home could be acquired for 2 million. The court can take judicial knowledge of what you can buy in this country. You can buy a palace in Cheltenham for 2 million, or a decent house in most boroughs of London. Income needs, 150k per annum for life on a Duxbury calculation. Often in these courts the judge will alight on a need now and reduce by a third in retirement, I have proposed 150000 as a flat figure, might not be enough now, will be more than enough later. Question is it enough for this family, BM will say this is a family that lived on 1 million pounds per annum, if he is sensible, he might say 250k. That is not needs, needs are clothes, a home, holiday. The 1 million spent by the family is not needs, it was never a sensible



	way of spending. At paragraph 36 are contemporaneous records, 2014,2015, to 2019 of him saying we can't afford and can you cut back. This spending is not needs, shouldn't be used to reflect the standard of living it was never affordable. From 2018 onwards it came from capital. If they stayed together they might have spent it all. You need to be sure NZ's needs are met. Don't be tempted if BM says give 5 to him because he can go out and work and give 7 to her as she has high expenses. KZ is not avoiding work; he hasn't really worked since 2020. Is there enough capital to meet her needs. Stepping back, 5 or 6 million of course there is. Is there enough to meet what she wants to spend, no. The authorities, SS v NS asks some useful questions, highlighted in bold 'the next question is how much and for how long' he then went on to quote the law commission. Mr Mostyn quotes, exactly what needs will be met will depend on what there is and usually the marital standard of living. The replication of the marital standard of living will be rare post separation. Most families will not be able to live at the standard they did during the marriage. Don't be lured by BM into giving NZ much more capital because KZ could work, that would be disproportionately unfair, he would have to catch up. The inclination to give more is attractive, but what is fair for one is fair for the other. He says in paragraph 35, final sentence. That is exactly where we are. My Lord, going back to paragraph 43.
J	I am aware of the time...
AC	I have 5 more minutes. You will want to fix a figure for NZs reasonable needs, KZ has said about 1200 a month. Resonance, she has had an MPS order. 150000 will cover all of that. It isn't necessary to cover a house in Wyoming, NY, London, Boston. This is a long marriage, parties are later middle age, they have had an unusual marriage I accept going on until 2020. NZ conduct in stealing his confidential information. She knew it wasn't right she did it secretly and she tricked him. Disabilities, there is the letter from Mr Libby, treat it with caution, no supporting evidence, letter referring to coercive and controlling behaviour which has crippled NZ. Not correct, not right to consider NZ with a [x] of any sort. An observer in these proceedings. NZ has shown to be very strong and determined. This is a woman who is strong and in control. It is certainly a woman who is not being bullied by anyone. Paragraph 55, NZ had no hesitation in bringing proceedings against Mike Deeg, BOJH. She is a strong and tenacious woman, I do not think her behaviour should mean you should give her an extra consideration. Both parties have found this difficult. She is adept at playing the audience when she wants to. She has been able to give very strong [x]. Paragraph 63, sets out the costs the court was dealing with. Here are the figures, the yellow line, costs were similar, wife was proposing to spend another 318,000, by the hearing in May costs had gone up to 393 and June to 586. By July, look at the figures. These are huge increases. In September when she revealed her third-party costs, it is not surprising that KZ went and paid off the mortgage. Paragraph N, 150000 to be retained from the pension to be a war chest to defend any proceedings NZ will bring against KZ. If there is an amount set aside, I say the litigation is vexatious, and some money should be set aside. Mr Zahmoul has given an undertaking to protect her. If she gives an undertaking then we don't need that money, the war chest.
J	Hear your submissions BM at 2:15, you have until 4:30
	13:24 hearing paused
	14:18
AC	Over lunch I had instructions that the litigation in the US is continuing, there is a hearing on 4 th March. I would like to add an amendment to my position, transfer of property at



	3100 doesn't take place until litigation has ended, will be more effective in trying to bring a resolution to that litigation
J	Yes
BM	This is it, the end of the litigation,. There is a bundle of 4300 and many pages that didn't make the cut. What is this case about, Jakob Elleson, he says 'I know it when I see it'. Hound of the Baskervilles, he knows good art when he sees it. You should know non-disclosure when you see it. It's about whether Mr Zahmoul has dishonestly failed to make proper disclosure of his resources. Looked at in its entirety, he obviously hasn't made disclosure, the real issue is has he succeeded in other things that we do not yet know about. Happened to stumble upon 800,000\$, otherwise we would be sitting here today with no visibility in relation to that asset. I do not want you to think, easy to characterise this as NZ feels passionately but rationally about this. I don't want you to characterise this as someone who is gripped by the non-disclosure to punish KZ with no regard for costs. Cassandra was condemned with nobody to believe her, she was saying he was not telling the truth and we don't have disclosure, she was making those submissions which were rejected by KZ and his team, there was a million dollars of crypto, when at the beginning of 2022 she was saying he has not made disclosure, there were assets that he has not told the court about. She was right. Everyone was saying she was wrong. Today's value 1.1 million dollars of crypto. In his name, none of which he was owning up to, he is saying they weren't in my name or I have forgotten about them. He had those crypto assets and the court didn't know about it and NZ was saying they existed and she was right. KZ's form E was grossly deficient. There was 1.1 million of crypto missing. With good reason does NZ look back and describe it as gaslighting, that he hadn't made a full frank disclosure of his obligations. Hard when someone has form for not telling the truth, as this whole exercise is based on the honesty and integrity of the parties, she seeks the entire pot on the basis that it is only the visible assets. She thinks she should not be penalised for KZ's non-disclosure. Paragraph 5 of my submissions, I set out the order that NZ seeks. I don't shy away from saying it would normally be a bold submission. She alights upon the most visible resource. I am going to canter through the law, we should look briefly at <i>Moher v Moher</i>, paragraph 83 'unless assets can be shown positively to exist an order cannot be made...inconsistence with the overriding objective, to allocate the appropriate resources [BM reading the judgment]. The court should be astute that the non-discloser should not get an outcome that is better than if they would have disclosed. My client was being encouraged to reach a deal with undisclosed crypto, and an asset that was shortly to become 7 million, if NZ had done a deal on that, on disclosed assets of 10,11,12 million sterling, instead of the much higher figure without the spending as a consequence. The spending is a result of the non-disclosure, we see NZ being criticised for the money she has had to spend on the non-disclosure, that is why she has fought so hard for fairness. <i>NG v SG</i>, my submission was unless the court was able to identify the undisclosed resources [they should be treated as not existing]...the court said that is just not possible. It would be unfair to the applicant not to try and identify, shouldn't be any injustice where the non-discloser gets more. Adverse inferences when figures had been hidden, that gets a tick here. The standard of living they have enjoyed, the standard of living that NZ says he has continued to enjoy, 'look firstly to direct debit, then business activities and lifestyle' final reference to <i>GW v RW</i>, Mr Justice Mostyn draws the courts attention to the fact that there is an obligation on someone filling in a form E to make it comprehensive and comprehensible, to put an obligation on other side to ferret through. This is a role she has had thrust upon her. Everything that has come from that, the costs incurred are down to him. If he had adopted a more honest



approach, we would not be looking at the final bill we are now. Not my client's fault. What is his disclosure? You start off with one thing and everything snowballs, if you are caught out not telling the truth, you have to put your hands up straight away and you have to make sure your disclosure is completely up to scratch from then on. We try to get to the bottom of coinbase, then zappo...who's fault is that? Mr Zahmoul. The way NZ has been treated is completely unfair. The tone of the letters from HFC, them referencing that she is pursuing some grand conspiracy, and is perhaps being ridiculed. At that time, he knew they were understated by 7 million. It is interesting to look at the costs of the private FDR, 1895. You'll find I referenced it in evidence. On 19 July, his were 163,000..when we get to the PTR, hers are 393 and his are 247k. Why have the costs grown in that way? Had she been the unreasonable character, it would have sounded in the initial costs, we would have seen that up to the FDR, there is money to be spent up to FDR, her costs were less than his. She was validated that she was being taken for a fool and the court was being taken for a fool. Important to look at Topanga and coinbase. Mr Zahmoul is not a private equity hobbyist, he was a keen and enthusiastic investor of crypto, who happened to be an early investor. He couldn't believe his good fortune. It was in the forefront of his mind. 752, his investment, type of investment, no narrative with this entry, there matters were left. Until the first appointment on 7th April 2021, counsel for wife produced an asset schedule we find it at 881, we see in small print, Topanga canyon, H 85000 shares, company business unclear, it was produced on behalf of the wife but went between the parties and in front of the judge. How easy would it have been on 7th April for KZ to say, or shortly thereafter, to say this holds equity in coinbase and it is worth an awful lot of money, not sure how much because it hasn't floated, but it will shortly. The figure should be closer to 7 million and I should tell you now. If it was beyond reasonable doubt he would be banged to rights but it is just balance of probabilities. Whether the respondent has given a full and frank, her costs were pretty proportionate, she was seeking explanations and answers, and hoping KZ would tell the truth when prodded. Mr Zahmoul tells us now that he knew of the plans for listing, he must have known that the value of Topanga was many multiples of 75000. No good saying he was taking a literalist approach, we know that he knew he was sitting on something valuable. 1343, he says in his statement, only Topanga he adopts a literalist approach. Even if that were true doesn't absolve him of the need to tell the truth and so people can decide if he is being reasonably conservative. He says in terms that he knew that there was going to be a listing of these shares and he chose not to say it. Out of his own mouth that is what he is telling the court. He might say this all sounds very damning, he might say my wife knew all along, there was no real need to iterate in my form E because she just knew and she is playing dumb now. There are a number of pointers whether that has any plausibility, she did not raise it in correspondence, what we have learnt is that had NZ had a suspicion, she would have raised it, is it really conceivable she would not have raised it in questionnaire? Is it conceivable that she would have signed off the asset schedule? She doesn't even raise it in advance of the FDR. The notion she would have kept stum, and not raised it is an absurdity. The husband might have referenced the floatation of coinbase to her, we saw that WhatsApp message she replies, emoji, I understand what it means, it conveys an excited cheeky surprise. KZ might convey that it is a rise and rise of crypto which he is engaged. It is a world away from proving that she knew he had 75000 in Topanga which would likely have lots of value. It is doing a lot of heavy lifting. It is apparent from all of their dealings that coinbase and crypto was an interchangeable term. She knew he had crypto, she didn't know he had coinbase. 1386, 1387 and 1807. 1807 document provided in advance of a mediation. There at 1807, we



see coinbase as the investment, 2.327 million dollars, that was crypto. It wasn't a reference to coinbase, coinbase hadn't floated. He was using and confusing those two terms, it is not surprise, she cannot be blamed if she didn't know that coinbase was not coinbase equity, it was crypto. The idea that these documents are being handed over should be taken by you as disclosure, has no weight at all. No reference at all to coinbase equity. I have said what I want to say about the literal approach to his form E, 754 in the bundle, aertex he says 'remained my view of current value' He was applying his mind to the current value, he did not do this Topanga canyon. Again on 24th, no specific reference to Topanga, is it reasonable if she had known that she would not have asked those questions? Almost as if he is feeling her out as to what she did and didn't know before embarking on mediation. On 24th June, no reference made to Topanga canyon, excluded entirely, confirmed, time and time again an opportunity for him to come clean. Whether she wants any more information, no explanation at all. By the time we get to 24th June, it had been floated two months earlier. He even says on 14th April to his daughters, there is no doubt at all he knew, at first appointment he was about to be in receipt of windfall. He understood his equity was increasing in value, his evidence is that he didn't follow it. We can tell that isn't right by looking at 1382 in the bundle. Exchange with Mr Deeg. Go back to 1380, Mr Zahmoul is green, 'I just met a guy who is invested in round D funding, showed me the numbers they are making' he knew this was a metaphorical goldmine, he says 'we need to get those numbers' Obviously what is really going on... 'not funny' is the response on 1381 not funny is the 100,000\$ offer, he knows this is a bit of banter between financial lads, laughing on their good fortune as to getting in early, suggestion it was worth 75000 it even gets a lol. He even joked about Deeg buying him out. They got in at FF, anyone engaged in this, the value of that changed over time. He would have seen that. It is preposterous that he didn't keep an eye on this. Absurd that he did not know about it. Also absurd that if NZ knew about it she would have asked him about it. What did he say in response, solicitors say in his statement we have no record of this conversation, he says it was my intention to tell NZ ahead of the pFDR, I wasn't going to duplicate disclosure, before the private FDR I was going to tell her. We know that is untrue, they wrote on 2nd July 'I do not propose providing updating disclosure...apart from cryptocurrency account' [BM reading the letter.] The only reasonable conclusion was KZ wanted to deceive the wife by not providing updating disclosure. If she had cottoned on, he had got through the form E, questionnaire, replies to questionnaire, almost home. He says there 'shall we just not have updating disclosure?'. Other evidence points to him taking advantage of wife's ignorance. He told the court that he unilaterally reduced the financial that he had previously been making, he had said we are burning through capital, he didn't say he was sitting on this 7 million windfall. He did something else, he encouraged NZ to attend mediation and negotiate on an entirely false premise. He sent her an asset schedule with some figures updated. He tells her that he wants to mediate, if she is taking this seriously, then don't involve her solicitors. There is really no defence to this, he is trying to procure a deal with her without her solicitors, without disclosure of a 7 million assets. He says I will buy out your investment [X] tells you all you need to know about his character, he is not someone who has behaved honestly, he is not to be trusted, he has taken the court and his wife for fools. He is a non-discloser. Not just that, of course, everyone loves a repentant sinner. Had he at that point come clean, not instructed his solicitors to write moderately harsh letters 'gone up in value 5 million' he didn't just participate in that play acting, he sat on other assets, at least 1. Paragraph 19 [BM reading] he tentatively discussed it with Pinto, but that is not the same as correspondence between solicitors. The Zappo account containing 16 bitcoin, the



zappo he said he forgot the Gemini he denied was his. The reference, footnote 5 is where they try to finesse away the Topanga canyon. What of Gemini, the timing does not look good for him. Looked at in conjunction with his other non-disclosure, March 2023, he knew he had a Gemini account, 25th May, details of any investment account, he says nothing. 'Details of which have not been disclosed' if you were looking for loopholes you might say you were not trading, is this the right approach if you are a serial non-discloser? No. What would have been easier than for him to say, 'I have 5 bitcoin in my name, they are my sisters, given what had happened, let me just be clear' but he didn't do that. 25th February 2022, original questionnaire, asked to disclose further investments which have not been disclosed. Analysis of Imerman disclosure, degree of Imerman, she only wanted 1 folder to be looked at. They made the decision, HFC to do that, the costs incurred are on him not my client. Our clients' accounts are in form E, 'client no longer holds Gemini accounts' this was a lie, he had an account in his name and it had 5 bitcoin in it, value even then of over 100,000. On 4th March, Judge cope ordered a crypto expert, he objected but seeing the writing on the wall he relented. He contacted Gemini on 12 March. He said it was prompted by move to Portugal, but he moved in 2020. He says in his statement, he says his honesty and integrity juxtaposed with NZ's, the first question I asked, he paid someone some money to pretend he lived in Cascais to avoid taxes, what a terrible way to behave. 12th March he contacts Gemini, he says he had just moved to Portugal. He could see the crypto expert was being appointed and this may lead to the uncovering of his holding at Gemini. He gave his own phone number not his sisters and there is a message from his sister but signed off from him. Who is actually involved in these holdings has never been explained. At the same time, he is trying to undermine the efforts of NZ to obtain disclosure, at 3194. Letter from withers [BM reading]. Again, this is a theme that has had real world costs consequences, subtly undermining the relationship between NZ and her lawyers, he wrote to burgess mee asking them to read a number of books, PTSD which he acknowledged that NZ has, AC asks you to give no weight to the letter of Dr Libby, but he attached it to his own statement. It has impacted my client's ability to trust what he says. When the trust is gone, it is hard to get back, in a marriage and in litigation. When you are proven right in relation to Gemini, in relation to Zappo, in relation to Topanga, someone is saying just talk to me, that you will want to understand Portuguese tax return, Illya to correct its own mistakes in a letter, all for figures that barely make sense and don't have any underlying documents in any event and she is told to believe it or she is someone who is [x]. The IRS tax return, my client states to be a fraudulent tax return, where she is being put as a UK citizen, none of this makes sense to my client, she is told she is being unreasonable. No reasonable person could accept what he is saying, because so much of it has made no sense for so long. Zappo, NZ has long contended he had bitcoin with Zappo, at 1992. Imbalance of knowledge in this sector, she is going to incur money trying to understand it. It's not like a bank account that we don't understand. She didn't know all of these things, he did. She needed Mr Siberik, it was inevitable she was going to spend money with Mr Sibernik or with someone else. Even now my client is very sceptical about the second coinbase account. She can't add up why the French account is from 2014 when they only had a license in 2023. Can she fairly be criticised given how things have played out? The 1LVGS, the multibit wallet, she posed the question is it the multibit wallet? You'll recall this being the multibit wallet that he distanced himself from, my client is on the scent, she understand that the account had transferred...he is saying he hasn't had a multibit wallet for a long time. September 2022, 3863 in the bundle. Further questions were raised on behalf of the wife, what became of the funds in the multibit wallet, can I please have the



Zappo records. She could not have done more to put him on notice that she did not believe his disclosure, what did he do? Nothing at all, until 10th March 2023. The only rational explanation for this is that he was hoping he wouldn't have to disclose it. His aspiration was that this would somehow all get lost in the wash. That was his philosophy. On 15th March, he says he would like to sell the balance, the faster the better, on 10th April he admitted it existed and he had spent it before he had told her. There are so many examples of him doing what he can to reduce liquidity in the case. It is presented as prudent finances, with one eye on NZ's expenditure. We say that it was to make it so difficult for her to litigate, his nondisclosure, the last thing he wanted was for her to have funds, he wanted to get rid of liquidity, pay down his mortgage, it doesn't make any sense, wasn't his call to make. He was able to self-represent, it's always easier for the non-discloser. She couldn't self-represent as she had already taken a litigation loan, it was a condition that detach had added to the terms of the loan, she didn't have any choice but to have representation. We see time and time again liquidity being removed, and seeing that as [x]. Unless you reduced the LSPO he would not be represented, but hey presto here is with Ms Campbell and Ms Amoush. NZ would say it's arrogant disdain, 17 May 2022 'the outcome of the costly exercise was to show I had disclosed everything' that is simply not true. I am not going to take you through the conduct statement, I am not going to take you through. I can't say to you there is 141 million of crypto that has been evidenced in these proceedings. I can say there are unknown unknowns, that you don't know if there are undisclosed crypto currency. With zappo and Gemini, the gap between being told he had and the time when he came forward with it. We are in a position that Mr Pinto says this is a sphere that if you don't want to tell the truth there is more space for that, the KYC...you have to ask who is the true owner of this wallet. If you are an early adopter it would be very very easy to hide assets. NZ's case is if you look at the way KZ has made and not made disclosure, it is more likely than not that he has not made disclosure of crypto. That the court should draw inference that he has not made full disclosure. Otherwise, the decision is that we have exhausted all the nondisclosure, that is inherently unlikely. We know about what we know about, and we don't know what we don't know about. There was a question mark over the true owner of a wallet. 3DGA, His evidence was that because of who he was with, he thought it was Miss Molina. Molina produced a clear letter saying it was her account. She couldn't have said that unless she believed it, or someone told her to say it. If someone asked you if that was your bank account you would know if it was yours. He as good as said that she said it was hers because she told her to say that. He then says an entirely different explanation, this is someone at forte securities, it smacks of dishonesty. At the very least if you were to give a benign meaning telling someone to just say it's theirs, in these proceedings, where you have previously not disclosed, you tell someone to tell the court that a wallet is there's and you are going to rely on it with an expert. It is terrible behaviour, and it shows why we are where we are with costs. It is not down to my client. I deal with the conduct. We haven't engaged with the maths because there is no maths to be dealt with. We cannot engage with figures that you honestly and reasonably believe represent a fraction of the total resources. In red is my client's responses to the allegations made against her. Certain assets which would be worth more now. AC acknowledged it is not technically a breach, not in the spirit to pay down all the mortgage. Was to prevent my client of having liquidity, it is an onion of unattractive reprehensible behaviour. I invite you to read the observations I make in red. I am not going to overegg the observations I make in relation to his behaviour. In relation the UBS, my client reasonably believes in relation to the UBS, KZ says to her they are not to be taken in aggregate, to contextualise the case, she says



their UK expenses were met by onshore money, they spent everything that was being earned in the UK, there was 11 million sterling net. That is easily understood. He wasn't remitting money, that would have had adverse tax consequences. There is another pocket of money, the UBS. She says the UBS money did not meet their capital needs, those properties existed, those properties were rolled over 1301, roll one over for the purchase of another. Assets in America were self-contained. The spending in UK was in a bubble, living good lives in the UK, UBS 12 million in the UBS going out and nothing to show for it. There is a hole, she says in the instructions she gives, not found in the assets in America, not found in assets in UK, she does not accept KZ's explanation. It looks like a big number, but it is an aggregate figure, she says that 12 million is a free standing second balance sheet. Elsewhere on that page I invite you to read 3297. Then I make some submissions in relation to crypto. The following matters we say are going to be material as to if this is a non-disclosure case, we are not asking is it a non-disclosure case, we are asking is the non-disclosure continuing. His approach to crypto is his approach to the case – respond to what is known. It has made the proceedings so acutely painful, that he is not being fair to NZ that through the 26 year relationship she has supported him. There was a letter put to my client in her evidence, do read the entirety of that, you will see how troubled their relationship was, how easy it would be to imagine this was a couple who had their troubles, it is not a case where my client turns and wants to punish him out of spite. Its clear that there were issues of intimacy and trust. This is not out of spite. Paragraph 29, don't read NZs tenacity as to someone who can walk out and get a job, you can see why she has struggled, the idea she could walk into a high paying job is for the birds. Why would someone who is anxious about their financial future lend someone 500,000 who already owed them money? He only paid 50%, you would only do that if you were confident about your financial future or if you were trying to get rid of liquidity so when your wife wants MPS you say the cupboard is bare. Standard of living KZ enjoyed post separation, invite you to give mind to this in her statement. We haven't even got onto Ambulanz, I have put it in as a footnote. I would respectfully ask you to give note to what my client says in relation to Ambulanz, he tried to invest in 2016, it miraculously appears in a list of assets, it managed to survive as a line in an asset schedule which he uses to evidence his honestly, far more likely that he still had that investment and she has not been able to get to the bottom of. 800,000\$ to Miss Molinas. 816000\$ in today's money, this is a person who has not made full disclosure. Everything that could be found out has been found out, it has been like pulling teeth trying to get to the bottom of it. Her position in relation to needs is entirely reasonable, her needs would not be met on an equal division, would lead to an unequal future, this family were spending 900,000. She does not have an earning capacity, 50% will not meet her needs, she needs to entirety of the resource. Costs, he has applied unreasonable pressure, he has prevented her from using their money to fund her costs, 1651, he has sold the zappo coins and paid down the mortgage to stay her efforts to get liquidity, he has obligated her to take out a litigation loan, he has pressured her to take less than she should. Cardinal example, May 2021 when he was trying to procure a settlement while not telling her about coinbase. He is responsible for the costs. There is something sad about this case, the sadness is the costs that have been unnecessarily been incurred. That is an awful lot of family money spent on lawyers, but that is not my client's fault. She has done her best to resolve these things. She agreed to mediate in May 2021, if she was a hard nose litigator, she would not have contemplated mediation, but she did. Because at heart she has wanted to resolve this in cost effective way, but she reasonably could not tolerate having the wool pulled over her eyes. [Reading statement within submissions]. I can't improve on that, that is



	her case, on 21 st February, withers wrote in similar terms. 'The audacity your client displays' this is not a case about whether my client has complied with orders or whether she could have done better with certain aspects of procedures, this is about non-disclosure and what happens when one party doesn't tell the truth the another. Something for which he and he alone is responsible for. Can I pause and check I haven't missed anything.
	[BM conversing with ZB and NZ] NZ Thank you
AC	No right of reply and don't seek one. Few points to correct, first one in relation to BM having behaved fraudulently in giving the wrong address in his tax returns. 2149, NZ's tax advisor accepts it is not a problem. 1371 'that's not funny' relating to purchase, he is referring to the aspect of how they purchase the window
BM	That is a submission
J	It is
AC	My paragraph 58F made a point about legal privilege, BM says he hasn't waived privilege and can draw an adverse inference, you may not.
J	I will revisit both parties' submissions
BM	The inference is that he hasn't said what he says he had
J	Thank you very much indeed, it is my intention to reserve judgment, will endeavour to give judgment by the end of term, there is a possibility that might not be possible. Thank you.
	Hearing ended 16:00

